

Can Taxing the Super-Rich Unite Workers? Billionaire Visibility and Coalitional Potential

Valentina González-Rostani^{*} Santiago López-Cariboni[†]

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Abstract

Extreme wealth has long characterized Latin American democracies, but recently billionaires have become more visible and politically legible targets of taxation. Yet, we know less about how this change translates into coalitional politics among workers divided by labor-market position. We develop a theoretical model in which super-rich visibility raises the perceived fiscal returns from taxing the top and makes divisions within labor appear smaller relative to those at the top. We evaluate its implications using news coverage and documented episodes of mobilization and policy action across Latin America, together with an original Mexican survey pairing closed-ended preferences with open-ended narratives. The evidence documents growing articulation of top-end taxation and shows that support for a targeted top tax extends across partisan groups and is less segmented by labor-market position than support for redistribution that leaves the payer unspecified. Shared fairness claims provide a basis for coordination, while distrust in enforcement and government spending constrains coalition formation.

Keywords: Top 1%, taxes, labor coalitions, insiders-outsiders, LLMs, text as data

^{*}University of Southern California, gonzalez.rostani@usc.edu.

[†]Universidad de la República, santiago.lopez@cienciassociales.edu.uy.

Introduction

Across democracies, demands that the rich pay more are widespread, yet governments rarely adopt reforms that substantially raise effective tax rates at the very top. This paradox is especially acute in Latin America, where the richest 1% owns nearly 40% of the region's wealth (Carranza, De Rosa, and Flores 2025; Pineda and Pessino 2021). Although surveys reveal substantial support for progressive taxation, that support often weakens when concrete policies are specified (Busso et al. 2025). Consumption-heavy tax systems, widespread evasion, and organized elite opposition further entrench the status quo (Pineda and Pessino 2021; Fairfield 2015). At the same time, the coalitions that sustained successive welfare expansions toward labor-market outsiders during the 2000s appear to have reached their limits (Holland and Schneider 2017). Against this backdrop, billionaires have become increasingly visible targets of political mobilization. In 2025 alone, Mexico's *Alianza contra la Desigualdad* demanded taxes on large fortunes; a Brazilian coalition that included trade unions organized a nationwide *plebiscito popular* linking labor reform to progressive taxation; and Uruguay's PIT-CNT proposed a wealth-tax surcharge on the richest 1% to combat child poverty. These mobilizations raise a broader question for democratic politics under extreme inequality: can the political visibility of the super-rich bridge divisions among workers and sustain support for taxing those at the top?

These mobilizations cannot be explained simply by a uniform increase in economic concentration. Private wealth has risen relative to national income across major advanced economies (Piketty and Zucman 2015), but recent estimates for Latin America reveal considerable cross-national variation in the income share of the top 1 percent (Flores and Zúñiga-Cordero 2025). What has changed more consistently is the political visibility of extreme wealth. The commodity boom fueled an exceptional expansion in both the number and wealth of billionaires (Carranza, De Rosa, and Flores 2025).¹ The “99 percent versus 1 percent” frame cast inequality as a stark divide between two groups (Ramos Pinto and Paidipaty 2020). Offshore disclosures and international tax-transparency initiatives intensified scrutiny of elite tax avoidance, uncovering

1. See Figure A6 for trends in the income share of the top 1 percent and Figure A7 in the Appendix for the growth in the number of Latin American billionaires.

undeclared assets and generating billions in additional revenue (Helgason and Mérola 2022). Research documenting billionaires' unusually low effective tax rates further reinforced this scrutiny (Zucman 2024). Extreme wealth also became more politically salient as billionaires increasingly entered electoral politics (Krcmaric, Nelson, and Roberts 2024). The pandemic sharpened these contrasts: Latin American households lost employment and income even as billionaire wealth grew (López-Calva 2021; Bordeerath 2025). These developments heightened the political visibility of the super-rich and sharpened the contrast between their wealth and ordinary citizens.

Greater visibility of billionaires can facilitate a cross-worker coalition by identifying a common fiscal target. Yet shared material interest need not generate collective action. Citizens may anticipate evasion, capital flight, economic costs, or misuse of the resulting revenue (e.g., Stantcheva 2021). Visibility also shapes who counts as “rich.” When extreme wealth is less salient, workers may blur the distinction between billionaires and affluent professionals or business owners. Better-off insiders may then resist taxing a group they hope to join (Benabou and Ok 2001; Alesina, Stantcheva, and Teso 2018). Greater visibility can sharpen this distinction and broaden support, but converting support into collective action remains a coordination problem. Economic elites can use instrumental and structural power to restrict tax reform (Fairfield 2015). Parties strategically select arguments (Hafer, Izzo, and Landa 2025), economic news exhibits a pro-rich bias (Jacobs et al. 2021), and ultrarich media owners can influence electoral outcomes (Grossman, Margalit, and Mitts 2022). Visibility may therefore expand coalitional potential without ensuring coalition formation.

Building on research on insider–outsider politics, segmented representation, and truncated welfare states (Rueda 2005; Luna 2014; Holland 2018), we develop a theoretical model in which insider and outsider workers occupy distinct material positions and maintain different political linkages. Adapting the relative-distance logic of Lupu and Pontusson (2011), we argue that greater attention to extreme wealth changes how workers perceive the distributive divide: differences within labor recede relative to the distance separating both groups from the super-rich. Visibility also separates the extreme top from the merely affluent, so the billionaire becomes an

unreachable reference rather than an aspirational one, and the insider who once identified upward is repositioned as a worker. This shift can redirect distributive conflict away from competition among workers and toward the taxation of a narrow economic elite. Drawing on models of endogenous identity and inequity aversion (Shayo 2009; Lü and Scheve 2016), the model predicts that a cross-worker coalition becomes feasible when the perceived fiscal returns from taxing the rich and the appeal of a shared worker identity outweigh narrower group attachments. Because both solidarity and fragmentation remain possible equilibria, political coordination ultimately determines whether this coalitional potential is realized.

We evaluate two stages of this argument: the emergence of a salient common target and its capacity to bridge labor-market divisions. Our first study combines longitudinal news and search series, actor-specific analysis of a Spanish-language Factiva corpus, and a verified inventory of 28 episodes of mobilization and policy action across Latin America. Public attention increased, particularly after 2020, while coverage centered on unions, social movements, and civil-society organizations connects top-end taxation to fairness, poverty reduction, and social protection. The documented episodes show that the issue has moved beyond public discourse into campaigns and policy proposals, although mobilization remains uneven and outcomes are mixed. The super-rich have thus become a recognizable and politically articulated fiscal target, but not the basis of a consolidated regional coalition.

We then turn to Mexico, where highly visible fortunes coexist with extensive informality and segmented social protection (Carranza, De Rosa, and Flores 2025; Holland 2018). We field an original survey that combines closed-ended measures of policy support and stated engagement with open-ended accounts of how citizens reason about taxing the richest 1%. The latter capture respondents' unprompted, first-order considerations (Ferrario and Stantcheva 2022). Support for the targeted tax exceeds support for redistribution when the payer is unspecified, remains majoritarian across the measured labor-market groups, and extends beyond leftist identifiers. Policy approval does not, however, automatically imply mobilization: reported willingness to sign a petition is substantially lower, and is more concentrated among insiders. Open-ended responses likewise reveal both the breadth and fragility of support. Many respondents express

mixed or conditional positions. Fairness, inequality reduction, and public-goods provision offer broadly shared justifications, whereas beliefs about enforcement, government spending, economic harm, and capital flight vary more across groups. Informal workers and respondents without full-time employment are especially likely to distrust how the government would use the resulting revenue. These findings identify both the mass foundations of coalitional potential and the governance, feasibility, and coordination problems involved in achieving it.

Our argument integrates research on redistributive coalitions (Lupu and Pontusson 2011), endogenous identity (Shayo 2009), and relative comparisons in tax preferences (Lü and Scheve 2016; Cansunar 2021). It builds on evidence that perceptions of the rich affect top-tax preferences, conditional on the information presented (Di Tella, Dubra, and Lagomarsino 2021; Ragusa 2015; Perez-Truglia and Yusof 2024). We extend this work from individual preferences to coalitional potential by linking insider–outsider politics (Rueda 2005; Lindvall and Rueda 2014) to the financing of redistribution in segmented welfare states (Holland 2018). We also distinguish targeted top taxation from broader redistribution, drawing on research on concrete tax preferences (Ballard-Rosa, Martin, and f 2017) and the limitations of abstract survey questions when analyzing taxation (Margalit and Raviv 2024). Finally, we connect citizens’ reasoning about taxation (Stantcheva 2021) to strategic argumentation and narrative formation (Hafer, Izzo, and Landa 2025; González-Rostani, Incio, and Lezama 2025a), asking whether public frames can support coalition building. Methodologically, we pair regional news with structured and open-ended survey evidence.

From Spending Coalitions to Taxing the Super-Rich

Existing research explains how parties build coalitions around social spending and how individuals form preferences over progressive taxation. It offers less guidance, however, on when protected and precarious workers can overcome their distributive differences and coalesce around taxing the super-rich. We connect these literatures by examining how the visibility of extreme wealth reshapes perceived social distance and creates the potential for a common revenue-side coalition.

Spending-side and revenue-side coalitions. Research on Latin American redistribution has largely examined how parties extended benefits beyond formal-sector constituencies, particularly through noncontributory programs for informal and precarious workers (Pribble 2013; Carnes and Mares 2014; Garay 2016). Although labor-market segmentation can lead labor-based parties to privilege insiders (Rueda 2005), policy design, labor-market mobility, and shared exposure to risk can facilitate broader coalitions (Carnes and Mares 2016; Baker and Velasco-Guachalla 2018; Menéndez González 2021). These accounts explain coalition building around benefits better than whether the same constituencies can coalesce around financing them. During the commodity boom, favorable fiscal conditions allowed governments to combine protections for insiders with benefits for outsiders without reallocating losses within labor or directly confronting capital over taxation (Carnes and Mares 2016; Garay 2016; Fairfield 2015). As fiscal space narrowed, however, the region approached what Holland and Schneider (2017) call the exhaustion of “easy” redistribution. Relatively inexpensive, noncontributory benefits could no longer simply be layered onto existing programs without raising direct taxes or threatening protections for insiders. Further redistribution therefore entered a “hard” phase, marked by more visible conflicts over who pays and who benefits and by more fractured coalitions.

Despite innovations in direct taxation (Seelkopf and Lierse 2020), high informality narrows the personal-income-tax base and reinforces reliance on consumption taxes, while organized business constrains taxation at the top (Castañeda and Doyle 2019; Fairfield 2015).² Outsiders contribute through consumption taxes while often lacking access to contributory protections, whereas insiders experience a tighter link between taxation and social insurance (Higgins and Lustig 2016). The design of rates, bases, exemptions, and enforcement can therefore distribute costs within labor even when the fiscal system reduces poverty overall. Because taxation can activate identities and distributive claims that do not map neatly onto benefit receipt (Prichard 2015), coalitions formed around receiving benefits need not extend to financing them. Targeting the super-rich offers a different strategic possibility: concentrating extraction on a narrow elite may attenuate the insider–outsider trade-offs embedded in conventional tax instruments.

2. These patterns describe the instruments on which governments have commonly relied, not the full range available for progressive redistribution.

Preferences, visibility, and coalitional potential. Concern about inequality does not automatically generate support for tax reform. Tax preferences can be relatively inelastic (Ballard-Rosa, Martin, and f 2017), and information about inequality often changes concern more than policy choice (Kuziemko et al. 2015). Support can increase when information clarifies that a tax applies only to a small, wealthy group (Kuziemko et al. 2015). It also depends on fairness and expected benefits (Stantcheva 2021), institutional trust (Berens and Schiller 2016), beliefs about government and business elites (Di Tella, Dubra, and Lagomarsino 2021), subjective group identification (Cansunar 2021), and relative-welfare comparisons (Lü and Scheve 2016). Stereotypes of the rich shape tax preferences (Ragusa 2015), while information about billionaires can change their public image without uniformly increasing support for higher taxes (Perez-Truglia and Yusof 2024). Middle-income voters are more likely to align with poorer voters when their distance from the poor is small relative to their distance from the rich (Lupu and Pontusson 2011). Electoral institutions also shape the formation of middle–poor redistributive coalitions (Iversen and Soskice 2006), while group identification can change endogenously (Shayo 2009). Building on these insights, our demand-side model shows how greater visibility of extreme wealth can make relative distance politically legible, reduce divisions within labor, and create coalitional potential around a common fiscal target.

Mass preferences, however, are only one input into policy. On the political-supply side, parties maintain segmented linkages across constituencies (Luna 2014), while resource-rich actors exercise disproportionate influence over political agendas (Hacker and Pierson 2010). In Latin America, business actors can use instrumental and structural power to constrain progressive taxation (Fairfield 2013, 2015; Fairfield and Garay 2017). We therefore situate our demand-side account of coalitional potential within the supply-side constraints that shape whether cross-worker coalitions form and influence policy.

A Model of Coalitional Potential for Taxing the Super-Rich

Why might taxing the super-rich unite workers who otherwise disagree about redistribution? In standard models, voters with incomes farther below the mean demand more redistribution

(Meltzer and Richard 1981). Yet this income-based logic cannot explain why preferences change when incomes remain fixed—or why workers who would all benefit from taxing billionaires nevertheless fail to mobilize. We propose a model in which the visibility of the super-rich changes coalitional potential by reshaping perceptions of the income distribution: a visible economic elite provides a common point of comparison, increasing workers’ perceived distance from the top while reducing the relative distance between precarious outsiders and protected insiders. The model builds on belief-based demand for top taxation (Cansunar 2021; Lü and Scheve 2016), endogenous identity (Shayo 2009), and social distance relative to the perceived span of the income distribution (Lupu and Pontusson 2011). Our key innovation is to define the value of worker identity by the improvement in workers’ collective standing that top taxation can produce. Visibility therefore initiates a feedback loop: by making the super-rich a salient out-group, it increases the value of a shared worker identity and can shift workers’ preferred tax rates; the enacted rate, in turn, changes the material basis of that identity. We define coalitional potential as the range of conditions under which precarious outsiders and protected insiders can sustain a majority around a shared worker identity. Whether this latent majority forms depends on coordination. We next briefly present the model and its main implications; full details appear in Appendix A.1.

The setting. To begin, society contains three income groups: precarious outsiders, protected insiders, and a small super-rich elite. Outsiders and insiders together form a majority, but outsiders alone do not, so a top-tax majority requires some insiders.³ Each worker values the material payoff a policy delivers and the identity she adopts.⁴ The only change is the salience of the super-rich, denoted by σ . Greater salience raises perceived top income while leaving it below the true level. Workers tend to underestimate how rich the top is, and greater visibility narrows that error without eliminating it (Cruces, Perez-Truglia, and Tetaz 2013; Fernández-Albertos and

3. We study the top marginal income-tax rate as one instance of payer identification. Other instruments may generate different coalitional dynamics: top-income taxation raises behavioral-response and rent-extraction questions (Piketty, Saez, and Stantcheva 2014; Saez, Slemrod, and Giertz 2012), while wealth taxation adds valuation and enforcement challenges (Saez and Zucman 2019).

4. Objective incomes remain fixed in the baseline model.

Kuo 2018; Gimpelson and Treisman 2018; Bogard, West, and Fox 2026). These beliefs respond to information and direct exposure (Cansunar 2021; Di Tella, Dubra, and Lagomarsino 2021; Perez-Truglia and Yusof 2024; Ragusa 2015; Kuziemko et al. 2015; Sands 2017).⁵ The model requires only that salience raise perceived top income over a bounded range, enough to make the super-rich a recognizable political target.

Salience changes the problem in two ways. A richer perceived top makes a tax on that group appear to yield more revenue. It also expands the perceived income range against which people judge social distance (Lupu and Pontusson 2011). The fixed difference between insiders and outsiders then becomes smaller relative to the full range, while insiders appear more distant from the super-rich. Workers do not become more alike. Their fixed differences become less prominent relative to the top.

Redistribution has two facets that need not move together (Cavaillé and Trump 2015). A tax on the super-rich finances a transfer shared by workers. Redistribution within labor instead shifts resources from protected insiders toward precarious outsiders, often through taxes that workers themselves pay (Beramendi and Rueda 2007; Higgins and Lustig 2016). The first policy can benefit both groups; the second makes insiders net contributors. We hold the within-labor conflict fixed.⁶

Material interests, identity, and preferred top-tax rates. Material interest produces agreement. The tax falls only on the super-rich, and the baseline model divides its benefits equally among workers.⁷ A richer perceived top promises more revenue, while an efficiency cost that rises with the rate keeps preferred rates finite. Insiders and outsiders therefore prefer the same *material-interest rate*, which rises with perceived top income (Cansunar 2021; Lü and Scheve 2016). Because this rate is strictly positive at any salience but increases with it, the model

5. The relevant belief concerns how rich the rich are, not the shape of the entire distribution or a worker's own rank.

6. This allows the model to isolate when conflict with the super-rich takes priority over the existing conflict among workers. This restriction does not make the insider–outsider divide unimportant. It identifies when a shared conflict with the top becomes more politically compelling than that prior division.

7. We later relax the equal-transfer assumption by allowing the revenue benefits to be increasingly targeted toward outsiders. The identity mechanism survives, but targeting lowers insiders' preferred rate, raises the salience required for coalition formation, and makes coordination necessary under full targeting.

supports *increasing* the top rate—preferring a rate above the one currently in place—rather than addressing whether the super-rich should be taxed at all. Greater salience raises the preferred rate, and with it the share of workers who favor an increase. This result differs from the Meltzer–Richard model: a worker’s own income does not determine her preferred rate because workers share the benefit and do not bear the tax. Material interest gives insiders and outsiders a common position on this policy. Their identities may still divide them.

Following Shayo (2009), identity enters utility through status and social distance. In Shayo’s formulation, status is a group’s fixed place in the social hierarchy. Taken literally, that definition would leave better-off insiders in their narrower, higher-standing class and prevent an encompassing worker identity from forming. We instead value the standing workers can *achieve through policy*: the reduction in the perceived worker–rich gap that a tax on the top can deliver. This formulation draws on aversion to disadvantageous inequality (Lü and Scheve 2016). By making status policy-dependent, the model allows identity to raise the preferred tax rate and the enacted rate to strengthen the worker identity.

The model consequently yields three preferred rates. A person who retains a narrow insider or outsider identity prefers the material-interest rate. A person who identifies with workers prefers a higher rate because taxation improves workers’ standing relative to the super-rich. The difference is a *status premium*: the additional efficiency cost she accepts to narrow the gap with the top. An insider who identifies upward with the rich prefers a lower rate, possibly zero, because the tax reduces the status of the group she hopes to join. When the status motive is removed, these differences disappear, and all workers return to the material-interest rate. Identity, rather than income differences among workers, generates disagreement about how heavily to tax the top (Proposition 1). As salience rises, the perceived fiscal return and the value of reducing the worker–rich gap both increase. Workers therefore place more weight on taxing the top relative to redistribution within labor (Proposition 2).

Endogenous identity. Support for the same tax does not by itself produce a coalition. An insider can support taxing billionaires while continuing to treat outsiders as political rivals. Insiders

choose among a narrow class identity, an encompassing worker identity, and identification with the rich. Outsiders choose between their narrow class and the worker identity. Leaving one's class carries an attachment cost that varies across individuals.

Greater salience has opposing effects. The worker identity becomes more attractive because insiders and outsiders appear closer to one another and because a tax can produce a larger improvement in their standing. Identification with the rich becomes less attractive because the top appears more distant and taxation reduces the value of reaching it. Given the model's cost distribution, outsiders adopt the worker identity no later than the pivotal insider: they lie closer to the worker mean and do not face the competing attraction of the rich. Insiders thus determine whether workers become a majority. Under the model's regime conditions, rising salience eventually shifts the pivotal insider from upward identification to a choice between her own class and the encompassing worker identity (Proposition 3).

Coalitional potential and coordination. Identity and policy form a self-reinforcing loop. When too few insiders identify as workers, no worker-identity majority forms, so the enacted tax rate reflects only workers' shared material interest. Because this rate closes less of the worker–rich gap, the worker identity remains less attractive, sustaining fragmentation. When enough insiders adopt the worker identity, they form a majority and enact their higher preferred rate. By closing more of the worker–rich gap, this rate increases the value of the worker identity and sustains solidarity. As in Shayo (2009), identity choices are therefore strategic complements.

This feedback generates three regimes separated by two salience thresholds (illustrated in Figure 1). Below the lower threshold, fragmentation is the only stable outcome: the worker identity remains unattractive even if all workers coordinate on it. Above the upper threshold, solidarity is the only stable outcome: even an isolated insider prefers the worker identity. Between the thresholds, both outcomes are stable, so the result depends on workers' expectations. We call this intermediate interval the polity's *coalitional potential* (Proposition 4). Within it, unions and labor-based parties can tip workers toward solidarity by coordinating those expectations (Corollary 1). Below the interval, mobilization cannot sustain solidarity; above it, mobilization

is no longer necessary. Organized actors therefore do not create the underlying preference for taxing the top but help select between two available equilibria. Their political leverage is concentrated within the coalitional-potential region and need not increase monotonically with salience.⁸

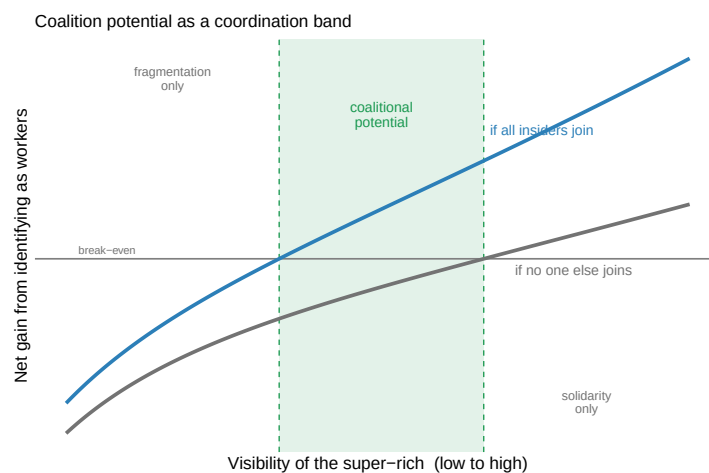


Figure 1: Coalition potential as a coordination band

Notes: As the super-rich become more visible, an insider's net gain from identifying as a worker rises, because the distance to the top grows and a broader coalition enacts a higher tax that closes more of the gap. Left of the band, even full adoption leaves that gain negative, so fragmentation is the only stable outcome; right of it, even a lone adopter gains, so solidarity forms on its own. Inside the shaded band the gain is positive under full adoption but negative under low adoption, so both outcomes are stable and the result turns on coordination. This band is the polity's coalitional potential. See Appendix A.1.

Overall, the model predicts that greater visibility of the super-rich should increase support for raising their tax rate above its current level and narrow the insider–outsider divide over top taxation relative to general redistribution. The next section further discuss the empirical implications.

Testing the Salience, Mobilization, and Coalitional Potential of Taxing the Super-Rich: Measures, Methods, and Results

The model locates coalitional potential in the relationship between a visible fiscal target and cross-group agreement. Once the super-rich become a recognizable political target, proposals to tax them more can create a shared distributive interest among workers otherwise divided

8. Targeting revenue toward outsiders weakens insiders' material support for the tax, consistent with the zero-sum logic of benefit progressivity (Beramendi and Rehm 2015), we discuss this in Appendix A.1. The identity mechanism survives, but targeting raises the salience and coordination required for coalition formation. Under full targeting, insider support cannot arise from material interest and therefore isolates the identity channel.

by labor-market position. The model therefore yields the following observable implications: broad support for taxing the super-rich (Proposition 1) and weaker labor-market divisions over this policy (Proposition 3). These patterns identify demand-side coalitional potential; whether that potential is mobilized and translated into policy depends on organized actors: unions can coordinate support, whereas business organizations can mobilize opposition (Proposition 4 and Corollary 1). These implications organize the empirical analysis. We examine them through two complementary studies that move from the public articulation of top-end taxation to its foundations in mass opinion.

The first study examines an enabling condition of the model: whether the super-rich have recently become a visible and politically recognizable target of redistribution. Study 1 provides regional evidence on how the visibility, framing, and organized mobilization of top-end taxation in Latin America has changed over time. It combines Google search trends, the volume of news coverage, and a content analysis of news articles to track attention to top-end taxation, identify the actors and frames shaping the debate, and document episodes of mobilization.

The second study evaluates the model's implications for public opinion using an original survey in Mexico. The model implies that a proposal clearly assigning a higher tax burden to the super-rich should attract broader support than redistribution described in general terms. It also implies that the labor-market and partisan cleavages structuring attitudes toward general redistribution should be weaker for policies targeting the super-rich. Closed-ended items measure the breadth and distribution of support, while open-ended responses identify both shared arguments that could facilitate political coordination and concerns that could impede coalition formation and mobilization.

Study 1: Regional Salience and Mobilization

Study 1 traces the emergence of top-end taxation as a political demand in Latin America. We first trace changes in attention using annual Factiva news counts based on English- and Spanish-language searches for “wealth taxes”, “billionaires”, the “super-rich”, and related terms.⁹

9. Factiva is a database providing searchable, full-text access to global and regional newspapers, newswires, magazines, broadcast transcripts, and online sources.

We complement these series with Google Trends data on public interest in billionaires in Mexico and elsewhere in the region.

We then analyze a Spanish-language Factiva corpus covering 2010–2026 of the most popular news.¹⁰ We identify the principal actor represented in each article through a structured annotation workflow (using LLM, Claude Opus 4.7) and use Fightin’ Words scores (Monroe, Colaresi, and Quinn 2017) to recover the vocabulary that distinguishes labor unions, social movements, civil-society organizations, governments, business groups, and experts. Finally, we trace recurring claims, organizations, and events and manually verify 28 episodes of mobilization in that period. The analysis moves from news salience to actor-specific framing and then to concrete mobilization and policy action.

The Growing Salience of Top-End Taxation. News coverage related to billionaires, the super-rich, and wealth taxation increased in the global English- and Spanish-language series and in Mexico (Figure 2a). Google searches for the topic “Billionaire” also increased worldwide, in Mexico, and on average across six other Latin American countries (Figure 2b). Several series rose especially sharply after 2020. These descriptive patterns do not show that visibility increases support for redistribution. They nevertheless document the model’s enabling condition: the super-rich and their taxation have become more prominent in public attention, making extreme wealth easier to articulate as a common fiscal target.

Actor-Specific Frames of Top-End Taxation. We next examine how top-end taxation is represented in regional debate using a Spanish-language Factiva corpus of articles substantively concerned with the issue from 2010 to 2026. After assigning each article a primary actor, we estimate Fightin’ Words scores to identify the vocabulary that most distinguishes coverage centered on each actor from the remainder of the corpus (Monroe, Colaresi, and Quinn 2017). As Figure 3 shows, labor-union coverage features a worker-centered vocabulary—*trabajadores*, *sindical*, *PIT-CNT*, and *CGT*—whereas social-movement coverage emphasizes protest and

10. The initial search produced 12,382 records; after removing duplicates, 1,570 unique articles remained, of which 1,371 were substantively concerned with top-end taxation.

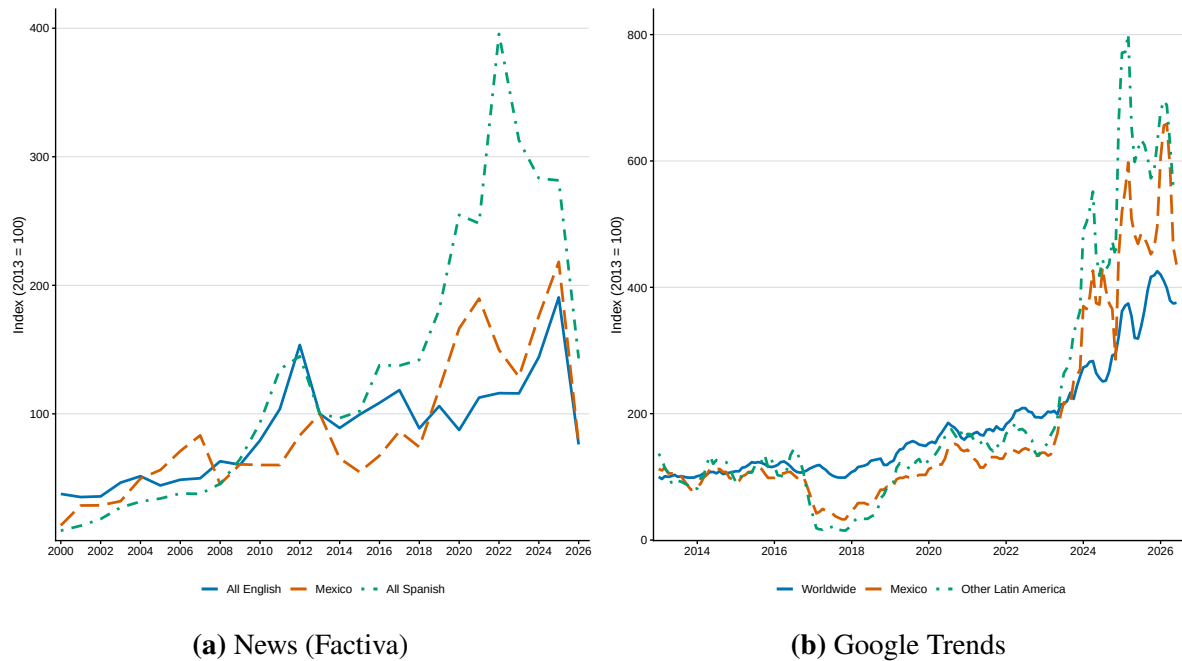


Figure 2: Mentions of Billionaires over Time in the News and Google Searches)

Notes: The left panel plots annual Factiva document counts, indexed so that the 2013 value equals 100 for each series. The three Factiva series are for all regions in English or Spanish, or restricted to Mexico. These series are based on yearly Factiva news counts, so each line shows changes in the volume of matching coverage relative to its own 2013 level. The Factiva search used terms such as “wealth tax,” “billionaires” and “super-rich”. Similar terms were used in Spanish for the Spanish-language and Mexico searches. The right panel plots the trailing 4-month moving average of Google Trends interest in the topic “Billionaire,” indexed so that the 2013 average equals 100 for each geography. Google Trends measures relative search interest rather than absolute search volume. The three Google Trends series are Worldwide, Mexico, and Other Latin America, where Other Latin America is the unweighted average of Argentina, Brazil, Chile, Colombia, Ecuador, and Uruguay. *Sources:* Author’s calculations using Factiva and Google Trends data.

material hardship, and NGO and civil-society coverage foregrounds *riqueza*, *desigualdad*, and *Oxfam*.

The underlying texts sharpen these contrasts. In labor-union coverage, Chilean organizations demanded an “*Impuesto X la Dignidad*” to provide “*soluciones dignas a las familias en situación de vulnerabilidad*.” Coverage of Uruguay’s PIT-CNT similarly connected wealth taxation to “*la lucha contra la desigualdad social*,” proposals to “*gravar al 1% más rico del país*,” and efforts to “*combatir la pobreza infantil*.” Social-movement coverage, although smaller in volume, also links top-end taxation to social conflict and material deprivation. Juan Graboïs, for example, argued that “*el 1% de los más ricos no quiere pagar impuestos por ambición y avaricia*,” while other articles connected the issue to caravans, mobilization, and the Colombian protest cycle triggered by tax reform. NGO and civil-society coverage is distinguished less by protest language than by efforts to quantify inequality and disseminate stark diagnostic claims. Representative articles

state that “*de 100 dólares generados en la nación, USD\$45 van para los más ricos*” and that “*los multimillonarios de esta parte del mundo permanecen inmunes a la crisis económica.*”¹¹

Consistent with the model’s enabling condition, these actor-specific vocabularies translate extreme wealth from an abstract distributional category into a recognizable fiscal target connected to workers, inequality, and social need. These vocabularies are consistent with the model’s enabling condition: union-, movement-, and NGO-centered coverage translates an abstract upper tail into a recognizable distributive target connected to workers, social need, and concentrated wealth. The evidence identifies a public language through which coordination could occur; it does not show that these frames changed citizens’ identities or preferences.

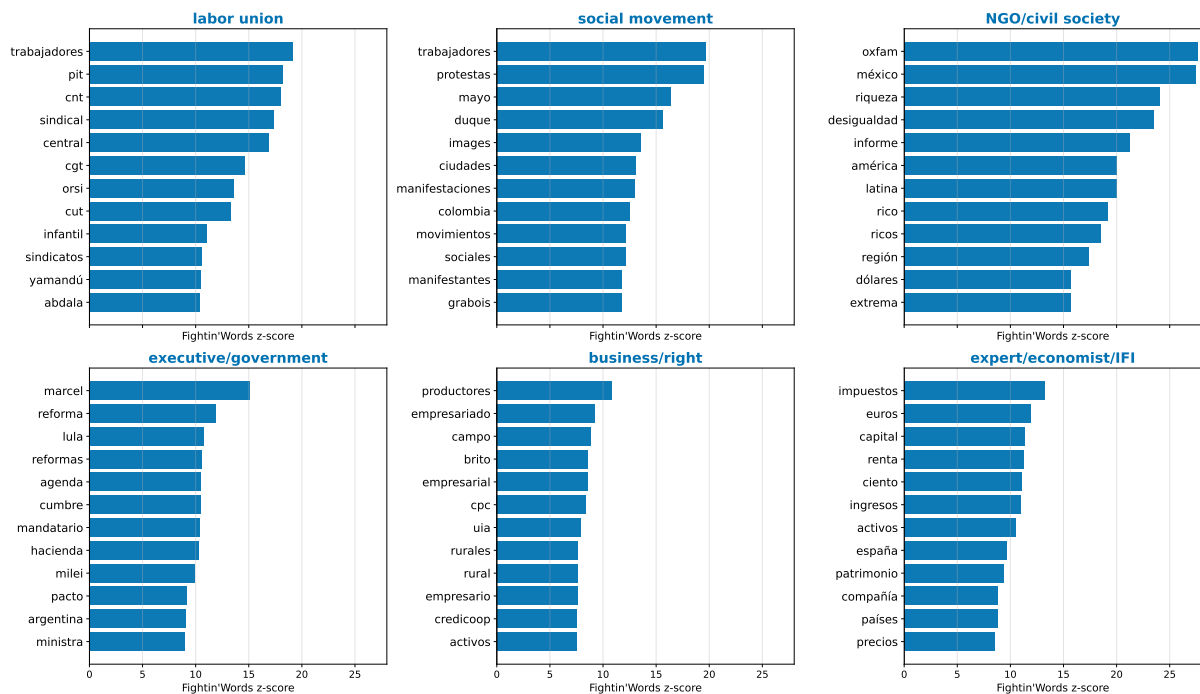


Figure 3: Distinguishing vocabulary by actor in coverage of taxing the rich.

Notes: Each panel reports the top 12 words with the highest Fightin’Words z-scores for the actor relative to the rest of the named-actor corpus. This version omits the *party/politician* and *legislator* panels for readability. Fightin’Words scores are estimated as one-vs-rest log-odds-ratio z-scores with an informative Dirichlet prior (Monroe, Colaresi, and Quinn 2017). Higher z-scores indicate words used disproportionately more often by that actor. The scores are the same as in the full actor figure; this version only filters out two panels and does not re-estimate the model. All panels use the same z-score x-axis for comparability. The full Factiva corpus contains 12,382 hits from Spanish-language Latin American press coverage (2010–2026), which were deduplicated to 1,570 unique articles; 1,371 articles were coded as substantively about top-end taxation. *Source:* Authors’ content analysis of the Factiva corpus; Factiva keyword requested: taxing the rich vocabulary and mobilization.

11. The actor-specific BERTopic analysis in Appendix A.8 provides a complementary description of these issue bundles.

From Salience to Mobilization. The discussion above establishes that taxing the rich has become more salient and that organized actors articulate the issue through distinct distributive frames. In the model, however, salience is an enabling condition rather than the political outcome itself: by making the super-rich a recognizable fiscal target, it creates an opportunity for political actors to coordinate workers around a shared demand. We therefore examine whether the issue has moved beyond public attention into observable political action. To identify such action, we traced proposals, campaigns, and reforms that appeared recurrently in the *most popular* news corpus. We verified each episode against the underlying coverage and, where available, official or organizational materials, recording the initiating actor, tax instrument, proposed use of revenue, and disposition. This procedure produced a systematically coded set of 28 Latin American episodes between 2010 and 2025 (Appendix A.4).

The evidence indicates that some mobilization is occurring, although it remains partial and uneven. The identified episodes cluster after 2020, and unions, social movements, and civil-society coalitions initiated several campaigns around taxing extreme wealth. Most proposals nevertheless originated with state, party, or legislative actors, underscoring that the emerging agenda is not predominantly labor-led. Wealth taxes were the most common instrument, and proposals frequently connected the resulting revenue to health, education, social protection, or poverty reduction. Outcomes were mixed, with many initiatives failing, being shelved, or remaining unresolved. The evidence therefore points to emerging efforts to act on the political opportunity created by greater salience, rather than to an already consolidated regional coalition.

Three recent episodes illustrate this movement from visibility to mobilization. In Brazil, unions and allied movements organized a national popular plebiscite that paired progressive income taxation with relief from the six-day workweek. In Mexico, the *Alianza contra la Desigualdad* marched for graduated taxes on the country's largest fortunes, linking the proposed revenue to assistance for low-income families. In Uruguay, PIT-CNT proposed a wealth surcharge on approximately the richest 1% to finance a child-poverty fund. Each initiative translated a visible concentration of wealth into a concrete fiscal demand tied to recognizable social constituencies.

Study 1 thus locates regional politics between two stages of the model: the super-rich have become a salient common target, and some political actors have begun mobilizing around that target, but these efforts have not yet produced a broad coalition. Next, Study 2 examines whether public attitudes provide the mass foundation on which further coordination could build.

Study 2: Public Attitudes and Narrative Foundations in Mexico

The analysis so far has documented the growing salience of top-end taxation across Latin America and the ways organized actors have mobilized around this demand. We now turn to the mass foundations of this emerging agenda, using the Mexico case to examine who supports taxing the super-rich and which narratives sustain or constrain that support.

Case Selection and Survey Design. We collected an original online survey of 1,358 Mexican adults fielded in Spanish through Netquest in February 2026. The sample was designed to approximate national distributions of age, gender, region, and education.¹² Mexico combines extreme and increasingly concentrated wealth with a fiscally skeptical public. The top 1% receive approximately 27% of national income (WIL 2025) and hold roughly 40% or more of total wealth (Carranza, De Rosa, and Flores 2025). Since the early 2000s, their wealth has also grown substantially faster than GDP and the wealth of the bottom 50% (Figure 4a). More than twenty traceable billionaire fortunes make this concentration socially and politically legible (Figure 4b). At the same time, Mexico faces significant fiscal constraints that may shape demand for revenue independently of wealth concentration. Taxes on income and profits are an important source of public revenue (OECD 2023). Yet Mexico's personal income tax reaches 34% only above MXN 1.70 million in annual taxable income and its maximum rate of 35% only above MXN 5.11 million; the country also has no recurrent net wealth tax.¹³ Mexican support for redistributive taxation is close to the Latin American average (Figure A11), giving the case broader comparative relevance.¹⁴

12. Descriptive statistics appear in Appendix A.3, and the wording of questions used in Appendix A.6.

13. Concerns about taxation and government performance also remain widespread (Schwartz, Castañeda, and Doyle 2024).

14. Appendix A.5 provides additional fiscal and distributional context for Mexico and other Latin American countries. Appendix A.7.4 compares regional attitudes toward inequality, taxation, and redistribution.

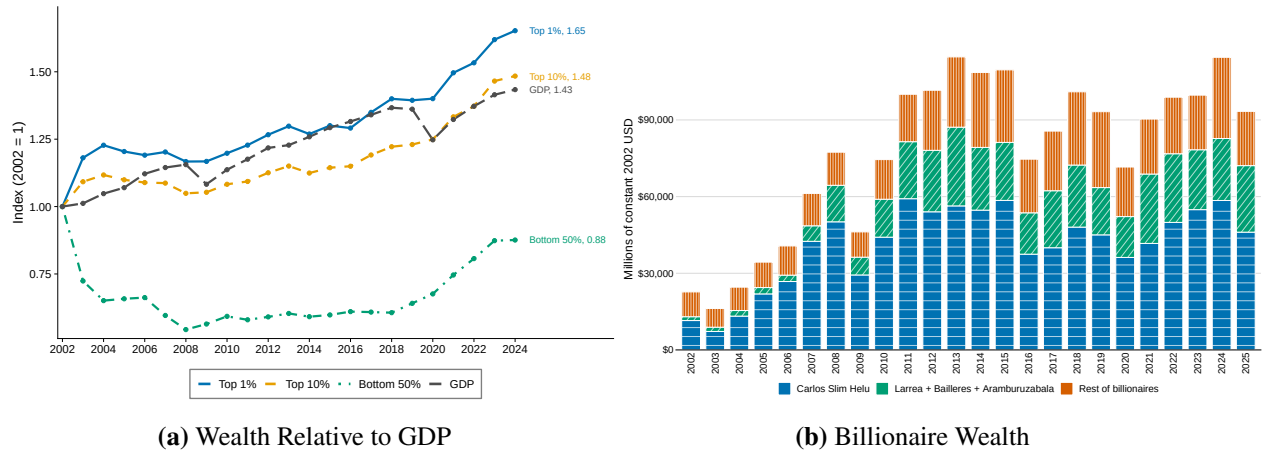


Figure 4: The Concentration of Wealth in Mexico, 2002–2025

Notes: Panel (a) indexes average net wealth and GDP to 1 in 2002. Wealth data are from the World Inequality Database and GDP data from the World Bank. Panel (b) reports Mexican billionaire wealth in constant 2002 U.S. dollars, divided among Carlos Slim; Larrea, Baillères, and Aramburuzabala; and all other Mexican billionaires. Values for 2002–2005 are reconstructed from Forbes profile histories. *Sources:* Authors' calculations using WID, World Bank, Forbes, and FRED CPI-U data.

Measuring Preferences Toward Taxation. We combine closed- and open-ended measures to capture both policy preferences and the reasoning underlying them. The closed-ended items ask whether the maximum income-tax rate on the super-rich should increase, whether respondents would sign a petition supporting such an increase, and whether the government should reduce income differences even if this requires higher taxes.^{15,16} The first two measure support for a targeted policy and willingness to act on it; the third provides a general redistribution benchmark in which the payer is unspecified. Although closed-ended items permit standardized comparisons, they restrict respondents to researcher-defined categories (Ferrario and Stantcheva 2022). We therefore also ask respondents to explain, in their own words, their views on taxing the richest 1%, thereby eliciting considerations that are salient to respondents themselves. This distinction is particularly important for taxation, where attitudes are often conditional and not readily captured by binary measures (Margalit and Raviv 2024). Open responses also allow us to identify heterogeneity in the narratives and justifications underlying similar policy positions (Gonzalez-Rostani and Tober 2025).

15. We use the top marginal income-tax rate because it is a familiar, existing instrument that clearly identifies both the policy and its intended payer. Its comparison with the general redistribution item is descriptive and does not establish how preferences would vary across income, wealth, inheritance, or other top-end taxes.

16. The petition response is an intention, not an observed signature or participation measure; the survey also did not ask respondents to rank top-end taxation against other policy priorities.

We analyze these responses in two stages. First, we estimate *topic prevalence* using Zero-Shot BERTopic (Grootendorst 2022). The method represents each response as a transformer-based semantic embedding and groups responses according to their semantic similarity, using a small set of seed themes to guide topic identification. Each response receives a distribution over substantively interpretable themes, including fairness and redistribution, government distrust, economic growth and investment, and administrative feasibility. Second, because a topic may contain both supportive and opposing claims, we use the OpenAI API (gpt-4o-mini-2024-07-18) to classify each response by (i) its stance toward increasing taxes on the richest 1%—supportive, opposed, or mixed/unclear—and (ii) its primary rationale, such as fairness, financing public goods, or distrust of government. Appendix A.9 reports details about BERT and LLM application (including prompts, coding procedures, and validation exercises).¹⁷

Measuring Labor-Market Cleavages. We examine whether labor-market position shapes support for taxing the wealthy and the reasons citizens give for their preferences (e.g., Rueda 2006; Holland 2018; Baker and Velasco-Guachalla 2018). To operationalize labor-market position, we use complementary indicators of organized labor representation, formality, employment status, and labor-market attachment. Union membership is coded as a binary indicator equal to one for current or former union members and captures attachment to organized labor. Informality equals one when respondents lack social-security coverage through their main job (IMSS, ISSSTE, or another public system), capturing exclusion from contributory protections and a weaker connection to the fiscal state. We also include indicators for unemployment and full-time employment to capture additional variation in economic risk and labor-market attachment.

We complement this labor-market focus with a measure of political cleavage: whether respondents identify Morena as the party to which they feel closest. Although not derived from the labor-market model, this measure allows us to assess whether redistributive preferences and justificatory reasoning also vary along partisan lines. Finally, we include education (a bachelor’s degree or higher), income, age, and gender.

17. This approach builds on evidence that GPT-class models can perform comparably to human coders in related classification tasks (González-Rostani, Incio, and Lezama 2025b, 2025a; Le Mens and Gallego 2025).

Estimation Strategy. The analysis for Study 2 proceeds in three steps. First, we report aggregate support for increasing taxes on the super-rich, willingness to sign a petition, and support for the general redistribution benchmark. Second, we present the distribution of open-ended stances, themes, and rationales, showing the considerations on which support and opposition rest. Third, we present descriptive associations across both closed- and open-ended outcomes across labor-market and partisan cleavages and examine how respondents' rationales relate to policy support and petition willingness. Because our objective here is descriptive rather than causal, the subgroup analyses report unadjusted group means (proportions for binary outcomes) and raw differences in means. This approach follows the model's focus on coalitional potential: we care both about absolute levels of support within each constituency and about the size of gaps across groups, since broad support with limited cleavages indicates greater space for a cross-cutting coalition. The group comparisons focus on union membership, labor-market formality, employment status, education, income, and identification with Morena, alongside standard demographic characteristics.¹⁸

Coalitional Potential Across Labor-Market and Partisan Divides

To begin, we look at the support of taxing the rich and whether the government should reduce inequality. Among respondents answering each item, 66.7% favor increasing the maximum income-tax rate paid by the super-rich, whereas 52.5% agree that the government should reduce income differences even if doing so requires higher taxes—a 14.2-point difference (Figure 5). As expected, support is higher for the targeted tax than for the general redistributive objective.¹⁹ This ordering is consistent with the model's proposed mechanism: identifying a narrow payer reduces the salience of tax burdens within labor. The more demanding question is whether support converges across labor-market groups and rests on compatible justifications that could support coalition building.

Figure 6 shows both outcomes across union experience, informality, unemployment, and

18. For further details on the estimation strategy, refer to Appendix A.10. We also test differences in means that we report in Appendix A.13.

19. These results are consistent with prior evidence from Latin America comparing support for taxes on the rich versus VAT or income taxes (see Figures A10-A11).

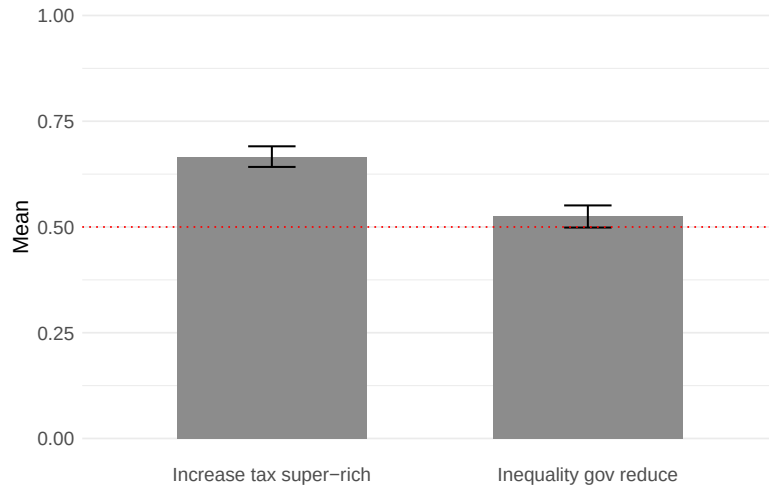


Figure 5: Support for Taxing the Super-Rich and Government Redistribution. Note: The figure reports the sample mean of support for increasing taxes on the super-rich and for the view that the government should reduce inequality, even if more taxes should be paid. Outcomes are coded as binary indicators. The horizontal dashed line marks the 0.5 threshold, indicating majority support.

full-time employment. Support for taxing the super-rich is higher than support for general redistribution across these groups and remains above 60% even among the least supportive respondents. Support for the targeted tax varies only modestly by labor-market position. Respondents in informal or non-full-time employment are somewhat less supportive than formal and full-time workers, but the estimates show no pronounced insider–outsider divide (see [Figure A18](#) for tests of group differences). Income similarly exhibits no monotonic relationship with support: support is 63.4% among respondents with annual household incomes below MXN 41,000 and 69.9% among those above that threshold, peaking at 73.2% in the MXN 41,000–95,000 band compared with 66.2% outside it. Overall, the modest variation across labor-market positions is consistent with the expectation that concentrating taxation at the top attenuates rather than reproduces insider–outsider conflict.

Because redistribution is advanced through party coalitions rather than in a partisan vacuum, it is important to examine how preferences vary across left and right alignments. In Mexico, Morena serves as the principal electoral vehicle for redistributive reform, and theories of labor-based coalitions imply that left parties are the most likely promoters of progressive taxation. If support for taxing the super-rich is confined to the left, its coalitional potential remains limited to the governing bloc; if it extends beyond it, targeted redistribution may sustain broader political

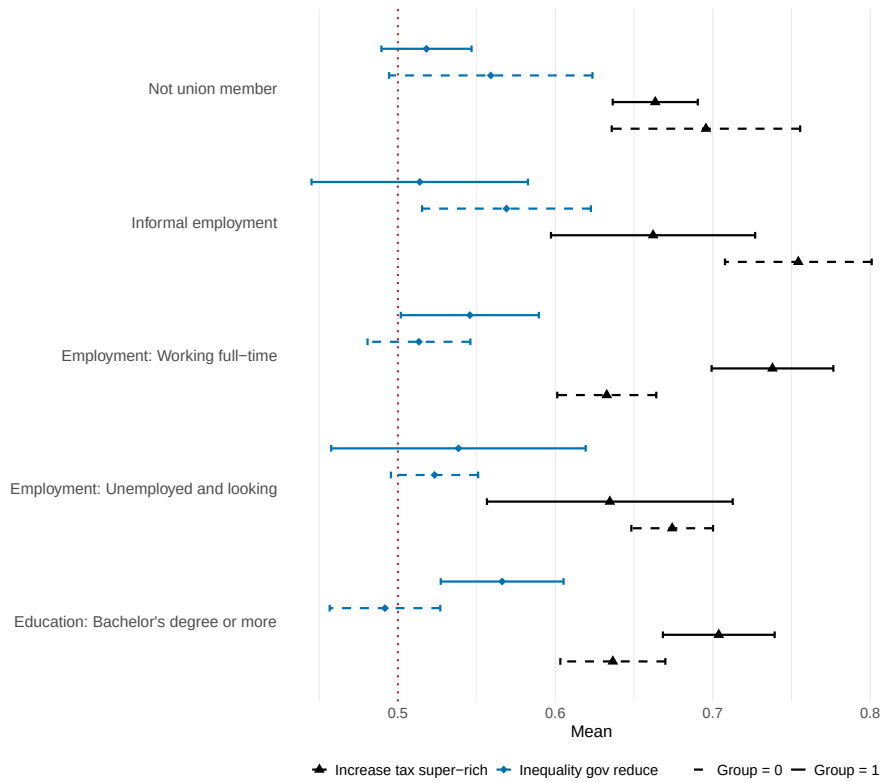


Figure 6: Support for Taxing the Super-Rich and Reducing Inequality by Insider-Outsider Measures. Note: Each point is an unadjusted, unweighted within-group sample proportion (the mean of a binary outcome), estimated separately for each outcome and respondent characteristic. Black triangles show the proportion favoring an increase in the maximum income-tax rate paid by the super-rich. Blue diamonds show the proportion agreeing that government should reduce income differences even if this requires higher taxes. Solid intervals denote Group = 1, meaning that the respondent has the characteristic named on the vertical axis; dashed intervals denote Group = 0, its complement. Group = 1 identifies respondents who have never been union members, lack job-linked social-security coverage (informal employment), work full time, are unemployed and looking for work, or hold at least a bachelor's degree, respectively. Horizontal bars are two-sided 90% normal-approximation confidence intervals, $\hat{p} \pm 1.645s/\sqrt{n}$. The vertical line at 0.5 marks majority support. See Figure A18 for tests of statistical differences between Group 1 and 0 and Figure A14 for partisanship, age, income, and gender. Refer to Figure A18 for a test on differences across groups, and Figure A14 for results on other dimensions of heterogeneity (partisanship, age, income, and gender).

alliances. Figure 7 therefore stratifies the analysis by support for Morena (left-wing coalition), allowing us to assess whether the broad backing observed in the aggregate masks sharp partisan divides. Two findings stand out. As expected, Morena supporters exhibit higher levels of support for both taxing the super-rich and reducing inequality more broadly. In nearly all socioeconomic categories, left identifiers display strong and consistent majorities in favor of progressive taxation. Redistribution is therefore firmly anchored within the governing party's electoral base.

Yet, support for taxing the super-rich is not limited to the left. Among respondents who do not identify with Morena, agreement that the government should reduce inequality through higher taxes is weaker and in several groups hovers around, or falls below, majority support. However, when the policy is framed specifically as raising taxes on the super-rich, support increases

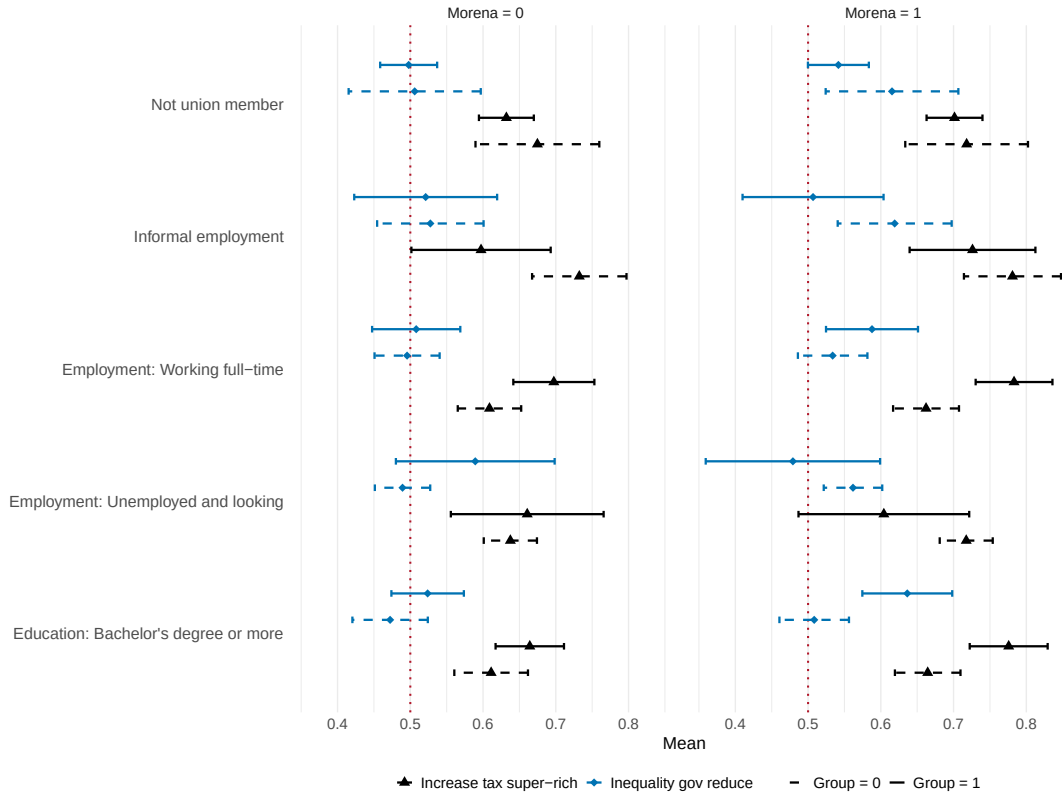


Figure 7: Support for Taxing the Super-Rich and Reducing Inequality by Morena Partisanship. Note: Each point is an unadjusted, unweighted within-group sample proportion (the mean of a binary outcome), estimated separately for each outcome and respondent characteristic within the Morena = 0 and Morena = 1 panels. Morena = 1 identifies respondents who report feeling closest to Morena; Morena = 0 identifies respondents who report feeling closest to another listed party. Black triangles show the proportion favoring an increase in the maximum income-tax rate paid by the super-rich. Blue diamonds show the proportion agreeing that government should reduce income differences even if this requires higher taxes. Solid intervals denote Group = 1, meaning that the respondent has the characteristic named on the vertical axis; dashed intervals denote Group = 0, its complement. Group = 1 identifies respondents who have never been union members, lack job-linked social-security coverage (informal employment), work full time, are unemployed and looking for work, or hold at least a bachelor's degree, respectively. Horizontal bars are two-sided 90% normal-approximation confidence intervals. The vertical line at 0.5 marks majority support. See Figure A15 for corresponding results on age, income, and gender.

markedly among these same respondents. In many socioeconomic categories, non-Morena voters reach majority levels in favor of taxing the very top. In other words, the partisan divide is sharper for general redistribution than for a targeted tax on extreme wealth concentration. This pattern is consistent with the model's coalition signature: by locating the burden at the extreme top, the targeted proposal makes workers' shared fiscal interest more salient than divisions within labor.

This distinction carries important political implications. Tax policy requires electoral support and is more likely to be advanced by left parties. The stratified results suggest that while progressive taxation is indeed strongest among left identifiers, targeted redistribution from the super-rich also attracts meaningful backing beyond that core constituency. A left-party coalition

can therefore mobilize its traditional supporters around redistributive policy, but it may also appeal to segments of right-leaning voters when the policy clearly identifies extreme wealth concentration as the object of taxation.

Finally, policy approval also exceeds stated interest in engagement. Exactly 40.0% of respondents answering the petition item request a link to learn more about or sign a petition, compared with 66.7% support for increasing the maximum rate—a 26.7-point gap. This gap is consistent with the model’s distinction between individual support and organized coordination: broad approval creates coalitional potential, but realizing it still requires mobilization. Petition interest was higher among Morena supporters, union members, formal workers, and full-time employees, reaching approximately (Appendix [Figure A12](#)). Although this measure does not capture actual participation, the pattern suggests that mobilization may depend disproportionately on insiders and organizationally connected workers, even when policy support extends more broadly.

Narrative Foundations and Constraints on Coalitional Potential

Having documented broad support for taxing the super-rich across partisan and insider–outsider divisions, we next examine the narrative foundations of that support. In the model, agreement on a common fiscal target creates coalitional potential, but political coordination depends on whether citizens understand and justify that target in compatible terms. Aggregate support cannot reveal whether respondents converge on a shared distributive rationale or endorse the same policy for reasons that may be difficult to mobilize collectively. We therefore analyze respondents’ open-ended explanations to identify the justificatory frames that could facilitate—or constrain—coalition formation.

Support, opposition, and ambivalence. We begin by classifying open-ended responses using LLM-based annotations into three broad positions: *Pro*, *Anti*, and *Ambiguous*. The latter category captures respondents who expressed uncertainty or articulated both advantages and drawbacks of taxing the super-rich. [Figure 8](#) shows that the largest share of responses falls into this ambivalent category, indicating that many individuals elaborated on both potential benefits

and concerns. Explicitly pro-tax positions constitute the second largest group, representing close to 40% across labor-market divisions. These patterns suggest that even in a context of overall majority support, respondents frequently acknowledge trade-offs, feasibility constraints, or possible unintended consequences. In line with our framework, this “conditional” posture points to concerns about implementation (collection, evasion, and use of funds) that can shape whether support is stable. The distribution of responses, therefore, reflects deliberation and conditional support rather than simple ideological polarization. Moreover, we find no systematic differences along the insider–outsider dimension; with the exception of informal workers, who display more mixed and somewhat less pro-tax views, positions are broadly similar across labor segments.

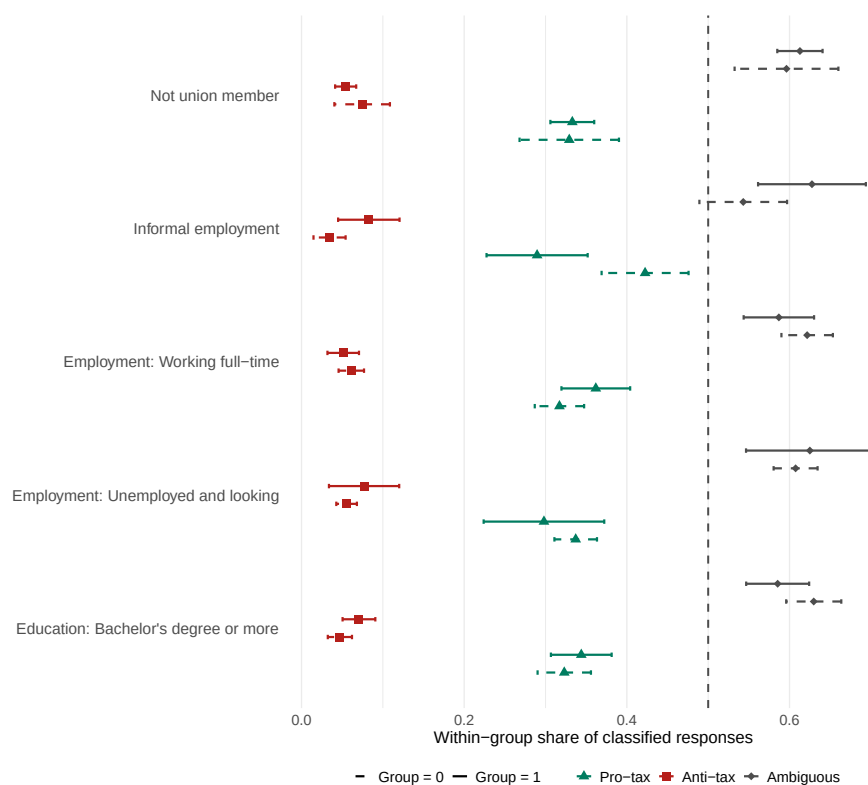


Figure 8: AI-Coded Open-Ended Positions on Taxing the Super-Rich by Insider-Outsider Measures. Note: Each point is an unadjusted, unweighted within-group sample proportion (the mean of a binary indicator), estimated separately for each LLM-coded stance and respondent characteristic among usable classified responses. Using `gpt-4o-mini`, each response is assigned exactly one label: *Pro* if it supports increasing taxes on the rich or top 1%; *Anti* if it opposes an increase; or *Ambiguous* if it is unclear, mixed, off-topic, or expresses no direct position. Green triangles, red squares, and black diamonds denote *Pro*, *Anti*, and *Ambiguous*, respectively. Solid intervals denote Group = 1, meaning that the respondent has the characteristic named on the vertical axis; dashed intervals denote Group = 0, its complement. Group = 1 identifies respondents who have never been union members, lack job-linked social-security coverage (informal employment), work full time, are unemployed and looking for work, or hold at least a bachelor’s degree, respectively. Horizontal bars are two-sided 90% normal-approximation confidence intervals. The vertical line at 0.5 marks a 50% share within a subgroup. See [Figure A19](#) for tests of statistical differences between Group 1 and 0, [Figure A16](#) for age, income, and gender, and [Appendix subsection A.9](#) for the full annotation instructions.

Justificatory frames. To examine the reasoning behind these positions, we use a zero-shot BERT classifier to code respondents’ open-ended explanations into several recurring frames, including proportional fairness, inequality reduction, public goods provision, enforcement and compliance, concerns about economic harm, capital flight, moral critiques of excessive wealth accumulation, and distrust in government capacity. **Figure 9** reports each frame’s prevalence.

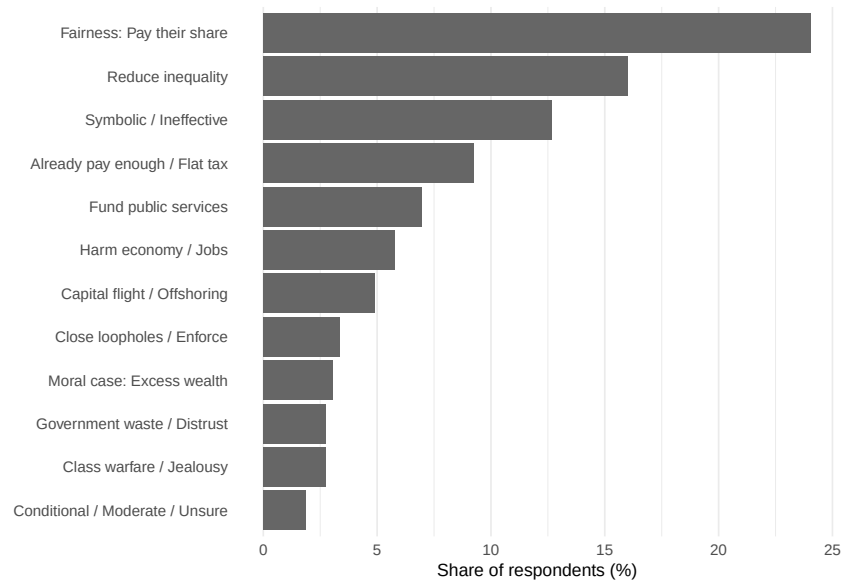


Figure 9: Distribution of Open-Ended Themes (Zero-Shot BERT Classification)

Note: The figure displays the share of respondents whose open-ended responses were classified into each thematic category using zero-shot BERT. Bars represent the percentage of respondents associated with each theme. Categories are not mutually exclusive, and classification relies on automated semantic matching rather than manual coding.

The most common frame centers on proportional fairness. Many respondents state directly, in their own words, that “it’s fair that they pay more,” and argue that “those who earn the most pay more taxes” because they should “contribute to the development of the country.” In these responses, higher taxation is justified not as punishment, but as a reflection of differential capacity and reciprocal obligation. A second prominent justification links progressive taxation to inequality reduction. A respondent emphasizes, in their own words, that “no one should accumulate more money than they can spend,” and another one argues that increasing taxes on “the 1% with the highest income could help reduce inequality.” In this frame, taxation is presented as a corrective mechanism aimed at narrowing socioeconomic gaps and restoring balance between the rich and the poor.

Closely related are instrumental arguments about public goods provision. Support is often explicitly conditional on how revenues are used. As one respondent puts it, “if the money is used for good causes, it would help a lot,” particularly when directed toward “infrastructure, health, technology, and education.” In this framing, the legitimacy of higher taxation rests on the expectation of visible and socially beneficial returns rather than on redistribution alone. Another cluster shifts attention from rates to enforcement. Rather than focusing solely on increasing statutory tax rates, respondents stress, in their own words, that elites “evade taxes” and call for “more control with taxes [and] sanctions for those who evade.” In this view, the central issue is not only how much the super-rich should pay, but whether existing obligations are effectively enforced.

Opposition, while less common, is similarly structured and articulated through respondents’ own language. Some warn that higher taxes could “cause hiring of people to decrease” or lead firms to rely more on “automated systems.” Others argue that “the rich will move assets, income, or operations abroad to avoid higher taxes,” expressing concerns about capital flight and competitiveness. A further line of skepticism centers on state capacity: respondents contend that “the government does not properly manage the money it already has” and that “spending is the real problem, not low taxes on the rich.” Finally, a minority frames progressive taxation as normatively troubling, cautioning against policies that would “punish success.”

Cross-group variation in frames. To assess whether these frames provide a common language for coalition formation, [Figure 10](#) reports coefficients from separate linear probability models linking respondent characteristics to specific arguments. Appeals to proportionality, inequality reduction, and public-goods provision provide a broadly shared language for taxing the super-rich. Although fairness and redistributive arguments appear somewhat more frequently among Morena supporters, these differences are not statistically distinguishable from zero, and references to public services vary little across partisan or labor-market groups. The principal justifications for taxing the super-rich are therefore not strongly polarized.

Potentially polarizing frames, by contrast, vary more clearly across partisan and socioeco-

conomic groups. Morena identifiers are less likely to invoke government waste or distrust and more likely to emphasize inequality reduction, while class-conflict rhetoric is more prevalent among nonunion respondents. Governance skepticism also varies by labor-market position. Informal workers invoke distrust more frequently than formal workers, while unemployed respondents are more likely to emphasize enforcement. These patterns echo the fiscal-contract mechanism identified by Berens and Schiller (2016). Even when progressive taxation is attractive, support may remain conditional on confidence that the state will use revenues sensibly and enforce contributions across taxpayers. Concerns about economic consequences also vary. Highly educated respondents more frequently mention capital flight, whereas full-time workers are less likely to anticipate adverse effects on job creation. The principal narrative constraints on coalition building therefore arise less from disagreement over distributive principles than from uneven beliefs about state competence, enforcement, and economic consequences.

Across the closed- and open-ended measures, the results reveal both the foundations and limits of coalitional potential. Support for the targeted top-tax item exceeds support for general redistribution and remains majoritarian across the measured labor-market groups; it is also not confined to Morena identifiers. The open-ended responses show how this shared material interest is articulated through cross-cutting fairness rationales, consistent with research showing that individuals often justify materially favorable policies through principles aligned with their social position and identity (Bénabou and Tirole 2006; Konow 2000; Alesina and Angeletos 2005; Stantcheva 2021; Hvidberg, Kreiner, and Stantcheva 2023; Busso et al. 2025) and with broader patterns of motivated reasoning (Taber and Lodge 2006; Bisgaard 2019). Yet the narratives also expose constraints that closed-ended measures cannot capture: uneven concerns about enforcement and state competence, alongside a substantial approval–engagement gap. Agreement about who should pay thus creates a demand-side coalitional opportunity, but compatible preferences do not automatically produce a mobilized coalition.

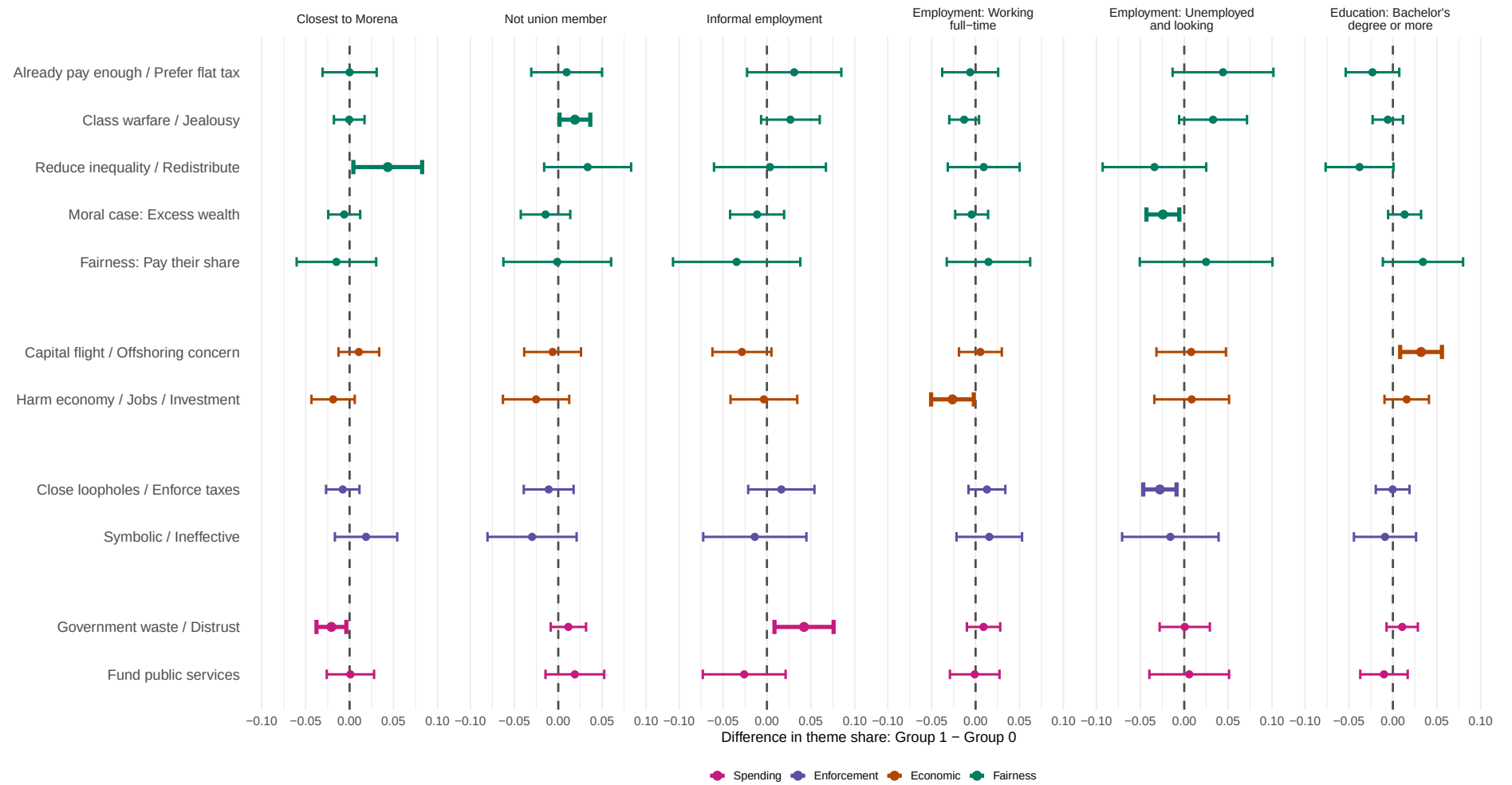


Figure 10: Zero-Shot Classification: Open-Ended Responses on Taxing the Super-Rich

Note: Each point represents the difference in the sample proportion assigned to that theme between Group = 1 and Group = 0, in probability points, from a separate unadjusted, unweighted linear probability model; positive values indicate greater theme prevalence in Group = 1. Group = 1 identifies respondents who feel closest to Morena, have never been union members, lack job-linked social-security coverage (informal employment), work full time, are unemployed and looking for work, or hold at least a bachelor's degree, respectively; Group = 0 is the corresponding complement. Theme indicators are generated by a guided zero-shot BERTopic model. Horizontal bars are two-sided 90% confidence intervals based on heteroskedasticity-robust standard errors. Thicker points and intervals indicate that the 90% interval excludes zero. Vertical dashed lines mark zero, and colors identify the Spending, Enforcement, Economic, and Fairness blocks. See [Figure A17](#) for age, income, and gender, [Figure A21](#) for analogous LLM-labeled themes, and [Appendix subsection A.9](#) for full classification details.

Final Remarks

This paper shows how the political visibility of billionaires can create coalitional potential among workers who remain divided over redistribution more generally. By making the super-rich a more legible fiscal target and enlarging workers' common social distance from them, visibility can increase support for taxing the top and reduce the political significance of insider–outsider divisions. This possibility is conditional rather than automatic: fragmented and solidaristic equilibria can coexist.

The evidence identifies the empirical foundations of this possibility. We first document the increased visibility of top-end taxation in Latin American debate and show how unions, social movements, and civil-society organizations connect it to fairness, labor rights, poverty reduction, and social protection. Then, looking at the demand side, we focus on Mexico, and find majority support for increasing the maximum income-tax rate paid by the super-rich. Support is higher than for redistribution with an unspecified payer, crosses labor-market divisions, and extends beyond Morena supporters. Yet, a minority is willing to sign a petition, which shows that broad approval does not itself produce mobilization

Open-ended responses clarify both the foundations and the fragility of this support. Appeals to proportional fairness, inequality reduction, and public-goods provision cut across labor-market and partisan divisions, furnishing a broadly compatible language for coalition building. At the same time, some respondents condition their support on effective enforcement, elite compliance, responsible government spending, and the avoidance of economic harm or capital flight. Distrust in the government's use of revenue is more common among non-Morena respondents and informal workers. These cross-cutting rationales are consistent with demand-side coalitional potential, while the uneven governance and feasibility concerns identify possible obstacles to political coordination.

We have demonstrated how the political visibility of the super-rich can align workers' preferences around a common fiscal target. However, this demand-side potential does not establish that a coalition will be organized, sustained, withstand counter-mobilization, or produce

policy change. As Hacker and Pierson (2010) emphasize, organized interests can shape agendas independently of mass preferences. In progressive tax politics specifically, economic elites can constrain tax rates, raise coordination costs, and undermine confidence in enforcement (Fairfield 2013, 2015). The same supply-side politics operates through narratives. Shared appeals to fairness, inequality reduction, and public-goods provision give advocates a cross-cutting language for mobilization, while disagreements over government spending, enforcement, elite compliance, capital flight, and economic harm provide opponents with material for counter-mobilization. Opponents need not convince workers that the super-rich deserve protection. Casting taxation as ineffective, economically risky, or politically futile may be sufficient to prevent coordination on the solidaristic equilibrium.

Finally, visibility may not invariably foster solidarity. Where aspirations to join the rich outweigh perceived social distance, it may instead reinforce upward identification. Future research should identify the causal effects of visibility and political messaging on fiscal beliefs, worker identification, and coordination, and examine whether the argument extends from top income-tax rates to wealth, inheritance, capital-income, and base-broadening reforms. Longitudinal and field-based studies are also needed to establish whether attitudinal convergence persists, withstands counter-mobilization, generates organizational follow-through, and influences policy. Political visibility can make billionaires a common fiscal target; whether that target becomes the basis of an organized and durable coalition depends on political coordination, counter-mobilization, and policy design.

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A Online Appendix

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A.1 A model of coalitional potential for taxing the super-rich

We provide a formal representation of the paper’s central argument. The model asks when the political visibility of extreme wealth can make a tax on the super-rich a common project for workers who otherwise remain divided by insider–outsider conflict. The answer does not rely on changes in objective incomes. Instead, salience changes what workers perceive about the top of the distribution, how far apart workers appear from one another, and how attractive an encompassing worker identity becomes.

The environment has three groups of players ranked by income: precarious outsiders, protected insiders, and a small super-rich elite. Agents’ valuations depend on a material payoff and on the identity they adopt. The only active policy margin is a tax on the super-rich that finances a flat transfer to workers. A separate within-labor redistributive conflict is kept fixed, so the comparative statics isolate what the salience of the top changes. The question is whether, as salience rises, insiders and outsiders come to identify as workers and support the same top-tax platform.

The model combines four familiar ingredients. First, demand for taxing the top responds to perceived top income (Cansunar 2021; Lü and Scheve 2016). Second, identity is endogenous and enters utility through status and social distance, as in Shayo (2009). Third, distance is evaluated relative to the perceived range of the income distribution, following the logic in Lupu and Pontusson (2011). Fourth, the value of a worker identity is the policy-achievable reduction in disadvantage relative to the top, a formulation disciplined by inequity-aversion arguments in Lü and Scheve (2016). The contribution is to put these pieces together in a three-group setting where the extreme top is the salient reference group.

Setup

Society is a unit mass of individuals in three income groups: precarious *outsiders* (O ; share λ_O , income y_O), protected *insiders* (I ; λ_I , y_I), and the *super-rich* (R ; μ , y_R), with

$$y_O < y_I \ll y_R, \quad \lambda_O + \lambda_I + \mu = 1,$$

outsiders and insiders together are the workers, and they form a majority:

$$\lambda_W \equiv \lambda_O + \lambda_I = 1 - \mu > \frac{1}{2}, \quad \bar{y}_W = \frac{\lambda_I y_I + \lambda_O y_O}{\lambda_W}.$$

Outsiders are a plurality but not a majority on their own, $\lambda_O < \frac{1}{2} < \lambda_O + \lambda_I$, so a top-tax majority cannot form without some insiders. This is what makes the insiders the pivotal group whose identity choice the rest of the model turns on. The super-rich are the extreme upper tail (billionaires), not the merely affluent: the mechanism relies on the top being so far above workers (formally, y_R is high enough that no worker’s income comes close to it) that even insiders cannot plausibly reach it. The ordinary affluent are folded into the insider bloc.

Perceived top income

Consistent with long-standing inequality at the top, objective incomes do not change.²⁰ What changes is the visibility and political legibility of the top. Let $\sigma \in [0, \sigma_{\max}]$ denote the salience of the super-rich and $\tilde{y}_R(\sigma)$ their perceived income, with

$$\bar{y}_W < \tilde{y}_R(0) \leq \tilde{y}_R(\sigma) < y_R \text{ for all } \sigma \in [0, \sigma_{\max}], \quad \tilde{y}_R'(\sigma) > 0, \quad \Delta(\sigma) \equiv \tilde{y}_R(\sigma) - y_O.$$

Perceived top income rises with salience but never overtakes the true top: greater visibility narrows the gap between the perceived and the actual top without closing it, so $\tilde{y}_R(\sigma) < y_R$ throughout. That the perceived top lies below the true top is consistent with the empirical literature on beliefs about top incomes (Cruces, Perez-Truglia, and Tetaz 2013; Fernández-Albertos and Kuo 2018; Gimpelson and Treisman 2018; Bogard, West, and Fox 2026). At low salience individuals understate how rich the top is; greater visibility raises the perceived top income. Such beliefs are systematically inaccurate when the top is hard to observe and respond to information or direct exposure (Cansunar 2021; Di Tella, Dubra, and Lagomarsino 2021; Perez-Truglia and Yusof 2024; Ragusa 2015; Kuziemko et al. 2015; Sands 2017).²¹ For the comparative statics it is enough that perceived top income rises with salience

20. We state the model in income terms, consistent with the income-tax instrument the paper studies; nothing substantive changes if y_R is read as a stock of wealth and τ_R as a tax on it.

21. The relevant belief concerns how rich the rich are, rather than the shape of the entire distribution or an individual’s own rank (Cruces, Perez-Truglia, and Tetaz 2013; Fernández-Albertos and Kuo 2018; Gimpelson and Treisman 2018).

over a bounded domain; the low- and high-salience regimes below are imposed through boundary conditions, not through the unrealistic assumption that perceived income grows without bound.

Policy environment

Redistributive politics has two distinct facets (Cavaillé and Trump 2015): a top tax $\tau_R \in [0, 1]$ on the super-rich that funds an equal transfer to all workers, and within-labor redistribution from insiders to outsiders (which we keep fixed throughout, formalized below as the value $\bar{V}_W$; it carries no separate policy instrument in the model). The costs of taxing the super-rich fall on a narrow group while its benefits cross the insider–outsider divide. By contrast, within-labor redistribution finances transfers targeted at outsiders out of general revenue, including regressive consumption and labor taxes (Beramendi and Rueda 2007; Higgins and Lustig 2016): insiders are net contributors and concede such transfers only up to a point, preferring dualization. The first instrument creates a possible common interest among workers; the second exposes a conflict between them. To isolate the emergence of a tax-the-rich coalition, we hold within-labor redistribution fixed and denote its value to a potential supporter by $\bar{V}_W > 0$. The active policy choice is the top rate τ_R . This does not assume the insider–outsider conflict is unimportant; it asks when a common conflict with the top becomes more politically compelling than that pre-existing division within labor.

Preferences

A worker’s payoff, denoted by U_i , has two components: a perceived material payoff and the value of the identity she adopts.

A worker’s perceived material payoff under the top rate τ_R is

$$\pi_i(\tau_R; \sigma) = y_i + \frac{\mu \tilde{y}_R(\sigma)}{1 - \mu} \tau_R - \frac{c}{2} \tau_R^2, \quad c > 0,$$

perceived revenue per worker net of an efficiency cost. We reserve π_i for the material component of a worker’s utility and keep U_i (below) for full utility once identity enters; π_i is a payoff to the individual, not a firm’s profit. The within-labor facet adds a fixed group-specific constant, suppressed because it does not depend on τ_R . Perceived post-tax incomes of the worker mean and of the top are $\tilde{\pi}_W(\tau_R) = \bar{y}_W + \frac{\mu \tilde{y}_R(\sigma)}{1 - \mu} \tau_R$ and $\tilde{\pi}_R(\tau_R) = (1 - \tau_R) \tilde{y}_R(\sigma)$ (with $\tilde{\pi}_W$ taken gross of the efficiency cost, so the two enter the status comparison symmetrically), so the perceived worker–rich gap is

$$\Gamma(\tau_R; \sigma) = \tilde{\pi}_R(\tau_R) - \tilde{\pi}_W(\tau_R) = (\tilde{y}_R(\sigma) - \bar{y}_W) - \frac{\tilde{y}_R(\sigma)}{1 - \mu} \tau_R.$$

Following Shayo (2009), identity is endogenous and enters utility additively through status and perceived distance. Two objects govern the identity choice: the perceived social distance to each identity and the status it confers. We define each in turn and then combine them into utility.

Perceived distances are measured against the perceived range $\Delta(\sigma)$, so visibility rescales social distance (Lupu and Pontusson 2011):

$$d_{iW}(\sigma) = \frac{|y_i - \bar{y}_W|}{\Delta(\sigma)}, \quad d_{iR}(\sigma) = \frac{\tilde{y}_R(\sigma) - y_i}{\Delta(\sigma)}, \quad d_{iI} = d_{iO} = 0.$$

As the top becomes more visible the range expands, so a fixed insider–outsider difference shrinks ($d'_{iW}(\sigma) < 0$) while the distance to the rich grows ($d'_{iR}(\sigma) > 0$): the rich become less plausibly “us.”

Status is a group’s relative standing, as in Shayo (2009). The value of the encompassing worker identity is the policy-achievable improvement in that standing: the extent to which acting through it *reduces* the group’s perceived disadvantage relative to the top. That the improvement, not the static level, is what motivates is microfounded by aversion to disadvantageous inequality (Lü and Scheve 2016):

$$S_W(\tau_R; \sigma) = \Gamma(0; \sigma) - \Gamma(\tau_R; \sigma) = \frac{\tilde{y}_R(\sigma)}{1 - \mu} \tau_R \geq 0.$$

Identifying as a worker thus makes closing the gap to the top a source of value: $\partial S_W / \partial \tau_R > 0$. The narrow class is the baseline, $S_I = S_O = 0$ (insiders instead defend their advantage over outsiders on the fixed within-labor facet). The rich are a high-status prize whose value erodes as the top is taxed, $S_R(\tau_R) = \bar{S}_R (1 - \tau_R)$ with $\bar{S}_R > 0$: aspiring to a group that is itself being taxed is worth less, so $\partial S_R / \partial \tau_R < 0$. What changes with salience is the distance to reaching the top, not the size of the prize at $\tau_R = 0$.

Having defined both distance and status, a worker i who adopts identity J under policy τ_R obtains

$$U_i(J; \tau_R, \sigma) = \pi_i(\tau_R; \sigma) - \beta d_{iJ}(\sigma)^2 + \gamma S_J(\tau_R; \sigma) - \chi_i \mathbf{1}\{J \neq \text{own class}\},$$

with $\beta > 0$ weighting distance, $\gamma > 0$ weighting status, and $\chi_i \geq 0$ the attachment cost of leaving one's narrow class.²² Insiders choose among the narrow class I , the encompassing worker identity W , and identifying upward with the rich R ; outsiders choose between O and W . The identity labels reuse the class symbols: an individual's objective class is fixed by the setup, whereas the identity $J \in \{O, I, W, R\}$ is chosen. An insider (objective class I) may thus hold identity I , W , or R , and her material payoff π_i always uses her own income y_i , not the income of the group she identifies with.

Support for the top tax and the deviation from the material-interest rate

A worker who holds the encompassing identity internalizes the gap-closing value and prefers

$$\tau_R^W(\sigma) = \min\left\{\frac{\tilde{y}_R(\sigma)}{(1-\mu)c}(\mu + \gamma), 1\right\},$$

whereas a worker who holds a narrow class identity, for whom status does not depend on τ_R , prefers the material-interest rate

$$\tau_R^I(\sigma) = \min\left\{\frac{\mu \tilde{y}_R(\sigma)}{(1-\mu)c}, 1\right\},$$

and an insider who identifies upward with R , whose prize erodes with the tax, prefers $\tau_R^R(\sigma) = \max\{[\mu \tilde{y}_R(\sigma)/(1-\mu) - \gamma \bar{S}_R]/c, 0\}$, which is zero when the aspirational motive outweighs the material one, $\gamma \bar{S}_R \geq \mu \tilde{y}_R(\sigma)/(1-\mu)$: an insider who aspires upward and sees the prize taxed away prefers no top tax. Each interior rate solves the worker's first-order condition; the derivation is in the proof of Proposition 1. Let

$$V(\sigma) = \max_{\tau_R} [\pi_i(\tau_R; \sigma) - y_i + \gamma S_W(\tau_R; \sigma)]$$

be the value a worker attaches to the top-tax platform under the encompassing identity.

The comparison between $\tau_R^W(\sigma)$ and $\tau_R^I(\sigma)$ isolates the first role of identity in the model. Holding fixed the worker's material interest, adopting the encompassing worker identity adds value to policies that reduce the worker-rich gap. Proposition 1 shows that this status motive raises the preferred top-tax rate above the purely material-interest rate, and that salience strengthens both the preferred rate and the value of the top-tax platform.

Proposition 1 (Support and the deviation from the material-interest rate) For $\gamma > 0$, $\tau_R^W(\sigma) \geq \tau_R^I(\sigma)$, with strict inequality whenever both rates lie below the cap: valuing the group's standing relative to the top raises the preferred rate above the material-interest rate. Both rates and the platform value $V(\sigma)$ are nondecreasing in σ , strictly below the cap. At $\gamma = 0$ all identities collapse to the material rate $\mu \tilde{y}_R(\sigma)/((1-\mu)c)$, so status alone generates the deviation.

Proof. τ_R^W maximizes $\frac{\mu \tilde{y}_R}{1-\mu} \tau_R - \frac{c}{2} \tau_R^2 + \gamma \frac{\tilde{y}_R}{1-\mu} \tau_R$, with first-order condition $\frac{\tilde{y}_R}{1-\mu}(\mu + \gamma) = c \tau_R$; τ_R^I drops the γ term. Hence $\tau_R^W - \tau_R^I = \gamma \tilde{y}_R/((1-\mu)c) > 0$ for interior rates (both below the cap). Both rise with σ because $\tilde{y}_R' > 0$; $V'(\sigma) > 0$ by the envelope theorem. $\square$

Because the tax falls only on the top and funds a flat transfer, the material-interest rate is independent of a worker's own income: every worker, insider or outsider, agrees on it. This is the opposite of the Meltzer-Richard decisive-voter logic, in which the preferred rate tracks the gap between the voter's income and the mean. Here income differences do not drive the rate; identity does, through the status term γS_W .

Support for an increase. Fix the status-quo top rate $\bar{\tau}$ and say a worker supports *raising* the rate when her preferred rate exceeds $\bar{\tau}$. Since $\tau_R^I(\sigma)$ and $\tau_R^W(\sigma)$ are nondecreasing in σ (Proposition 1), the share of workers preferring a rate above $\bar{\tau}$ is nondecreasing in σ . The comparative static concerns this margin: the material-interest

22. The attachment cost is continuously distributed across insiders, $\chi_i \sim F$ with a smooth, strictly increasing F on $[0, \bar{\chi}]$. The *pivotal insider* is the threshold type whose cost exactly equals the net benefit of adopting the encompassing identity: insiders with lower costs switch and those with higher costs do not, so the share who switch is the mass of types below that threshold and rises smoothly as salience raises the benefit. The homogeneous-cost case, in which all insiders switch together, is the limit in which F concentrates at a point.

rate is strictly positive at every σ , so a positive rate is preferred at any salience, and what salience raises is how high a rate workers want—and hence how many favor an increase over the status quo.

The previous result shows that salience increases the value of the top-tax platform under the encompassing worker identity. Proposition 2 translates that result into a statement about the composition of redistributive demand. Since the value of within-labor redistribution is held fixed, any increase in $V(\sigma)$ raises the relative weight workers place on taxing the top.

Proposition 2 (Facet reorientation) With the within-labor facet fixed at $\bar{V}_W$, the relative emphasis on the tax facet, $\Theta(\sigma) = V(\sigma)/(V(\sigma) + \bar{V}_W)$, is increasing: $\Theta'(\sigma) = \bar{V}_W V'(\sigma)/(V(\sigma) + \bar{V}_W)^2 > 0$. Greater salience shifts redistributive demand from spending targeted within labor toward taxing the top (Cavallé and Trump 2015).

Endogenous identity: aspiration and social distance

Because the common transfer is the same under any identity, it cancels from the identity comparison, leaving each insider comparing the net identity values

$$\Omega_I = 0, \quad \Omega_W(\sigma) = \gamma S_W(\bar{\tau}_R; \sigma) - \beta d_{IW}(\sigma)^2 - \chi_i, \quad \Omega_R(\sigma) = \gamma \bar{S}_R(1 - \bar{\tau}_R) - \beta d_{iR}(\sigma)^2 - \chi_i,$$

evaluated at the realized top rate $\bar{\tau}_R$. Two forces move with salience. The encompassing identity becomes more attractive, because its status S_W rises with σ and its distance d_{IW} falls. The aspirational identity becomes less attractive, because the prize is increasingly out of reach as d_{iR} grows and, once a coalition raises $\bar{\tau}_R$, the prize itself is smaller. The narrow class is unaffected. Outsiders face the same comparison without the aspirational option: they weigh $\Omega_O = 0$ against $\Omega_W(\sigma)$ and adopt W once $\Omega_W(\sigma) \geq 0$. Because $\lambda_O \geq \lambda_I$ places outsiders no farther from the worker mean than insiders ($|y_O - \bar{y}_W| \leq |y_I - \bar{y}_W|$, so d_{iW} is weakly smaller for them), Ω_W is at least as high for an outsider as for the pivotal insider; outsiders therefore adopt W whenever the pivotal insider does, which is why the insiders are the coalition's swing group. This comparison assumes outsiders' attachment costs are drawn from the same distribution F (or one first-order stochastically dominated by it), so that their smaller distance to the worker mean is not offset by systematically higher costs.

The next assumption gathers the primitive restrictions that select the regime of interest.

Assumption 1 (Boundary and regime-selection conditions) Insiders are the marginal identifiers. They lie above the worker mean ($y_O < \bar{y}_W < y_I$, since $\bar{y}_W$ is a convex combination of y_O and y_I), so they alone face the upward pull of aspiration; and because outsiders are at least as numerous as insiders ($\lambda_O \geq \lambda_I$, hence $|y_O - \bar{y}_W| \leq |y_I - \bar{y}_W|$), outsiders are no farther from the worker mean than insiders and, lacking any aspiration option, adopt the encompassing identity whenever the pivotal insider does. The coalition's swing group is therefore the insiders. The regime is selected by conditions on primitives rather than by assuming the outcome. Let χ^* denote the pivotal insider's attachment cost. At $\sigma = 0$ the perceived top is low enough that the encompassing identity fails even under universal adoption, $\gamma \bar{y}_R(0) \tau_R^W(0)/(1 - \mu) - \beta d_{iW}(0)^2 < \chi^*$. At $\sigma = \sigma_{\max}$ it succeeds even when no other insider adopts it, $\gamma \bar{y}_R(\sigma_{\max}) \tau_R^I(\sigma_{\max})/(1 - \mu) - \beta d_{iW}(\sigma_{\max})^2 > \chi^*$, and it beats aspiration, $\Omega_R(\sigma_{\max}) < \Omega_W(\sigma_{\max})$ (equivalently, $\gamma \bar{S}_R(1 - \bar{\tau}_R) - \beta d_{iR}(\sigma_{\max})^2 < \gamma \bar{y}_R(\sigma_{\max}) \bar{\tau}_R/(1 - \mu) - \beta d_{iW}(\sigma_{\max})^2$, the attachment cost cancelling). These place the pivotal insider's gain below zero at $\sigma = 0$ and above zero at $\sigma = \sigma_{\max}$; because the compression of d_{iW} and the growth of d_{iR} carry the gain up continuously in between, the switch occurs once (single crossing). Since the adoption gain strictly increases in the share whenever $\gamma > 0$ (Proposition 4), the coalitional-potential window is then non-empty, and the aspirational option is defeated before the coalition forms.

The second sentence selects one of the regimes that Shayo (2009, Prop. 2, part 4) shows are possible: the effect of a more unequal or more visible top on identification is generically ambiguous, and can favor either upward identification or class-like solidarity. We assume the solidarity regime and treat the aspiration regime as a scope condition below.

The next result makes this logic explicit. Increasing salience has opposite effects on the two non-narrow identities: it brings workers closer to one another in perceived social space, but pushes the rich farther away. Once aspiration is defeated, the relevant margin is whether insiders remain in their narrow class or join the encompassing worker identity.

Proposition 3 (Salience, aspiration, and social distance) Under Assumption 1, for the pivotal insider $\Omega_W(\sigma) - \Omega_R(\sigma)$ and $\Omega_W(\sigma) - \Omega_I$ are strictly increasing in σ : aspiration is preferred only below a salience cutoff, above which the relevant contest is between the narrow class and the encompassing identity. Because the identity game

can have multiple equilibria (Proposition 4), let $\underline{n}^*(\sigma)$ and $\bar{n}^*(\sigma)$ be the lowest and highest equilibrium shares of insiders adopting W ; both are nondecreasing in σ . The mass backing the top-tax platform, $M(n) = \lambda_O + n\lambda_I$, is correspondingly nondecreasing along either selection. Since $\lambda_O < \frac{1}{2} < \lambda_O + \lambda_I$, this mass reaches a majority only by jumping from the low to the high selection as σ crosses the coalitional-potential window, not by rising smoothly through $\frac{1}{2}$. The weight on within-labor division $\omega(\sigma) = \lambda_I(1 - \bar{n}^*(\sigma))$ is nonincreasing.

Proof. $\partial_\sigma S_W = \tilde{y}'_R \bar{\tau}_R / (1 - \mu) > 0$ and $\partial_\sigma [-\beta d_{iW}^2] = 2\beta(y_I - \bar{y}_W)^2 \Delta' / \Delta^3 > 0$ (the top stretches the ruler; Lupu and Pontusson 2011), so Ω_W is increasing in σ ; $d'_{iR} = \tilde{y}'_R(y_I - y_O) / \Delta^2 > 0$ makes Ω_R decreasing (and the policy-dependent prize, which falls as the realized rate rises with σ , only reinforces this). Hence $\Omega_W - \Omega_R$ and $\Omega_W - \Omega_I$ are strictly increasing in σ (single crossing). Existence of the cutoff itself comes from Assumption 1, which places Ω_W below the alternatives at low σ and above them at high σ ; monotonicity then makes the extremal selections $\underline{n}^*(\sigma)$, $\bar{n}^*(\sigma)$, and hence M , nondecreasing and ω nonincreasing. $\square$

Coalition formation as a coordination problem

The realized top rate depends on the identity composition: with a share n of insiders and all outsiders holding W , the pivotal voter prefers $\bar{\tau}_R(n) = \tau_R^W$ once W -identifiers are a majority of the electorate ($\lambda_O + n\lambda_I > \frac{1}{2}$, the super-rich being non-pivotal) and τ_R^I otherwise, so $\bar{\tau}_R(n)$ is nondecreasing in n . Because S_W rises with the realized rate, the gain from adopting W ,

$$G(\sigma, n) = \gamma S_W(\bar{\tau}_R(n); \sigma) - \beta d_{iW}(\sigma)^2 - \chi_i,$$

is increasing in n : identity choices are strategic complements, but the complementarity runs *through the equilibrium policy*, exactly as in Shayo (2009, Fig. 2), not through a group-size effect. An equilibrium of the identity game is a share $n \in [0, 1]$ of insiders adopting W and a realized rate $\bar{\tau}_R$ that are mutually consistent: $\bar{\tau}_R = \bar{\tau}_R(n)$ is the majority-voting outcome given the identity composition, and each insider's identity choice is optimal given $\bar{\tau}_R$, so a type switches exactly when its gain $G(\sigma, n) \geq 0$. A share n^* is an equilibrium when it reproduces itself under this best response; this is a pure-strategy Nash equilibrium of the identity game, and the multiplicity below is multiplicity of such fixed points.

The feedback between identity and policy creates the possibility of multiple stable outcomes. If too few insiders adopt the worker identity, the material-interest rate prevails and the status return to adopting W remains low. If enough insiders adopt it, the higher top-tax rate makes the worker identity more valuable, sustaining broader adoption. Proposition 4 characterizes the salience values for which this feedback generates a coordination problem.

Proposition 4 (Coalition formation and tipping) Under Assumption 1, on the range where aspiration is defeated, there exist thresholds $\underline{\sigma} < \bar{\sigma}$ such that fragmentation ($n^* = 0$) is the unique equilibrium for $\sigma < \underline{\sigma}$, encompassing solidarity ($n^* = 1$) is unique for $\sigma > \bar{\sigma}$, and both coexist for $\sigma \in (\underline{\sigma}, \bar{\sigma})$, where the realized outcome turns on coordination. This interval is the polity's *coalitional potential*.

Proof. We restrict attention to the interior region in which the material rate stays below the ceiling at the top of the window, $\tau_R^I(\bar{\sigma}) < 1$; this keeps $\tau_R^W > \tau_R^I$, so the gain from adoption is strictly increasing in the share throughout. $G(\sigma, 0)$ and $G(\sigma, 1)$ are continuous and increasing in σ , with $G(\sigma, 1) - G(\sigma, 0) = \gamma \frac{\tilde{y}_R(\sigma)}{1 - \mu} (\tau_R^W - \tau_R^I) > 0$ (equal to $\gamma^2 \tilde{y}_R(\sigma)^2 / ((1 - \mu)^2 c)$ where both rates are interior), so G is increasing in n . Because $G(\sigma, 0)$ and $G(\sigma, 1)$ are each nondecreasing in σ and G is increasing in n , the lowest and highest equilibrium shares are nondecreasing in σ directly, without invoking increasing differences across the $\min\{\cdot, 1\}$ cap. Assumption 1 gives $G(\underline{\sigma}, 1) = 0$ and $G(\bar{\sigma}, 0) = 0$ with $\underline{\sigma} < \bar{\sigma}$: below $\underline{\sigma}$ even universal adoption fails, above $\bar{\sigma}$ adoption is dominant, and between them either equilibrium can be selected. Across the two equilibria the realized rate jumps from τ_R^I to τ_R^W : outsiders, who hold W throughout, strictly prefer solidarity, while an insider prefers it only where the identity gain covers the cost of taxing above the material optimum, $G(\sigma, 1) \geq \gamma^2 \tilde{y}_R^2 / (2(1 - \mu)^2 c)$, which holds for σ nearer $\bar{\sigma}$. $\square$

Corollary 1 (Mobilization) Organized actors, such as unions and labor-based parties, can change the outcome only inside $(\underline{\sigma}, \bar{\sigma})$, where equilibrium selection is open; outside it the identity equilibrium is unique. They do not create the underlying preference for taxing the top: they select the solidary equilibrium by coordinating expectations. The return to mobilization is therefore concentrated in the coalitional-potential region and need not be globally monotone in σ : once solidarity is the unique equilibrium, coordination effort is no longer needed.

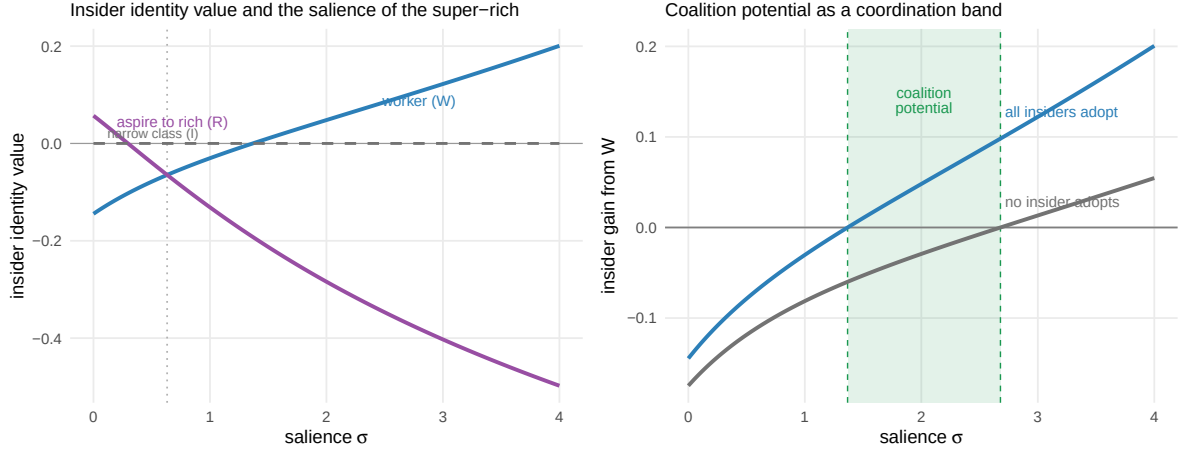


Figure A1: Coalition potential opens as the top becomes visible.

Notes: Illustrative rendering of the model's closed forms (Appendix A.1), not data. *Left:* the pivotal insider's net value from each identity as a function of salience σ — the encompassing worker identity (W), aspiration to the rich (R), and the narrow class (I , normalized to zero). At low salience the top seems within reach and aspiration dominates; as the perceived top pulls away, the distance to the rich grows and, once the top is taxed, the prize of joining it shrinks ($S_R(\tau_R) = \bar{S}_R(1 - \tau_R)$), so worker solidarity overtakes it. *Right:* the insider's gain from adopting W when no other insider adopts ($n = 0$, realized rate τ_R^I) and when all do ($n = 1$, realized rate τ_R^W); the vertical gap between the curves is the policy–status feedback. Below $\underline{\sigma}$ fragmentation is the unique equilibrium; above $\bar{\sigma}$ solidarity is unique; the shaded band $(\underline{\sigma}, \bar{\sigma})$ is the coalition-potential region, where both are stable and the realized outcome depends on equilibrium selection. Parameters ($y_O = 1$, $y_I = 2.5$, $\mu = 0.05$, $\lambda_I = 0.46$, $\lambda_O = 0.49$, $c = 1$, $\gamma = 0.055$, $\beta = 0.95$, $\chi = 0.06$, $\bar{S}_R = 4.8$, perceived top $\tilde{y}_R(\sigma) = 3 + 0.9\sigma$) are illustrative; the ordering $\underline{\sigma} < \bar{\sigma}$, the aspiration crossover, and the monotone comparative statics hold generally.

Scope conditions

Coalitional potential is not policy. An electoral majority does not by itself determine the policy agenda or guarantee enactment, because organized interests can exert influence outside electoral competition (Hacker and Pierson 2010). Organized elite power caps the realized rate, $\tau^R = \min\{\tau_R^W(\sigma), \bar{\tau}(P)\}$ with $\bar{\tau}'(P) < 0$, and can also raise the attachment cost χ_i or cast doubt on enforcement, keeping support latent rather than durable (Fairfield 2013, 2015). The comparative statics above apply on the interior region where the preferred rates lie below the 100% ceiling, $\tau_R^I(\bar{\sigma}) < 1$; at the ceiling a rate stops responding to salience, though the qualitative ranking $\tau_R^W \geq \tau_R^I$ is preserved. The model is deliberately demand-side, and it imposes a joint restriction on the data: the single driver σ must move both outcomes, and the status weight γ is necessary for each. Setting $\gamma = 0$ collapses the preferred rate to the material-interest rate and makes $G = -\beta d_{iW}^2 - \chi \leq 0$, so neither the deviation nor an encompassing identity arises; fixing σ instead holds $\tilde{y}_R$ constant, so the rate and G keep their γ terms but do not respond to visibility. Either shutdown severs the joint response. Because the single driver σ moves both blocks, increases in the salience of the super-rich should *jointly* raise support for taxing the top and strengthen an encompassing worker identity. Support without solidarity would indicate that only the fiscal channel is operating. Finally, if the pull of the aspirational prize outlasts the growth of the distance to it, Assumption 1 fails and visibility instead strengthens aspiration to join the wealthy: a testable alternative regime rather than a flaw.

Targeting the revenue to outsiders

The flat transfer of the baseline should not be read literally as an equal check. It stands for any spending rule under which insiders recover something, whether directly or through the externalities of reduced poverty. Schooling, health, and public safety are partly non-rival, so programs aimed at the poor return part of their value to workers higher up, and the flat rule is the reduced form for that return. Read this way, the baseline already covers most of what real anti-poverty spending does. The demanding case is therefore the limiting one, in which the revenue goes entirely to outsiders and insiders recover nothing at all, not even indirectly. Even there the coalition survives, because it no longer rests on what insiders receive.

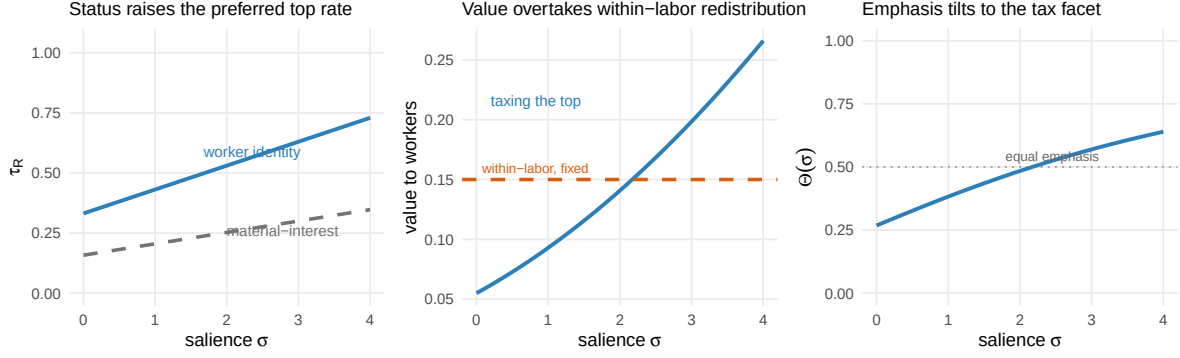


Figure A2: Salience shifts redistributive demand toward taxing the top.

Notes: Illustrative comparative statics of the model's closed forms (Appendix A.1), not data. As the salience of the top σ rises, the rate preferred under the encompassing worker identity $\tau_R^W(\sigma)$ stays above the material-interest rate $\tau_R^I(\sigma)$ — the gap is the status premium (left); the value of taxing the super-rich $V(\sigma)$ overtakes the fixed value of within-labor redistribution $\bar{V}_W$ (center); and the tax-facet emphasis $\Theta(\sigma) = V/(V + \bar{V}_W)$ climbs toward one (right). Parameters ($y_O = 1$, $y_I = 2.5$, $\mu = 0.05$, $c = 1$, $\gamma = 0.055$, $\bar{V}_W = 0.15$, perceived top income $\tilde{y}_R(\sigma) = 3 + 0.9\sigma$) are chosen only for legibility; the monotonicities hold for all admissible values.

Let $\rho \in [0, 1]$ index the targeting, with $\rho = 0$ the flat rule and $\rho = 1$ full concentration on outsiders. Holding the budget balanced, $\lambda_I g_I + \lambda_O g_O = \mu \tilde{y}_R(\sigma) \tau_R$, the per-worker transfers are

$$g_I(\tau_R; \rho) = (1 - \rho) T(\tau_R), \quad g_O(\tau_R; \rho) = \left(1 + \rho \frac{\lambda_I}{\lambda_O}\right) T(\tau_R), \quad T(\tau_R) = \frac{\mu \tilde{y}_R(\sigma)}{1 - \mu} \tau_R,$$

which replace the flat transfer in an insider's and an outsider's material payoff.²³

Targeting cuts one of the insider's two reasons to tax the top and leaves the other intact. The material reason dies: a narrow-class insider prefers $\tau_R^{N,I}(\rho) = (1 - \rho) \mu \tilde{y}_R / ((1 - \mu)c)$, which falls to zero at $\rho = 1$, while a narrow-class outsider prefers $\tau_R^{N,O}(\rho) = (1 + \rho \lambda_I / \lambda_O) \mu \tilde{y}_R / ((1 - \mu)c)$, which rises.²⁴ Inside the top tax itself, targeting reopens the insider–outsider divergence the flat rule had closed. The status reason does not move at all. Because S_W compares the worker *mean* with the top, and shifting a peso from an insider to an outsider relocates income within the group without moving its mean, $S_W(\tau_R; \sigma) = \tilde{y}_R(\sigma) \tau_R / (1 - \mu)$ is independent of ρ . At $\rho = 1$ an insider who receives nothing still prefers the strictly positive rate $\gamma \tilde{y}_R / ((1 - \mu)c)$, driven entirely by status.

Targeting nonetheless has a price, and it runs through the rate rather than through the identity. Because outsiders are a plurality but not a majority ($\lambda_O < \frac{1}{2}$), the median voter is an insider, so the enacted rate tracks the insider's preference and falls in ρ .²⁵ The status value does not care how the revenue is divided, but it does care how much is raised: a lower rate closes less of the gap, so S_W shrinks. Targeting therefore never attacks the identity motive directly. It starves it indirectly. Both $G(\sigma, 0)$ and $G(\sigma, 1)$ fall in ρ while the vertical gap between them stays at $\gamma^2 \tilde{y}_R(\sigma)^2 / ((1 - \mu)^2 c)$, so both thresholds rise and the coalition needs more salience at every level of targeting (Figure A3).

Past a finite ρ^* the change becomes qualitative: solidarity stops being something salience delivers on its own.

23. Social distance continues to be measured on market incomes, as in the baseline, where the flat transfer moved every worker by the same amount and so left d_{iW} untouched. Under targeting a post-transfer measure would compress the worker distribution and lower d_{iW} , a force we exclude and one that would work in favor of the coalition.

24. At $\rho = 0$ both collapse to the common rate τ_R^I of Proposition 1, and the corresponding worker-identity rates to τ_R^W . The agreement on a common material rate there is a property of the flat rule rather than of the top tax as such.

25. With all outsiders holding W and a share n of insiders doing so, ideal points order as $\tau_R^{N,I} \leq \tau_R^{W,I} \leq \tau_R^{N,O}$, and the mass at or below the narrow-class insider is $\mu + (1 - n)\lambda_I$, which drops below one half exactly when W -identifiers become a majority. The enacted rate is $\tau_R^{W,I}(\rho) = [(1 - \rho)\mu + \gamma] \tilde{y}_R / ((1 - \mu)c)$ when the coalition holds and $\tau_R^{N,I}(\rho)$ when it does not. Since a worker receives the same transfer whatever identity she adopts, the transfer cancels from the identity comparison, so ρ enters the adoption gain only through the enacted rate.

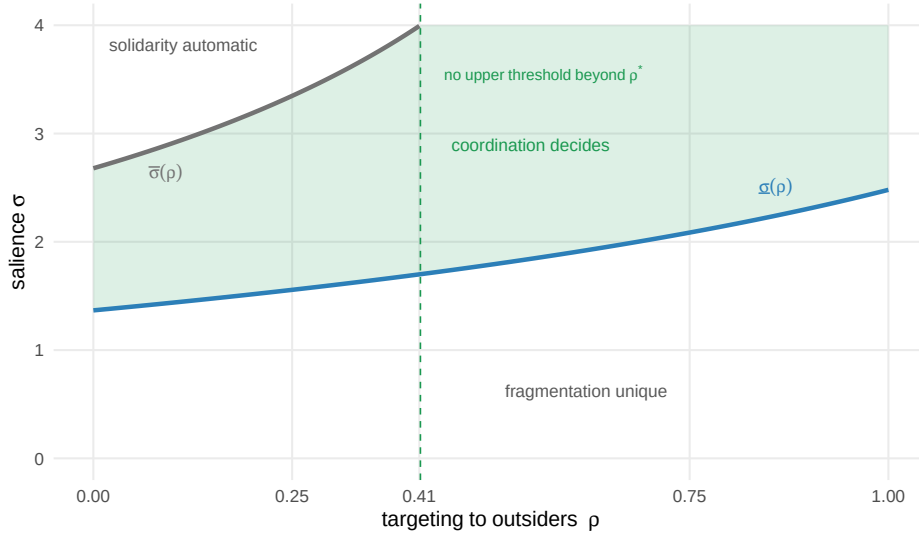


Figure A3: Targeting the top-tax revenue to outsiders makes coordination indispensable.

Notes: Illustrative rendering of the model's closed forms (Appendix A.1), not data. The horizontal axis is the share of top-tax revenue targeted to outsiders, ρ ($\rho = 0$ the flat transfer, $\rho = 1$ all revenue to outsiders); the vertical axis is the salience of the top, σ , over its admissible range $[0, \sigma_{\max}]$. Because outsiders are a plurality but not a majority ($\lambda_O < \frac{1}{2}$), the median voter is an insider, so the enacted rate tracks the insider's preference and falls with ρ . A lower enacted rate shrinks the status value S_W , so both thresholds rise: the coalition needs more salience at every level of targeting. The shaded region between $\underline{\sigma}(\rho)$ and $\bar{\sigma}(\rho)$ is the coalitional-potential window, where the outcome turns on coordination; below it fragmentation is the unique equilibrium and above it solidarity is unique. The upper threshold rises faster than the lower one, so the window also widens, until at $\rho^* = 0.41$ it reaches the top of the admissible range. To the right of ρ^* the no-adoption gain is negative at every salience, so no upper threshold exists: fragmentation is always an equilibrium and solidarity never forms on its own. At $\rho = 1$ this holds for any parameter values, since the gain reduces to $-\beta d_{iW}(\sigma)^2 - \chi_i < 0$. The value of ρ^* is parameter-specific; its existence for ρ high enough is not. Parameters as in Figure A1.

Two configurations are then self-sealing at every level of salience. If no insider has adopted the worker identity, the enacted rate is the one a narrow-class insider wants, which under heavy targeting is close to nothing; almost none of the gap closes, and no insider has a reason to join. If all insiders have adopted it, the rate is positive, funded purely by status, the gap closes, and holding the identity pays. Formally, $\bar{\sigma}$ reaches $\sigma_{\max}$ at ρ^* and no upper threshold exists beyond it, since $G(\sigma, 0) < 0$ for every admissible σ ; at $\rho = 1$ this holds for any parameter values, as $G(\sigma, 0) = -\beta d_{iW}(\sigma)^2 - \chi_i < 0$. Which configuration prevails is then settled by coordination, not by how visible the super-rich have become.

This is why the spending rule is a strategic choice rather than a distributive detail. On a purely material reading, framing the top tax as spending for the poor is self-defeating, since it tells protected workers they will receive nothing. In this model that is precisely why an organized actor is the one who does it. The framing does not buy insiders off. It marks the super-rich as the common target, and it creates the configuration in which coordination is indispensable rather than optional, which is the configuration that gives unions and labor-based parties a job to do. It also sharpens the test: an insider who backs a tax whose proceeds flow to outsiders reveals the status motive with material self-interest ruled out. The cost of that sharpness is realism, and the opening paragraph names it. To the extent that pro-poor spending returns value to insiders through the externalities of reduced poverty, the relevant case is the baseline rather than the limit, and the tension with self-interest is correspondingly softer.

Relation to the literature

The model combines established results, set out transparently so that its departures are visible. The additive status-minus-distance utility, endogenous identity as a fixed point, the aspirational pull toward a high-status out-group checked by distance, and multiplicity generated through the policy–status feedback rather than a coordination requirement are all taken from Shayo (2009); the regime ambiguity we resolve by assumption is his own (Shayo 2009, Prop. 2). Demand for the top rate driven by the perceived income of the top is from Cansunar (2021) and

Lü and Scheve (2016). Measuring social distance against the perceived range, so a visible top compresses the insider–outsider divide, is from Lupu and Pontusson (2011); it is distinct from the status channel, which those authors deliberately set aside. The model refines, rather than replaces, Shayo’s status concept. Status stays a group’s relative standing in the sense of Shayo (2009); what we value is the policy-achievable *improvement* in that standing, the reduction of the perceived worker–rich gap the top tax delivers, instead of the static level. The refinement is motivated, not free: a static subordinate-group standing is negative and would leave insiders permanently in their higher-standing narrow class, predicting exactly the permanent fragmentation that the mobilization we study contradicts. Aversion to disadvantageous inequality (Lü and Scheve 2016) microfounds why closing the gap, and not the level of standing, carries value, and making it policy-dependent lets identity shape the preferred rate. We also let the aspirational prize erode with the tax, $S_R(\tau_R) = \bar{S}_R(1 - \tau_R)$, a minor extension that makes an upward-identifier’s preference for a low top rate follow from the model rather than be asserted. This combination, together with a three-group structure in which the extreme top is the salient reference, is the model’s contribution.

A.2 IRB

The study received IRB approval, case number *UP-25-00857*.

A.3 Descriptive

Our sample consisted of 1,358 respondents surveyed between February 6 and February 14, of whom 330 were removed after failing an initial attention check (no data was collected on these subjects).

Variable	Mean	SD	N
Increase tax super-rich (close)	0.666	0.472	1013
Sign petition (close)	0.396	0.489	990
Gov should reduce inequality (close)	0.525	0.500	987
Pro taxing super-rich (open)	0.323	0.468	1018
Anti taxing super-rich (open)	0.056	0.230	1018
Ambiguous position (open)	0.593	0.491	1018
Morena supporter	0.468	0.499	989
Not union member	0.837	0.369	990
Informal employment	0.385	0.487	377
Employment: Full-time	0.355	0.479	988
Employment: Unemployed	0.105	0.307	988
Income < \$41,000 MXN	0.456	0.498	990
Income \$41,000-\$95,000 MXN	0.087	0.282	990
Bachelor’s degree or more	0.443	0.497	1018
Older than 60	0.348	0.476	1018
Female	0.514	0.500	1018

Table A1: Summary Statistics

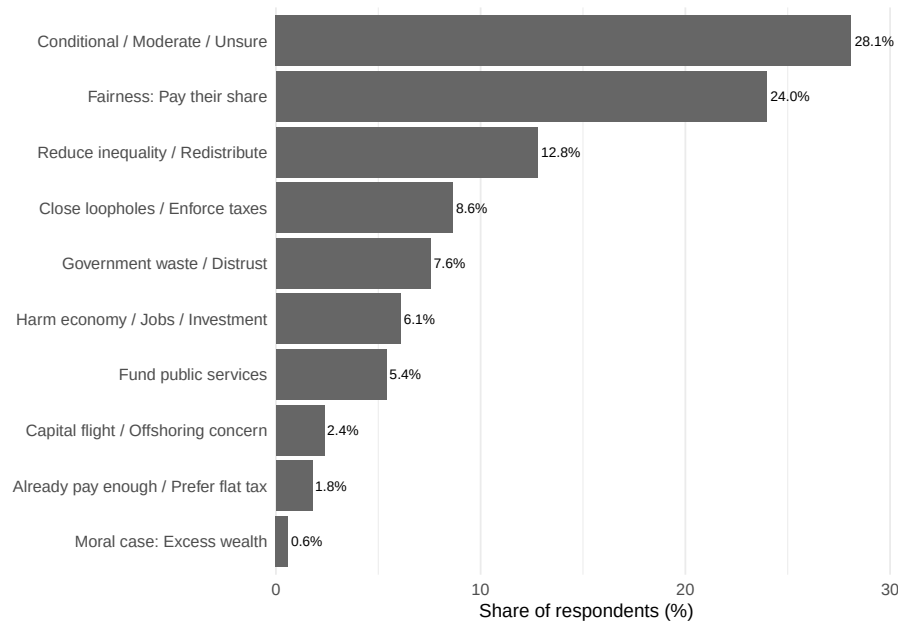


Figure A4: Distribution of Open-Ended Themes (LLM)

Note: The figure displays the share of respondents whose open-ended responses were classified into each thematic category using LLMs. Bars represent the percentage of respondents mentioning each theme. Categories are not mutually exclusive; a single response may contain multiple arguments.

A.4 Top-End-Tax Episodes

Table A2 lists the 28 Latin American episodes used in Study 1 and three comparison episodes outside the region. In plain terms, the inventory records who made the demand, what tax instrument they proposed, whether they named a use for the revenue, and what happened. An episode is included when a specific actor took a public action—a bill, executive proposal, organizational document, statement, plebiscite, resolution, or street mobilization—rather than merely commenting on inequality. The disposition describes the proposal at the time of verification and is not a measure of its later implementation quality.

Table A2: Verified Episodes of Mobilization and Policy Action on Top-End Taxation

Years	Country and episode	Initiator and instrument	Disposition and named use
2020–21	Argentina: Solidarity and Extraordinary Contribution	Governing party with CTA support; one-time wealth levy	Passed; health and pandemic response
2022	Argentina: proposal to renew the solidarity levy	Party and union advocates; wealth tax	Failed; public debt and IMF adjustment
2020–21	Bolivia: Tax on Large Fortunes	Federal executive; wealth tax	Passed; no formal earmark
2019–20	Brazil: pandemic IGF bills	Legislators; wealth tax	Shelved; health and social protection
2024	Brazil: G20 billionaire-tax initiative	Federal executive; internationally coordinated billionaire tax	Partially advanced internationally; no domestic earmark
2025	Brazil: personal-income-tax reform	Federal executive and governing party; income/dividend tax	Passed; offset an expanded low-income exemption
2025	Brazil: Popular Plebiscite	Unions and social movements; higher income tax above R\$50,000 monthly	Pending; paired with shorter working time
2011–14	Chile: student movement and education reform	Social movement and allied parties; corporate-income tax	Partially adopted; free higher education
2017	Chile: Frente Amplio electoral platform	Party coalition; wealth tax	Failed; social programs
2019–20	Chile: protest-era tax agreement	Executive, parties, and movement pressure; mixed tax reform	Passed; social agenda
2020–21	Chile: pandemic wealth-tax bill	Opposition deputies with CUT support; wealth tax	Failed; emergency household income
2022–23	Chile: Boric structural tax reform	Federal executive; wealth and income measures	Failed; social rights and services

Continued on next page

Table A2 continued

Years	Country and episode	Initiator and instrument	Disposition and named use
2014–15	Colombia: Santos wealth tax	Federal executive; wealth tax	Passed; closing the fiscal gap
2022	Colombia: Petro tax reform	Federal executive; mixed top-income, wealth, and corporate measures	Passed; social spending
2020	Costa Rica: progressive COVID contribution	Legislators; mixed high-income and wealth measures	Shelved; emergency response
2021	Ecuador: temporary post-COVID contribution	Federal executive; temporary wealth contribution	Passed; post-pandemic recovery
2017	France: repeal of the ISF wealth tax	Federal executive; reverse-direction comparator	Passed; tax reduction
2020	Guatemala: Semilla top-income-bracket bill	Legislators; income tax	Shelved; assistance to dismissed workers
2021	Mexico: Morena one-time wealth-tax initiative	Legislators; wealth tax	Shelved; pandemic fiscal capacity
2023	Mexico: Oxfam top-wealth proposal	NGO coalition; wealth tax	Pending; public services
2024	Mexico: Fiscal Justice Alliance proposal	NGO coalition; income and inheritance taxes	Failed; 2025 budget and social spending
2025	Mexico: Alliance Against Inequality march	NGO/movement coalition; graduated billionaire wealth tax	Pending; support for low-income families
2025	Mexico: CNTE fiscal demands	Teacher unions; progressive top-income and wealth measures	Failed; ISSSTE pensions
2021	Paraguay: wealth-tax initiative	Frente Guasú legislators with teacher-union support; wealth tax	Failed; education
2020	Peru: Frente Amplio wealth-tax bill	Legislators; wealth tax	Failed; pandemic response
2021	Peru: Mendoza campaign proposal	Party candidate; wealth tax	Failed; health and education
2022	Peru: Peru Libre wealth-tax bill	Legislators; wealth tax	Shelved; closing social gaps
2022	Spain: temporary solidarity tax on large fortunes	Federal executive; wealth tax	Passed; general revenue
2019–20	United States: Warren and Sanders campaign plans	Party candidates; wealth tax	Failed; social programs
2020–21	Uruguay: Frente Amplio COVID capital levy	Party and union allies; wealth/capital levy	Failed; COVID solidarity fund
2025	Uruguay: PIT–CNT child-poverty proposal	National labor confederation; 1% top-wealth surcharge	Pending; dedicated child-poverty fund

US Mobilization for Taxing the Super-Rich

Fair Share Amendment in Massachusetts. In 2022, Massachusetts voters approved the Fair Share Amendment, a change that added a 4 % surtax on income above \$1 million.²⁶ The ballot measure was championed by a broad coalition of labor unions and community groups and opposed by a billionaire–funded campaign. The Massachusetts Teachers Association, the Massachusetts AFL–CIO and other unions framed the surtax as a way to fund public education and transportation while making millionaires pay their fair share (Prescod 2022).

Share Our Wealth Coalition in New York. In early 2025, a coalition of unions, faith groups, and community organizations in New York launched the “Share Our Wealth” campaign. In an open letter to the governor and state legislative leaders, the coalition urged them to include fair–share tax proposals in the fiscal year 2025–26 budget. The coalition called for increasing the top income tax rate by 0.5 percentage points on incomes over \$5 million and \$25 million and raising the corporate tax rate by 1.75 percentage points; these modest increases would generate about \$3 billion annually for childcare, education, higher education, and transportation (CWA 2025). Union leaders argued that the reforms would ensure the “super–rich” pay their fair share and provide sustainable revenue for public services.²⁷

A.5 Mexico’s Tax Context

Mexico’s 2026 federal personal-income-tax schedule contains eleven marginal brackets. The schedule is progressive, but the highest rates apply far above the income categories reported by most survey respondents: the 34% bracket begins at MXN 1,702,567.98 in annual taxable income and the 35% bracket begins at MXN 5,107,703.93. A marginal rate applies only to income within its bracket, not to all income. Mexico has no recurrent net wealth tax

26. For more information, visit [fairshare](#).

27. For more information refer to [shareourwealthny](#)

and no specific inheritance, estate, or gift tax; qualifying inheritances and some family gifts are exempt under the income-tax law, while states and Mexico City levy real-property taxes.

Table A3: Mexico: Annual Personal-Income-Tax Brackets, 2026

From (MXN)	To (MXN)	Marginal rate (%)
0.01	10,135.11	1.92
10,135.12	86,022.11	6.40
86,022.12	151,176.19	10.88
151,176.20	175,735.66	16.00
175,735.67	210,403.69	17.92
210,403.70	424,353.97	21.36
424,353.98	668,840.14	23.52
668,840.15	1,276,925.98	30.00
1,276,925.99	1,702,567.97	32.00
1,702,567.98	5,107,703.92	34.00
5,107,703.93	and above	35.00

Personal-income taxes supplied 21.1% of Mexican tax receipts in 2023, close to corporate-income taxes (22.0%) and below VAT (24.2%). Social-security contributions supplied 13.5%, other goods-and-services taxes 10.9%, property taxes 2.0%, and other taxes 6.3%. This composition clarifies why citizens may encounter both direct and indirect taxation even when few face the statutory top personal rate. We found no harmonized published estimate of the average effective personal-income-tax rate paid by Mexico's top 1% or top 0.1%; the 35% statutory marginal rate should not be interpreted as that effective rate.

Table A4: Comparative Top Statutory Personal-Income-Tax Rates

Country	Rate (%)	Reference year
Brazil	27.5	2025
Mexico	35.0	2026
Argentina	35.0	2025
Chile	35.5	2025
Uruguay	36.0	2026
United States	37.0	2026
Colombia	39.0	2026

Sources: PwC Worldwide Tax Summaries, country pages on taxes on personal income and Mexico's other taxes (accessed August 3, 2026); OECD, *Revenue Statistics 2025: Mexico*, for the 2023 revenue composition. Statutory rates are not harmonized effective-tax-rate estimates and may exclude subnational surcharges or credits.

A.6 Questionnaire Wording for Analyzed Variables

The survey was administered in Spanish. Table A5 reproduces the full wording and response options for every authored item used in the analyses reported here; the English column is a literal translation of the Mexican instrument. Age, sex, region, and education quotas were supplied through Netquest panel variables. The analysis codes "increase" from the top-rate item; "yes" from the petition item; agreement from the inequality item; current or past union membership; lack of job-linked social security as informal employment; and Morena from party closeness.

Table A5: Spanish Questionnaire Wording and Literal English Translation

Construct	Spanish instrument	Literal English translation
Top marginal rate	En su opinión, la tasa máxima del impuesto sobre la renta que pagan los súper ricos en México debería: <i>Disminuir mucho; Disminuir un poco; Mantenerse igual; Aumentar un poco; Aumentar mucho.</i>	In your opinion, the maximum income-tax rate paid by the super-rich in Mexico should: <i>Decrease a lot; Decrease a little; Stay the same; Increase a little; Increase a lot.</i>
Open response	A veces se habla de aumentar los impuestos al 1% más rico (es decir, a los súper ricos). Al conversar con la gente oímos razones a favor y en contra. En sus propias palabras, ¿qué opina sobre aumentar los impuestos al 1% con mayores ingresos en México? Escribe durante los próximos 30 segundos unas pocas oraciones con tus ideas, incluyendo cualquier razón a favor o en contra, o inquietudes que puedas tener.	Sometimes people talk about increasing taxes on the richest 1% (that is, the super-rich). When talking with people, we hear reasons for and against. In your own words, what do you think about increasing taxes on the 1% with the highest incomes in Mexico? For the next 30 seconds, write a few sentences with your ideas, including any reasons for or against, or concerns you may have.
Petition intention	Algunas organizaciones, como Oxfam, promueven peticiones para subir los impuestos a los súper ricos. ¿Le interesaría saber más o firmar una de estas peticiones? Por favor, indica “Sí” si deseas recibir un enlace a la petición al final de esta encuesta, o “No” si no estás interesado(a).	Some organizations, such as Oxfam, promote petitions to raise taxes on the super-rich. Would you be interested in learning more or signing one of these petitions? Please indicate “Yes” if you would like to receive a link to the petition at the end of the survey, or “No” if you are not interested.
Inequality responsibility	¿En qué medida está de acuerdo o en desacuerdo con la siguiente afirmación? “Es responsabilidad del gobierno reducir las diferencias de ingreso entre las personas con ingresos altos y bajos, incluso si ello requiere aumentar los impuestos.” <i>Totalmente de acuerdo; Algo de acuerdo; Ni de acuerdo ni en desacuerdo; Algo en desacuerdo; Totalmente en desacuerdo.</i>	To what extent do you agree or disagree with the following statement? “It is the government’s responsibility to reduce income differences between people with high and low incomes, even if doing so requires increasing taxes.” <i>Strongly agree; Somewhat agree; Neither agree nor disagree; Somewhat disagree; Strongly disagree.</i>
Employment status	¿Cuál de las siguientes opciones describe mejor tu situación laboral durante los últimos tres meses? <i>Trabajo de tiempo completo; Trabajo de medio tiempo; Desempleado/a y buscando trabajo; Ama/o de casa o padre/madre que se queda en casa; Estudiante; Jubilado/a; Otro.</i>	Which option best describes your employment situation during the last three months? <i>Working full-time; Working part-time; Unemployed and looking for work; Homemaker or stay-at-home parent; Student; Retired; Other.</i>
Employment type	En su trabajo principal actual, usted es: <i>Trabajador/a asalariado/a; Trabajador/a por cuenta propia o independiente; Empleador/a; Trabajador/a sin pago en un negocio familiar.</i>	In your current main job, you are: <i>A wage or salaried worker; Self-employed or independent; An employer; An unpaid worker in a family business.</i>
Job-linked security	En su trabajo principal actual, ¿tiene seguridad social (IMSS, ISSSTE u otro sistema) como parte de ese trabajo? <i>Sí; No.</i>	In your current main job, do you have social security (IMSS, ISSSTE, or another system) as part of that job? <i>Yes; No.</i>
Household income	¿Cuál fue el ingreso total de su hogar antes de impuestos durante los últimos 12 meses? (MXN) <i>Menos de 8,500; 8,500–16,000; 16,000–26,000; 26,000–41,000; 41,000–62,000; 62,000–95,000; 95,000–155,000; 155,000–310,000; 310,000–600,000; Más de 600,000; Prefiero no decir.</i>	What was your household’s total income before taxes during the last 12 months? (MXN) <i>Less than 8,500; 8,500–16,000; 16,000–26,000; 26,000–41,000; 41,000–62,000; 62,000–95,000; 95,000–155,000; 155,000–310,000; 310,000–600,000; More than 600,000; Prefer not to say.</i>
Union membership	¿Alguna vez ha sido miembro de un sindicato u organización similar de trabajadores? <i>No, nunca; Sí, pero no actualmente; Sí, actualmente.</i>	Have you ever been a member of a union or similar workers’ organization? <i>No, never; Yes, but not currently; Yes, currently.</i>
Party closeness	¿A qué partido político en México se siente más cercano? <i>Morena; PAN; PRI; PRD; Movimiento Ciudadano; PVEM; PT; PES.</i>	Which political party in Mexico do you feel closest to? <i>Morena; PAN; PRI; PRD; Citizens’ Movement; PVEM; PT; PES.</i>
Education	¿Cuál es el nivel más alto de educación que has completado? <i>Algo de preparatoria o menos; Preparatoria o equivalente; Algo de universidad, sin título; Carrera técnica; Licenciatura; Posgrado o título profesional; Prefiero no decir.</i>	What is the highest level of education you have completed? <i>Some upper-secondary schooling or less; Upper-secondary diploma or equivalent; Some university, no degree; Technical degree; Bachelor’s degree; Graduate or professional degree; Prefer not to say.</i>

A.7 Wealth and Preference for Taxes in Latin America

A.7.1 Wealth Distribution in Latin America

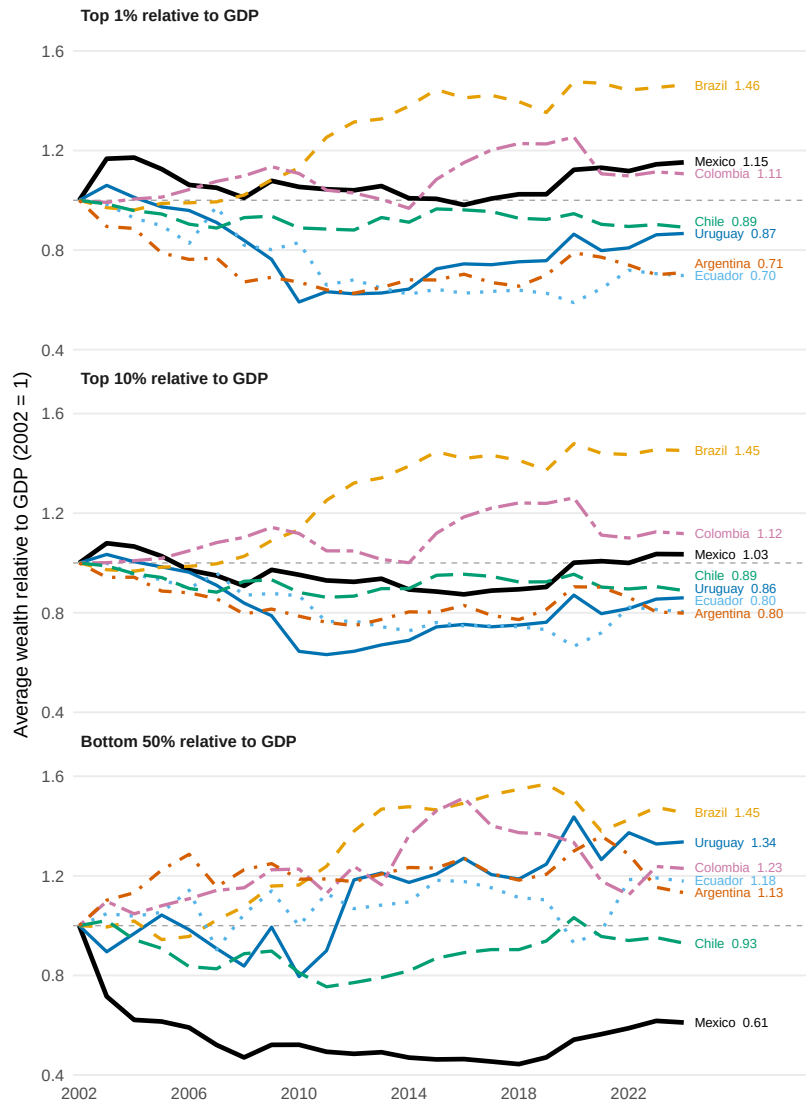


Figure A5: Average Wealth Relative to GDP in Latin America, 2002–2024 (2002 = 1)

Notes: The figure plots, for each country and wealth group, the ratio of the average-wealth index to the GDP index, both normalized to 1 in 2002. For country c , group g , and year t , the plotted value is $R_{cgt} = (X_{cgt}/X_{cg,2002}) / (GDP_{ct}/GDP_{c,2002})$, so $R = 1$ in 2002 and values above the dashed reference line ($R > 1$) indicate that the group's average wealth grew faster than GDP. The three panels report this ratio for the top 1%, the top 10%, and the bottom 50%, with all seven countries overlaid: Mexico (bold black), Uruguay, Brazil, Ecuador, Colombia, Chile, and Argentina. Wealth series are average net personal wealth from the World Inequality Database (WID; all ages, equal-split-adult concept); GDP is the World Bank indicator for GDP in constant local currency units. Labels at the right edge report the 2024 endpoint values; countries are distinguished using a color-blind-safe palette together with different line types. *Source:* Author's calculations using WID.world data and World Bank national accounts data; latest year available in the current pull is 2024.

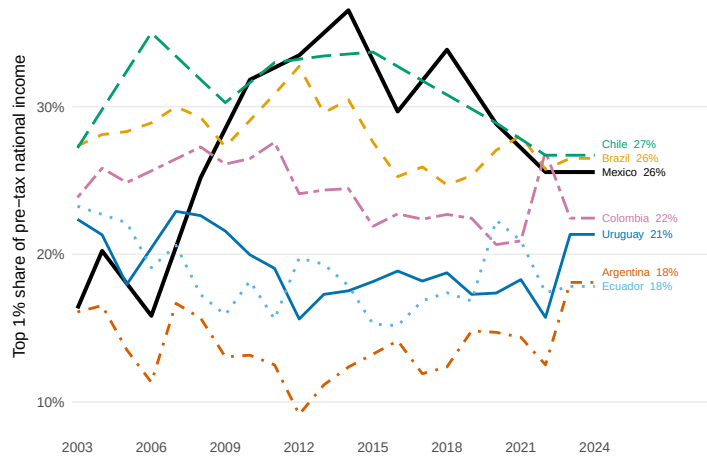


Figure A6: Top 1% Income Share in Latin America, 2003–2024

Notes: The figure plots the top 1% share of pre-tax national income for seven Latin American countries, with Mexico in bold. The series are World Inequality Database estimates (equal-split adults), the same income-share series that Flores and Zúñiga-Cordero (2025) update. Rather than accelerating uniformly, trends vary substantially across countries: shares are high but declining in Chile and Brazil, lower and volatile in Argentina, Uruguay, and Ecuador, and in Mexico rose through the early 2010s before declining since the mid-2010s to about 26% in 2024. Labels at the right edge report the 2024 values. *Source:* Author’s calculations using WID.world data (pre-tax national income, top 1%, equal-split adults).

A.7.2 Billionaires in Latin America

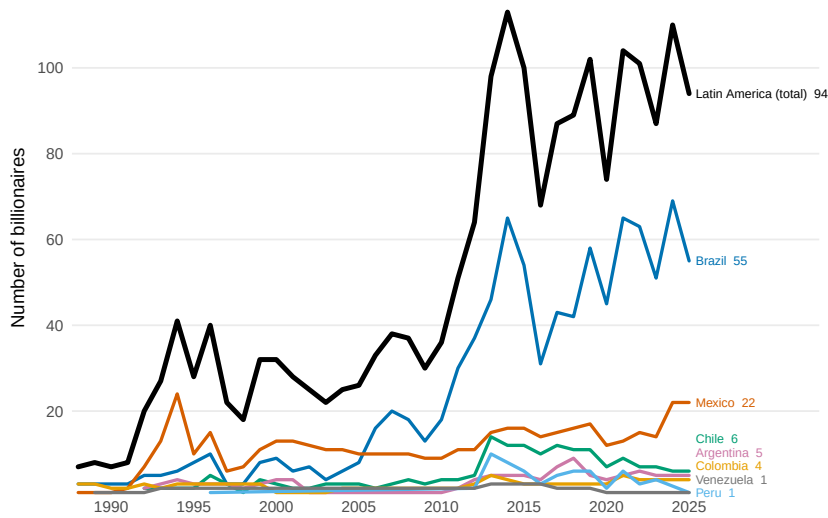


Figure A7: Number of Latin American Billionaires, 1988–2025

Notes: The figure plots the annual number of billionaires from Latin American countries (by country of citizenship), both as a regional total (black line, with shaded envelope) and by country. The regional total rises from 7 in 1988 to a peak of 113 in 2014 and stands at 94 in 2025, with Brazil the largest contributor since the mid-2000s. The shaded band marks the 2003–2014 commodity boom, which Carranza, De Rosa, and Flores (2025) identify as “exceptionally beneficial for Latin American billionaires, increasing both their number and net worth faster than the rest of the world,” before the trend reverted toward pre-boom levels after 2014. Counts for 1988–2017 are from the Carranza, De Rosa, and Flores (2025) replication data (Forbes Global rich list); 2018–2025 extend the series using the Forbes World’s Billionaires annual lists. Both sources are citizenship-based and coincide exactly over 2010–2017. A small number of billionaire-years from other Latin American countries enter the total but are not drawn separately. *Source:* Carranza, De Rosa, and Flores (2025) replication data and Forbes World’s Billionaires annual lists.

A.7.3 Salience of billionaires in Latin America

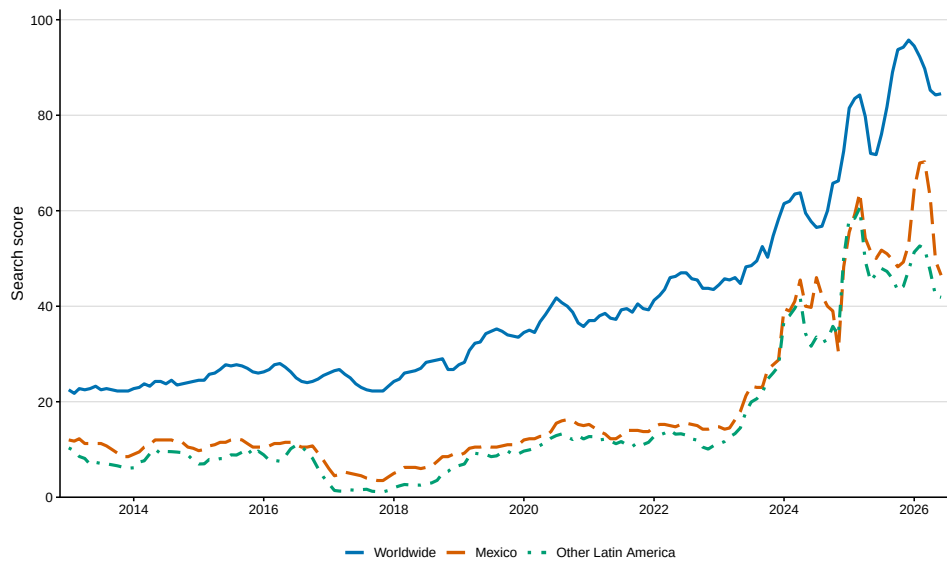
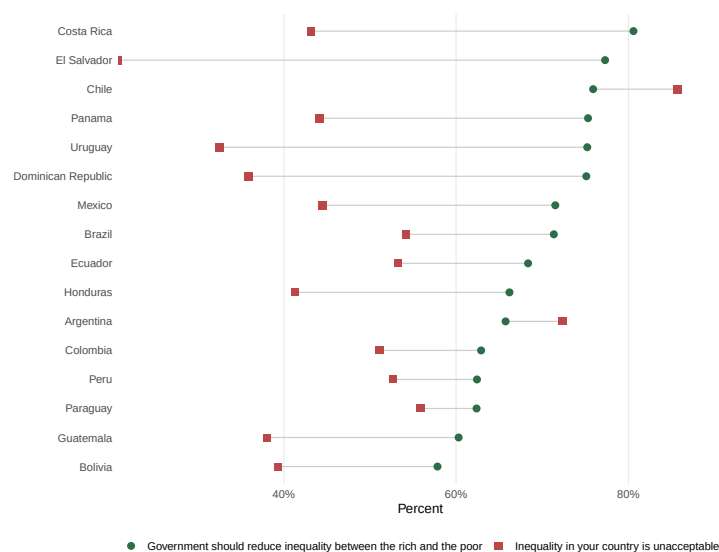


Figure A8: Salience of Billionaire, 2013–2026

Notes: The figure plots the trailing 4-month moving average of Google Trends search scores for the topic “Billionaire” for three series: Worldwide, Mexico, and Other Latin America. Google Trends search scores are scaled measures of relative search intensity, where higher values indicate greater interest in the topic within a geography over time; they do not represent absolute search counts. For Worldwide and Mexico, the score ranges from 0 to 100, where 100 denotes the peak popularity of the topic in the sample period. The Google Trends topic aggregates searches associated with “Billionaire” across languages and translated equivalents. Other Latin America is the unweighted average of the country-level series for Argentina, Brazil, Chile, Colombia, Ecuador, and Uruguay, so it is a constructed regional average rather than a standalone Google Trends geography. Source: author’s calculations using Google Trends data.

A.7.4 Public Opinion Toward Taxation in Latin America

To situate the Mexican case within the broader Latin American context, Figures A9–A11 distinguish between general support for reducing inequality and preferences for specific redistributive instruments. Figure A9 documents the extent to which citizens across the region favor government action to reduce income inequality and regard existing inequality as unacceptable. Figures A10 and A11 then show how these broad redistributive orientations translate into attitudes toward progressive taxation, increases in income and value-added taxes, and conditional cash transfers, both regionally and across eight Latin American countries. Together, the figures provide comparative context for the analysis by showing that concern about inequality does not necessarily imply uniform support for every tax or transfer policy and that preferences for particular redistributive instruments vary meaningfully across national settings.



Note: This figure compares two 2023 country-level opinion measures for Latin America, with countries sorted from low to high on the first measure. Green circles report the share agreeing with LAPOP/AmericasBarometer item R0S4, coded as responses 5–7 on a 1–7 scale: “The government should implement strong policies to reduce income inequality between the rich and the poor.” Red squares report the share choosing 1–4 on the 2023 Latinobarómetro item P61ST, interpreted as saying inequality is unacceptable on a 1–10 scale: “El nivel de desigualdad de su país es aceptable o inaceptable.” Gray lines connect the two measures within country. *Sources:* Author’s own elaboration based on LAPOP/AmericasBarometer 2023.

Figure A9: Support for reducing inequality and rejection of inequality in Latin America, 2023.

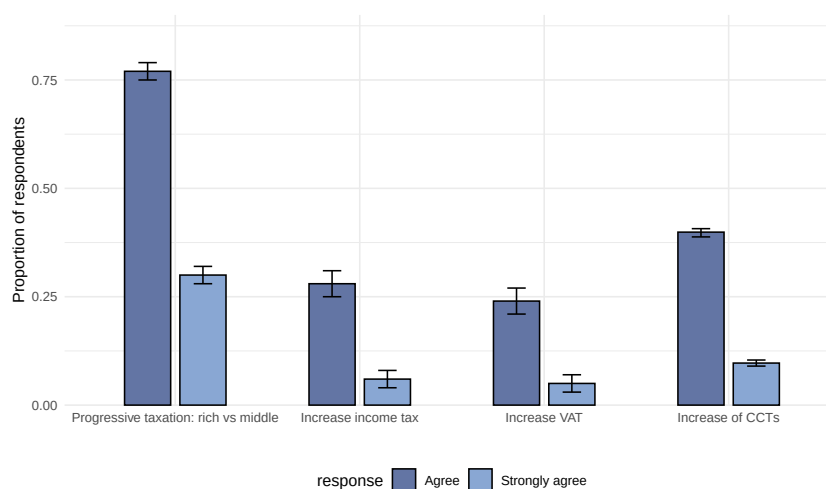


Figure A10: Agreement with Selected Redistributive Policies.

The figure replicates a figure from (Busso et al. 2025) and reports the share of respondents who answered “Agree” or “Strongly Agree” to the following statements: (1) “Taxes should be more progressive, so that the rich pay more than the middle class”; (2) “The income tax should be increased”; (3) “The value-added tax (VAT) should be increased”; and (4) “Conditional cash transfers (CCTs) should be increased.” Bars display point estimates and 95% confidence intervals.

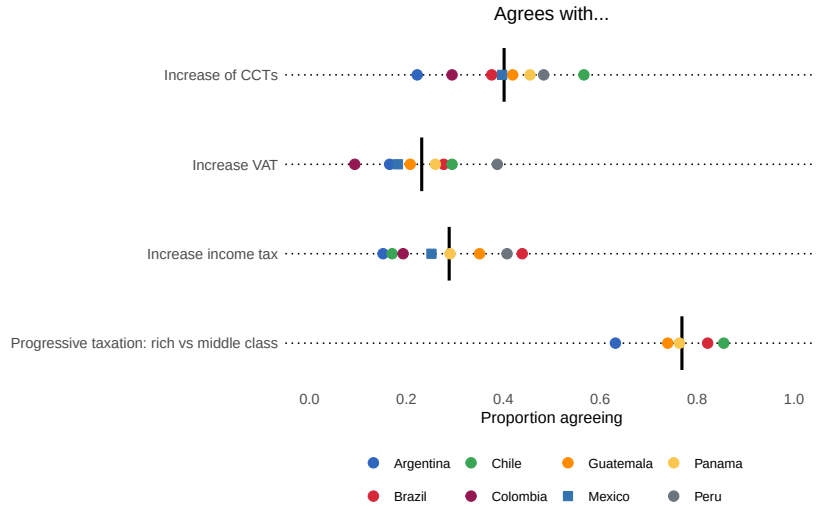


Figure A11: Cross-national Variation in Agreement with Selected Redistributive Policies.

The figure replicates a figure from (Busso et al. 2025) and reports the proportion of respondents who answer “Agree” to the following statements: (1) “Taxes should be more progressive, so that the rich pay more than the middle class”; (2) “The income tax should be increased”; (3) “The value-added tax (VAT) should be increased”; and (4) “Conditional cash transfers (CCTs) should be increased.” Estimates are shown for eight Latin American countries. Colored markers denote country-level proportions, and vertical black lines indicate the pooled mean for each policy.

A.8 Global and Actor-Specific BERTopic in the Factiva Corpus - Study 1

This appendix reports two complementary BERTopic analysis on the 1,371 on-topic Factiva articles about taxing the rich. First, we estimate a global four-topic analysis on the full corpus to summarize the main bundles of discussion and the actor composition within each topic. Second, we estimate a separate actor-specific BERTopic model within each actor category with at least 15 articles.

Both explorations are estimated on article-level full text using sentence-transformer embeddings within BERTopic. In the actor-specific models, we retain the BERTopic residual outlier class (-1) and report it explicitly as “Residual (-1)” rather than reassigning those documents. This makes the amount of diffuse or weakly clustered content transparent across actors: the residual share is 0.0% for social movements, 3.5% for the residual actor category *other/none*, 4.4% for business/right, 5.1% for parties/politicians, 9.3% for legislators, 12.1% for NGOs/civil society, 14.4% for experts/economists/international financial institutions (IFIs), 14.6% for executive/government, and 25.8% for labor unions. Topic labels are author-assigned summaries based on the highest-weighted words and representative documents, and illustrative sentences are reported verbatim.

Table A6: Global BERTopic topic matrix by actor

Element	T1	T2	T3	T4
Topic label	articulo, bienes, poder, presente	propuesta, hacienda, acuerdo, patrimonio	casos, coronavirus, covid, pandemia	financiamiento, pensiones, pgu, pension
Documents	503 (36.7%)	441 (32.2%)	337 (24.6%)	90 (6.6%)
Representative words	articulo, bienes, poder, presente, siguiente, caso, ejecutivo, acuerdo, siguiente articulo, derechos	propuesta, hacienda, acuerdo, patrimonio, partido, superricos, pinera, ricos, vamos, ingresos	casos, coronavirus, covid, pandemia, estados, salud, unidos, estados unidos, nuevos, total	financiamiento, pensiones, pgu, pension, hacienda, comision, fiscal, exenciones, universal, boric
labor union	4.6%	1.1%	0.9%	—
social movement	2.0%	—	2.1%	—
NGO/civil society	0.2%	0.9%	15.7%	—
party/politician	5.8%	7.5%	3.3%	6.7%
legislator	26.6%	23.6%	16.9%	31.1%
executive/government	11.3%	10.9%	19.6%	23.3%
business/right	8.6%	5.4%	6.2%	3.3%
expert/economist/IT	4.4%	11.1%	13.3%	2.2%
other/none	36.6%	39.5%	22.0%	33.3%

Notes: This pooled BERTopic solution is estimated on all 1,371 on-topic articles and reduced to four topics for interpretability. Topic headers report author-assigned labels based on representative words. The row “Documents” reports topic size and topic share in the full corpus. Actor cells report the share of each topic accounted for by that actor. Dashes indicate that the actor does not appear in that topic. If you prefer the longer version with representative sentences, replace the input above with `Tables/global_bertopic_k4_actor_topic_matrix.tex`.

Table A7: BERTopic topics by actor: labor union

Element	T1	T2	T3	Residual (-1)
Topic label	pit, pit cnt, cnt, central	cgt, trabajadores, programa, trabajo	pit cnt, cnt, pit, abdala	Residual (-1)
Documents	10	7	6	8
Share of actor corpus	32.3%	22.6%	19.4%	25.8%
Representative words	pit, pit cnt, cnt, central, propuesta, trabajadores, pobreza, sindical, rico, planteo	cgt, trabajadores, programa, trabajo, sector, alberto, laboral, central, palazzo, siempre	pit cnt, cnt, pit, abdala, orsi, central, pobreza, sindical, planteo, propuesta	—
Example sentence	Montevideo, 1 may (EFE).- La central sindical PIT-CNT conmemoró en Uruguay el Día Internacional de los Trabajadores con foco en la lucha contra la desigualdad social e insistió en su propuesta de gravar al 1 % más rico del país.	Horas después de que el sector de la CGT más alineado al presidente Alberto Fernández se reuniera con el Jefe de Estado en Sanidad, ningún sindicato de los considerados “dialoguistas” suscribió el comunicado.	Montevideo, 16 jul (Prensa Latina) La central sindical unitaria PIT-CNT insiste hoy en su propuesta al gobierno para crear un impuesto del uno por ciento a los más ricos a fin de combatir la pobreza infantil.	EscucharEn el marco de , el líder camionero Pablo Moyano desafió al Gobierno y ratificó este miércoles el paro general del próximo 9 de mayo.

Notes: Shares are within-actor shares. “Residual (-1)” is the BERTopic outlier bucket and is reported explicitly rather than reassigned. Articles are the unit of analysis. Topic labels are author-assigned summaries based on representative words, and illustrative sentences are reported verbatim.

Table A8: BERTopic topics by actor: social movement

Element	T1	T2
Topic label	trabajadores, trabajo, pobreza, grabois	protestas, credito, duque, mayo
Documents	13	4
Share of actor corpus	76.5%	23.5%
Representative words	trabajadores, trabajo, pobreza, grabois, plan, crisis, pandemia, deuda, economia, sectores	protestas, credito, duque, mayo, cali, colombia, getty, bogota, afp, afp getty
Example sentence	El trabajo de Zarazaga plantea que el gasto social y lo compara con los niveles de pobreza.	(Credito: JOAQUIN SARMIENTO/AFP via Getty Images)21 de 23 Protestas en Bogota el 5 de mayo de 2021.

Notes: Shares are within-actor shares. “Residual (-1)” is the BERTopic outlier bucket and is reported explicitly rather than reassigned. Articles are the unit of analysis. Topic labels are author-assigned summaries based on representative words, and illustrative sentences are reported verbatim.

Table A9: BERTopic topics by actor: NGO / civil society

Element	T1	T2	Residual (-1)
Topic label	riqueza, ricos, oxfam, desigualdad	oxfam, informe, emisiones, mundo	Residual (-1)
Documents	37	14	7
Share of actor corpus	63.8%	24.1%	12.1%
Representative words	riqueza, ricos, oxfam, desigualdad, mexico, dolares, grandes, fortunas, pesos, fiscales	oxfam, informe, emisiones, mundo, crisis, multimillonarios, pandemia, ricos, riqueza, climatica	–
Example sentence	Todos Los Derechos Reservados © 2023 Infobae Un informe de Oxfam asegura que de 100 dólares generados en la nación, USD\$ 45 van para los más ricos Las 4 fortunas más grandes de Colombia tendrían la riqueza de la mitad de la población.	El informe concluye que "los multimillonarios de esta parte del mundo permanecen inmunes a la crisis económica provocada por la pandemia de coronavirus en una de las regiones más desiguales del planeta".	Esto subraya la necesidad de examinar no solo los estilos de vida, sino también las decisiones de inversión al abordar la crisis climática.

Notes: Shares are within-actor shares. “Residual (-1)” is the BERTopic outlier bucket and is reported explicitly rather than reassigned. Articles are the unit of analysis. Topic labels are author-assigned summaries based on representative words, and illustrative sentences are reported verbatim.

Table A10: BERTopic topics by actor: party / politician

Element	T1	T2	Residual (-1)
Topic label	propuesta, partido, economia, programa	riqueza, kirchner, respaldo, sistema	Residual (-1)
Documents	63	12	4
Share of actor corpus	79.7%	15.2%	5.1%
Representative words	propuesta, partido, economia, programa, mayor, desarrollo, jara, sistema, tenemos, crecimiento	riqueza, kirchner, respaldo, sistema, bienes, partido, maximo, aporte, maximo kirchner, fortunas	–
Example sentence	Fue allí donde se definió que el partido pusiera freno de mano al ingreso de figuras del PPD al comando de Jara, al tiempo que elevarían los cuestionamientos a las propuestas de la candidata.	“Y también que haya otra ley para que todos los argentinos que tengan bienes y activos en el exterior hagan un aporte.	"La vida te da sorpresas", agregó en vista de los anuncios de Biden con respecto a los impuestos a los más ricos y a la creación de empleos.

Notes: Shares are within-actor shares. “Residual (-1)” is the BERTopic outlier bucket and is reported explicitly rather than reassigned. Articles are the unit of analysis. Topic labels are author-assigned summaries based on representative words, and illustrative sentences are reported verbatim.

Table A11: BERTopic topics by actor: legislator

Element	T1	T2	T3	Residual (-1)
Topic label	comision, bienes, sesion, iniciativa	patrimonio, propuesta, iniciativa, comision	aporte, pesos, bienes, patrimonio	Residual (-1)
Documents	172	123	23	5
Share of actor corpus	53.3%	38.1%	7.1%	1.5%
Representative words	comision, bienes, sesion, iniciativa, cambio, kirchner, debate, personales, massa, aporte	patrimonio, propuesta, iniciativa, comision, grandes, fortunas, dolares, pandemia, pesos, mil	aporte, pesos, bienes, patrimonio, heller, fernandez, extraordinario, pandemia, recaudar, grandes	–
Example sentence	En este caso, Juntos por el Cambio anticipó que respaldará la iniciativa impulsada por el diputado kirchnerista cordobés Pablo Carro, que presentó el proyecto la semana pasada.	Qué propone el impuesto a las grandesfortunas El proyecto que se analizará el martes propone cobrar, por única vez, una tasa del 2% a los patrimonios de las personas físicas que al 31 de diciembre hayan alcanzado los 200 millones de pesos.	De acuerdo con Heller, el proyecto se denominará Aporte Solidario Extraordinario y será para las personas que tienen fortuna declarada de más de 200 millones de pesos.	A los 117 votos del FDT se suman los seis del interbloque Unidad Federal para el Desarrollo (UFD), que preside el mendocino José Luis Ramón.

Notes: Shares are within-actor shares. “Residual (-1)” is the BERTopic outlier bucket and is reported explicitly rather than reassigned. Articles are the unit of analysis. Topic labels are author-assigned summaries based on representative words, and illustrative sentences are reported verbatim.

Table A12: BERTopic topics by actor: executive / government

Element	T1	T2	T3	Residual (-1)
Topic label	hacienda, fiscal, acuerdo, mayor	aporte, ingresos, dolares, contribuyentes	sociedad, nuestro, pandemia, trabajo	Residual (-1)
Documents	95	37	32	28
Share of actor corpus	49.5%	19.3%	16.7%	14.6%
Representative words	hacienda, fiscal, acuerdo, mayor, marcel, propuesta, superricos, iniciativa, politico, tenemos	aporte, ingresos, dolares, contribuyentes, patrimonio, pesos, fortunas, riqueza, recaudacion, solidario	sociedad, nuestro, pandemia, trabajo, desarrollo, nuestra, hemos, poder, mundo, quienes	–
Example sentence	Sheinbaum Pardo recalcó que cobrar impuestos para las personas más ricas “es algo que hay que analizar”: “Por el momento no lo tenemos como parte de una reforma mayor fiscal.	La ley, aprobada en diciembre pasado, establece un “aporte solidario” por única vez que gravará en forma progresiva a las personas cuyo patrimonio supere los 200 millones de pesos (2,17 millones de dólares).	Con el trabajo de la sociedad, de diversas organizaciones e instituciones y del Estado en todos sus niveles, hemos tenido un logro inmenso en 2020: evitamos que saturara el sistema de salud.	CONVENCIÓN Que haya estado ocurriendo todo este proceso de generación de la nueva Constitución, por supuesto que genera incertidumbre (...).

Notes: Shares are within-actor shares. “Residual (-1)” is the BERTopic outlier bucket and is reported explicitly rather than reassigned. Articles are the unit of analysis. Topic labels are author-assigned summaries based on representative words, and illustrative sentences are reported verbatim.

Table A13: BERTopic topics by actor: business / right

Element	T1	T2	Residual (-1)
Topic label	empresas, inversion, recursos, mayor	riqueza, patrimonio, ricos, hace	Residual (-1)
Documents	41	37	13
Share of actor corpus	45.1%	40.7%	14.3%
Representative words	empresas, inversion, recursos, mayor, tenemos, riqueza, crecimiento, sector, economia, patrimonio	riqueza, patrimonio, ricos, hace, banco, heller, empresas, carlos, productores, economia	–
Example sentence	Lo que sí tenemos claro es un listado de cosas y su impacto, por ejemplo, del crecimiento económico, de eficiencia del gasto, la evasión, royalty. . . ¿Cuánto se puede recaudar por mayor eficiencia del gasto?	“Carlos Heller es un detractor del sector agropecuario impulsando el mal llamado impuesto a la riqueza, que afecta a todo aquel que ha invertido en su empresa rural, industrial y comercial.	Pero el asunto no termina ahí, porque el programa habla también de impuesto a los “superricos”, hoy rebautizado como impuesto a la riqueza.

Notes: Shares are within-actor shares. “Residual (-1)” is the BERTopic outlier bucket and is reported explicitly rather than reassigned. Articles are the unit of analysis. Topic labels are author-assigned summaries based on representative words, and illustrative sentences are reported verbatim.

Table A14: BERTopic topics by actor: expert / economist / IFI

Element	T1	T2	Residual (-1)
Topic label	patrimonio, riqueza, mayor, fiscal	ingresos, riqueza, fiscal, dolares	Residual (-1)
Documents	63	40	15
Share of actor corpus	53.4%	33.9%	12.7%
Representative words	patrimonio, riqueza, mayor, fiscal, sistema, empresas, recaudacion, inversion, euros, renta	ingresos, riqueza, fiscal, dolares, renta, patrimonio, ricos, ciento, colombia, pandemia	–
Example sentence	Abandonemos la austeridad fiscal y gravemos más la herencia y la riqueza, concretamente con una tasa (confiscatoria e inconstitucional) del 80% para rentas que superen el millón de euros”.	A futuro viene el desafío de generar más ingresos fiscales, no solo para pagar la factura que dejará la pandemia, sino también para enfrentar la caída en el precio de las materias primas y otros efectos de la recesión global.	Vale apuntar que en Argentina el impuesto consiste en un aporte del 2% para quienes posean patrimonios de entre 200 y 300 millones de pesos.

Notes: Shares are within-actor shares. “Residual (-1)” is the BERTopic outlier bucket and is reported explicitly rather than reassigned. Articles are the unit of analysis. Topic labels are author-assigned summaries based on representative words, and illustrative sentences are reported verbatim.

Table A15: BERTopic topics by actor: other / none

Element	T1	T2	Residual (-1)
Topic label	articulo, poder, presente, siguiente	coronavirus, pandemia, covid, medidas	Residual (-1)
Documents	408	34	20
Share of actor corpus	88.3%	7.4%	4.3%
Representative words	articulo, poder, presente, siguiente, derechos, acuerdo, caso, ejecutivo, partido, siguiente articulo	coronavirus, pandemia, covid, medidas, salud, casos, clientes, empresas, empresa, trabajadores	–
Example sentence	En el caso de la eliminación de un fideicomiso o fondo fiduciario, el Poder Ejecutivo Nacional garantizará al fondo, ente y órgano beneficiario, los mismos recursos que hubiera obtenido, hasta la aprobación siguiente presupuesto nacional.	8:30Un equipo de avanzada de la Organización Mundial de la Salud (OMS) viajó a China para organizar una investigación sobre los orígenes del coronavirus SARS-CoV-2, que desató la pandemia global de Covid-19, dijo una portavoz el viernes.	”Incluso si tenemos una vacuna o muy buenos tratamientos, la Humanidad tendría que vivir con este virus muchos años, décadas”, ha remachado.

Notes: Shares are within-actor shares. “Residual (-1)” is the BERTopic outlier bucket and is reported explicitly rather than reassigned. Articles are the unit of analysis. Topic labels are author-assigned summaries based on representative words, and illustrative sentences are reported verbatim.

A.9 Text Annotations and Topics - Study 2

A.9.1 Zero-shot BERTopic for Open-Ended Tax Responses

To summarize themes in the open-ended “tax the rich” prompt, we use a guided variant of BERTopic (sometimes described as “few-shot” or “zero-shot” topic modeling). The key idea is to combine (i) unsupervised clustering

of semantically similar answers with (ii) an analyst-specified set of policy-relevant topic descriptions. Instead of training a supervised classifier or hand-coding every response, we provide BERTopic with a short list of topic descriptions (listed below). Each response is embedded into a dense semantic vector using a pretrained sentence-embedding model, and BERTopic assigns responses to the closest guided topics when their semantic similarity exceeds a minimum threshold (cosine similarity ≥ 0.80 in our implementation). Responses that do not meet this threshold are handled by the model’s residual clustering and outlier assignment (topic = -1), ensuring that the guided topics do not force every answer into a pre-specified bin.

After fitting the model, we measure *topic prevalence* as the distribution of topic assignments across responses (excluding outliers in the main analysis unless otherwise noted). We apply the same guided topic set both in the full sample and in subgroup-specific models (e.g., union status, employment group, and routine task intensity) to facilitate comparisons in which differences reflect changes in the prominence of common frames rather than changes in the meaning of topics.

Table A16: Guided topics used in the Zero-shot (guided) BERTopic model

Topic	Description
Fairness / Paying a Fair Share	The wealthy should pay their fair share or at least the same proportion as others.
Reducing Inequality and Redistribution	Taxing the rich reduces inequality or redistributes extreme wealth.
Funding Public Services	Revenue should fund healthcare, education, infrastructure, public debt, or other public services.
Closing Loopholes and Enforcement	Emphasizes closing loopholes, reducing tax avoidance or evasion, and enforcing existing rules.
Economic Harm to Growth and Jobs	High taxes on the rich harm economic growth, jobs, investment, innovation, or long-run performance.
Capital Flight and Offshoring	The rich will move assets, income, or operations abroad to avoid higher taxes.
Already Pay Enough / Flat Tax	The top already pay enough; preference for flat or equal tax rates; opposition to punishing success.
Moral Critique of Extreme Wealth	Extreme wealth is unethical; billionaires should not exist; moral duty of the rich to give back.
Government Waste and Distrust	Government wastes money or cannot be trusted; spending is the real problem rather than low taxes on the rich.
Conditional or Moderate Support / Uncertainty	Support only small or moderate increases; mixed or uncertain views; no clear opinion.
Symbolic or Ineffective Tax	Higher taxes on the rich are mostly symbolic; the rich adapt or pass costs on; limited useful revenue is raised.
Class Warfare or Envy Frame	“Tax the rich” is driven by envy or class warfare, divides society, and unfairly punishes success and ambition.

Importantly, this procedure is not a conventional supervised BERT text classifier that forces each response into a fixed set of pre-defined categories. Rather, we use a guided *zero-shot BERTopic* model: transformer-based sentence embeddings are used to compare each response to a small set of analyst-specified topic descriptions, and a response is assigned to a guided topic only if its semantic similarity exceeds the threshold in the zero-shot step (cosine similarity ≥ 0.80). Responses that do not meet that threshold are not forced into the guided topics; instead, they are passed to BERTopic’s residual clustering stage or, if sufficiently isolated, to the formal outlier category (topic = -1). In the full-sample Mexico run, 1,341 rows entered the BERTopic step, but 351 of the residual assignments were placeholder “nan” strings created when missing responses were coerced to text during preprocessing. Excluding these placeholder cases, 990 non-missing responses remain: 951 (96.1%) are assigned to

the twelve guided topics, 36 (3.64%) fall into residual clusters, and 3 (0.30%) are assigned to the formal outlier category. Manual inspection further shows that 20 of the 36 residual non-missing cases are gibberish, off-topic, or UI-paste artifacts, leaving only 16 short, low-information readable responses outside the guided themes. Thus, the amount of substantively interpretable residual content not captured by the guided zero-shot topics is very small.

A.9.2 LLM-Based Annotation of Open-Ended Responses

To complement the topic model and to obtain response-level measures that distinguish support from opposition, we use a large language model (LLM) to annotate each open-ended answer. The goal of this step is not to generate new content, but to apply a consistent set of labeling rules to short survey texts. We implement two annotation tasks: (i) *stance* toward raising taxes on the top 1% and (ii) the *primary rationale* expressed in the response.

Model and inference settings. We query the OpenAI API using `gpt-4o-mini-2024-07-18`. To maximize consistency across responses, we use deterministic decoding (`temperature = 0`) and require the model to return *only* the label (no explanation). Each response is labeled independently.

Task 1: Stance classification. For stances, the LLM assigns each response to exactly one of three categories:

- **PRO:** supports increasing taxes on the rich / top 1%.
- **ANTI:** opposes increasing taxes on the rich / top 1%.
- **AMBIGUOUS:** unclear, mixed, off-topic, or does not directly express support or opposition.

The prompt instructs the model to output exactly one of the three labels and includes several short examples illustrating the intended decision rule (e.g., explicitly supportive statements map to PRO, explicitly opposing statements map to ANTI, and conditional or uncertain statements map to AMBIGUOUS). This stance measure is used to separate support from opposition within the same thematic topic and to enable direct comparisons with closed-ended measures of policy preferences.

Task 2: Primary rationale classification. We also code the dominant rationale in each response using a single-label taxonomy of ten categories. The LLM is instructed to assign *exactly one* rationale label per response and to return only the label (no additional text). The ten categories are:

This rationale annotation is used to interpret which arguments are most frequently invoked and to cross-check the thematic structure recovered by BERTopic. In particular, because topic clusters can include both supportive and opposing statements, response-level rationale and stance labels help separate *what* respondents talk about from *how* they position themselves with respect to the policy.

A.10 Group Means and Difference-in-Means Comparisons Study 2

The subgroup analyses are designed to characterize the breadth and distribution of support rather than to estimate causal effects. For each binary outcome Y and binary respondent characteristic X , we calculate the unadjusted mean separately for respondents with and without the characteristic:

$$\hat{\mu}_x = \frac{1}{n_x} \sum_{i: X_i=x} Y_i, \quad x \in \{0, 1\}.$$

Because the outcomes are binary, these means are sample proportions. The closed-ended outcomes measure support for increasing taxes on the super-rich, agreement that government should reduce inequality even if additional taxation is required, and, where indicated, willingness to receive a petition link. The open-ended outcomes are mutually exclusive indicators classifying each usable response as pro-tax, anti-tax, or ambiguous. Respondent characteristics include union experience, informal employment, full-time employment, unemployment, education, income, Morena identification, and standard demographic measures.

The figures report two-sided 90% normal-approximation confidence intervals,

$$\hat{\mu}_x \pm 1.645 \frac{s_x}{\sqrt{n_x}},$$

where s_x is the within-group sample standard deviation.

Table A17: LLM taxonomy for primary rationale (single-label)

Rationale category	Description
Fairness / Paying a Fair Share	The wealthy should pay their fair share or at least the same proportion as others.
Reducing Inequality and Redistribution	Taxing the rich reduces inequality or redistributes extreme wealth.
Funding Public Services	Revenue should fund healthcare, education, infrastructure, public debt, Social Security, etc.
Closing Loopholes and Enforcement	Focus on closing loopholes, curbing avoidance/evasion, and enforcing current rules.
Economic Harm to Growth and Jobs	Higher taxes will harm jobs, investment, innovation, or economic growth.
Capital Flight and Offshoring	The rich will move assets or operations abroad to avoid higher taxes.
Already Pay Enough / Flat Tax	The top already pay enough; prefer flat tax or equal rates; do not punish success.
Moral Critique of Extreme Wealth	Extreme wealth is unethical; billionaires should not exist; duty to give back.
Government Waste and Distrust	Skepticism that government will use funds well; spending is the real problem.
Conditional or Moderate Support / Uncertainty	Supports only small or moderate increases, mixed or uncertain views, or no opinion.

We assess cross-group differences using separate bivariate linear probability models,

$$Y_i = \alpha + \beta X_i + \varepsilon_i,$$

estimated with heteroskedasticity-robust standard errors and 90% confidence intervals. Since X is binary and the models contain no additional covariates, $\hat{\beta}$ is equivalent to the raw difference in means, $\hat{\mu}_1 - \hat{\mu}_0$. This descriptive specification follows the theoretical emphasis on coalitional potential. Absolute levels indicate whether a position commands broad or majoritarian support within each constituency, while cross-group differences indicate the extent to which support is fragmented along labor-market or partisan lines. High support accompanied by limited group differences is consistent with greater space for a cross-cutting coalition, but these cross-sectional comparisons do not identify causal effects or demonstrate that such a coalition will form or persist.

A.11 Behavioral Outcome - Study 2

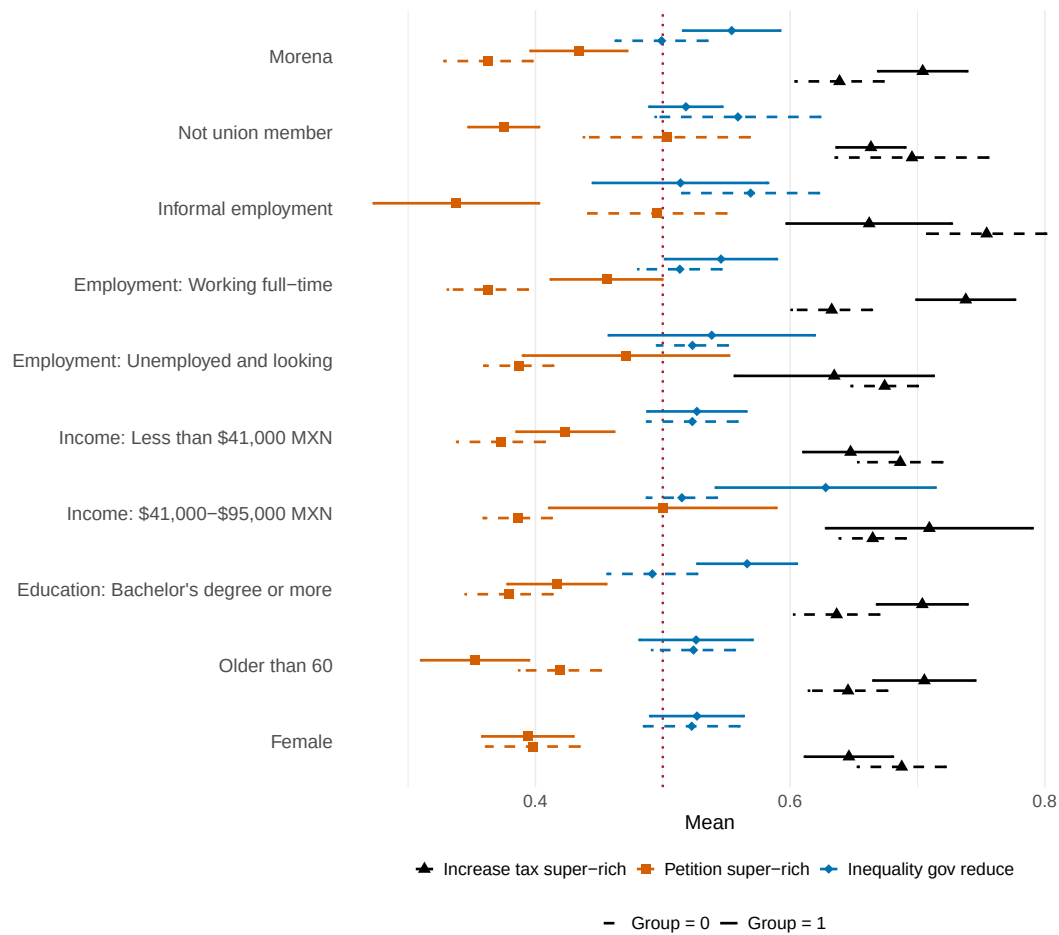


Figure A12: Support for Taxing the Super-Rich, Reducing Inequality, and Signing a Petition, by Morena Partisanship. Note: The figure reports group means for three binary outcomes: (1) support for increasing the top marginal income tax rate on the super-rich, (2) agreement that the government should reduce inequality, and (3) willingness to sign a petition in favor of taxing the super-rich. Estimates are stratified by support for Morena. Labor market categories include union experience (current or past), informality (no social security coverage in main job), unemployment, and full-time employment. The vertical dashed line at 0.5 indicates majority support.

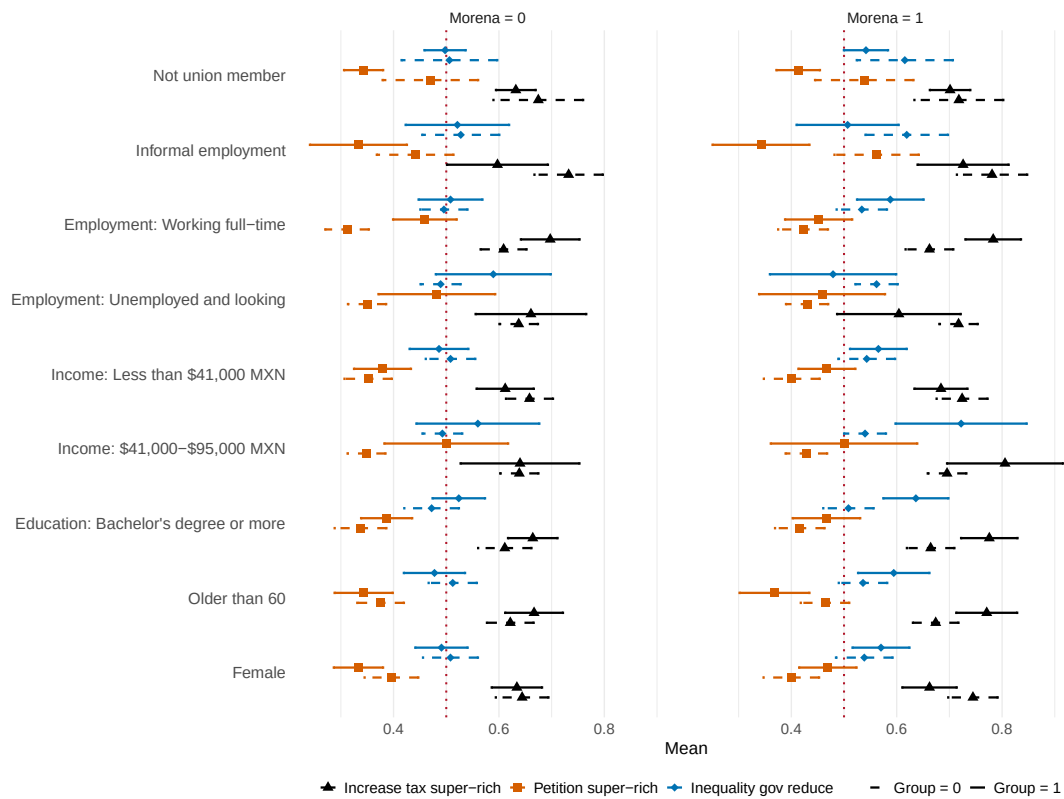


Figure A13: Support for Taxing the Super-Rich, Reducing Inequality, and Signing a Petition, by Morena Partisanship. Note: The figure reports group means for three binary outcomes: (1) support for increasing the top marginal income tax rate on the super-rich, (2) agreement that the government should reduce inequality, and (3) willingness to sign a petition in favor of taxing the super-rich. Estimates are stratified by support for Morena. Labor market categories include union experience (current or past), informality (no social security coverage in main job), unemployment, and full-time employment. The vertical dashed line at 0.5 indicates majority support.

A.12 Main Results in the Paper for Income, Age, Gender - Study 2

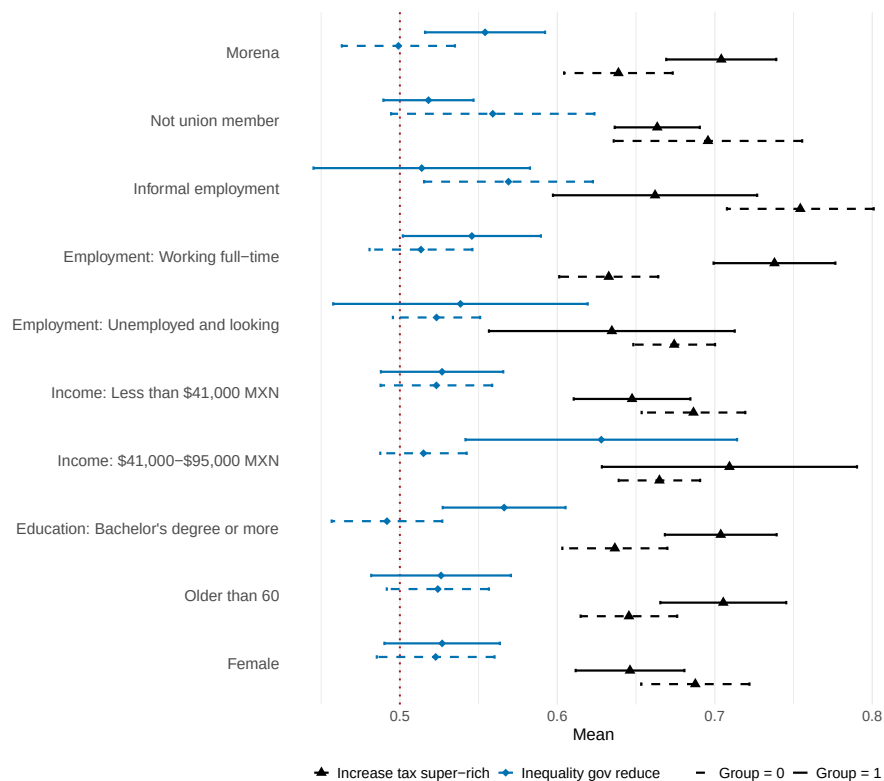


Figure A14: Support for Taxing the Super-Rich and Reducing Inequality by Insider-Outsider Measures. Note: The figure presents group means for (1) support for increasing the top marginal income tax rate on the super-rich and (2) agreement that the government should reduce inequality, even if more taxed are needed. Outcomes are coded as binary indicators. Group = 0 means that the variable takes the value of 0, and Group = 1, indicates the binary is 1. Groups are defined by labor market position (union experience, informality, unemployment, and full-time employment). The vertical dashed line marks the 0.5 threshold, indicating majority support. Refer to [Figure A18](#) for a test on differences across groups.

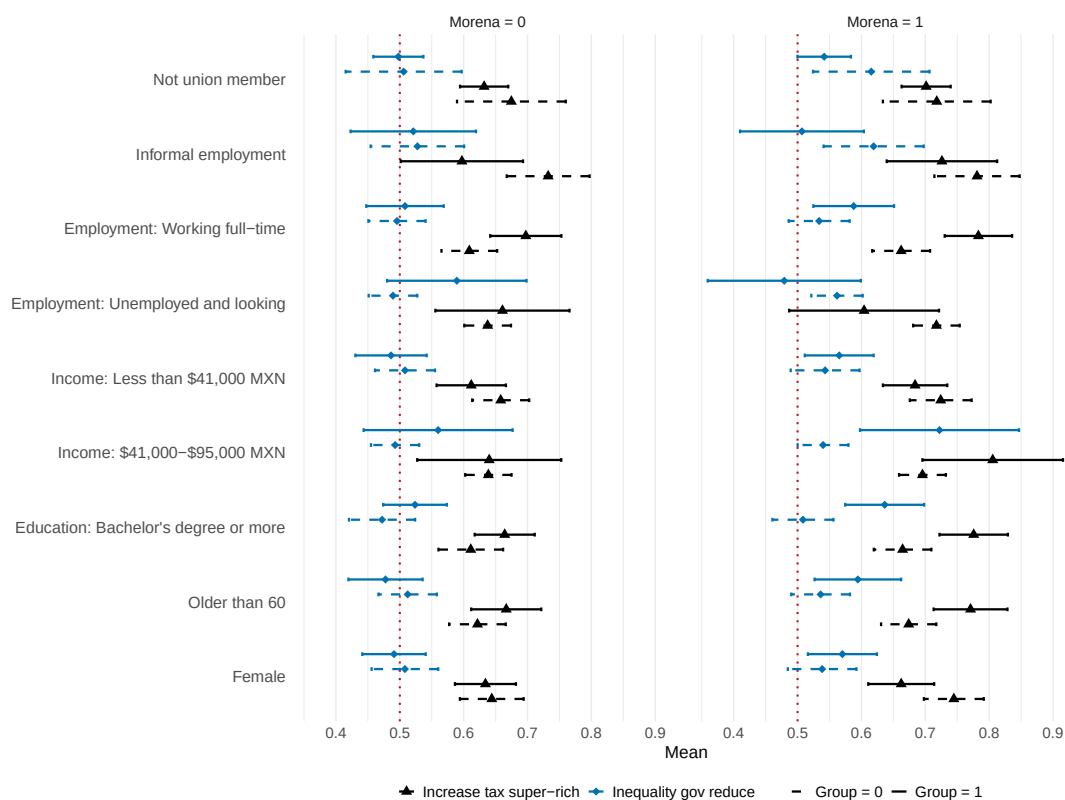


Figure A15: Support for Taxing the Super-Rich and Reducing Inequality by Morena Partisanship. Note: The figure displays group means for support for increasing the top marginal income tax rate on the super-rich and agreement that the government should reduce inequality, stratified by support for Morena. Outcomes are coded as binary indicators. Group = 0 means that the variable takes the value of 0, and Group = 1, indicates the binary is 1. Labor market groups include union experience, informality, unemployment, and full-time employment. The vertical dashed line marks the 0.5 threshold, indicating majority support.

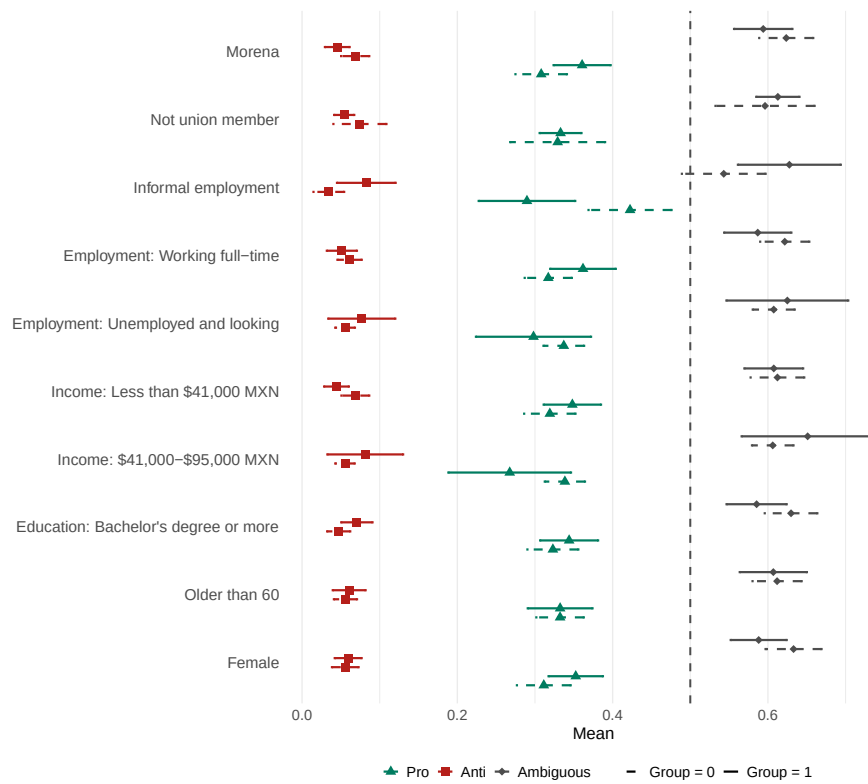


Figure A16: AI-Coded Open-Ended Positions on Taxing the Super-Rich by Insider-Outsider Measures. Note: The figure reports the share of respondents whose open-ended responses are classified as *Pro*, *Anti*, or *Ambiguous* toward increasing taxes on the super-rich. Classifications are generated using LLM annotations. Groups are defined by labor market characteristics. The vertical dashed line marks the 0.5 threshold, indicating majority support. Refer to [Figure A19](#) for a test on differences across groups.

A.13 Differences Across Groups

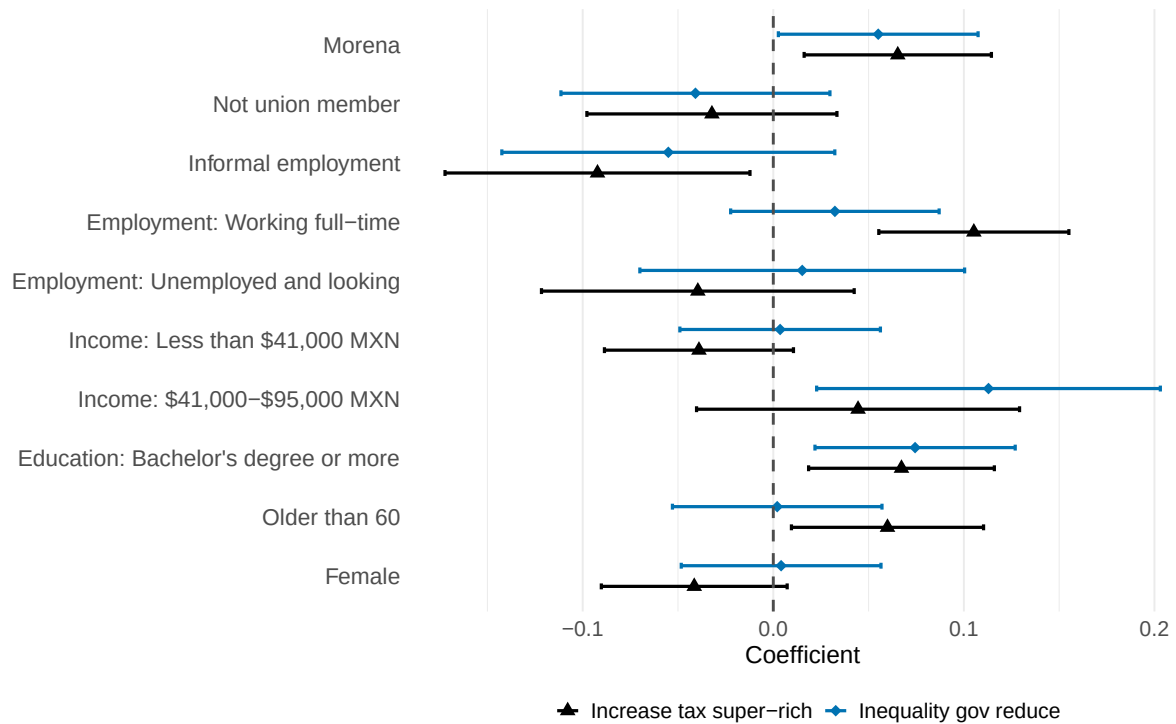


Figure A18: Support for Taxation, and Redistribution

Note: The figure reports coefficients from separate linear probability models estimated for each covariate and outcome. Each point represents the coefficient from a bivariate regression of the indicated outcome—support for increasing taxes on the super-rich, willingness to sign a petition in favor of higher taxes, or agreement that the government should reduce inequality. Positive values indicate a higher probability of supporting the corresponding policy position.

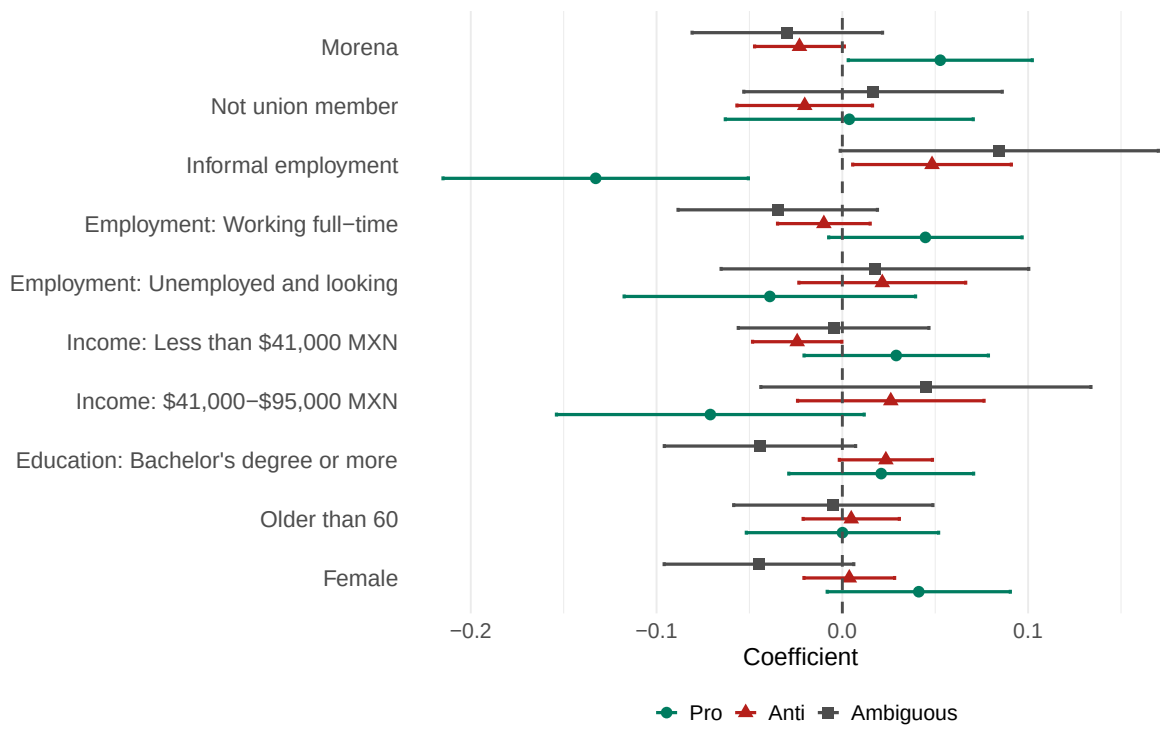


Figure A19: Open-Ended Positions on Taxing the Super-Rich

Note: The figure reports coefficients from separate linear probability models estimated for each covariate and outcome. Each point represents the coefficient from a bivariate regression of the indicated open-ended position (Pro, Anti, or Ambiguous) on a single explanatory variable. Positive values indicate a higher probability of expressing the corresponding position in open-ended responses.

A.14 Partisanship and Support for Taxing the Rich

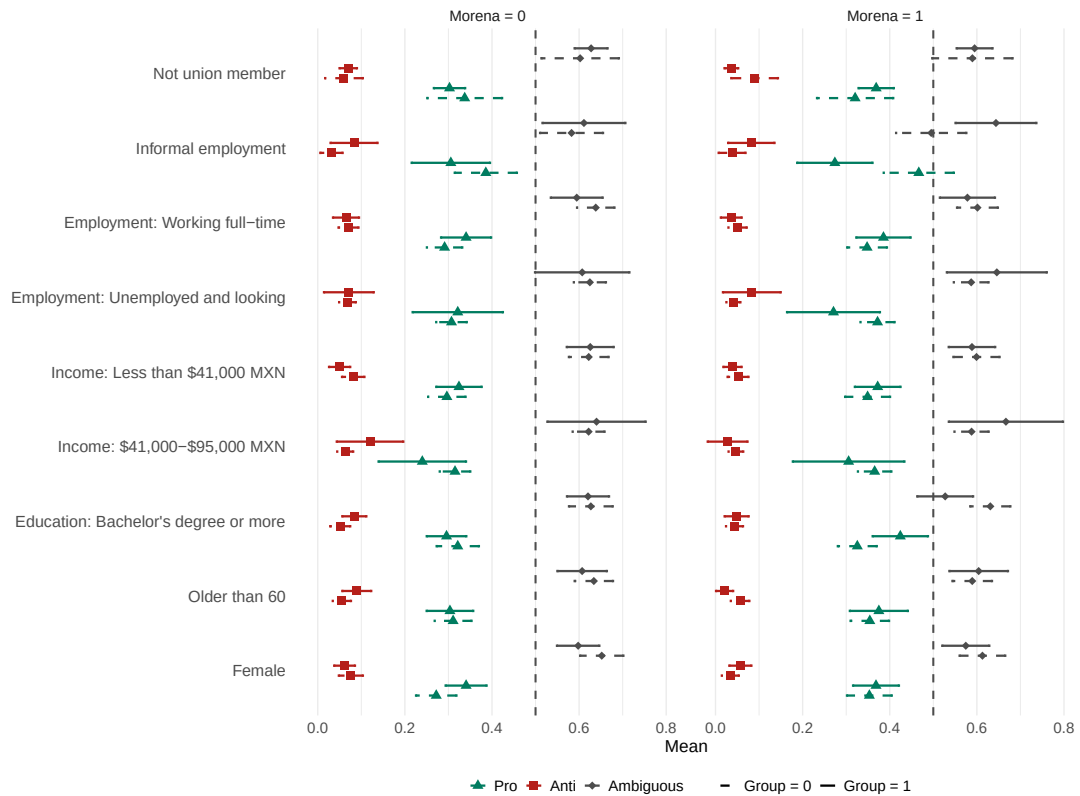


Figure A20: Open-Ended Positions on Taxing the Super-Rich by Morena Partisanship. The figure shows the share of respondents classified as *Pro*, *Anti*, or *Ambiguous* in their open-ended responses, stratified by Morena support. AI-based classifications are derived from a large language model validated against human coding. The vertical dashed line marks the 0.5 threshold, indicating majority support.

A.15 Themes on Narratives using LLMs

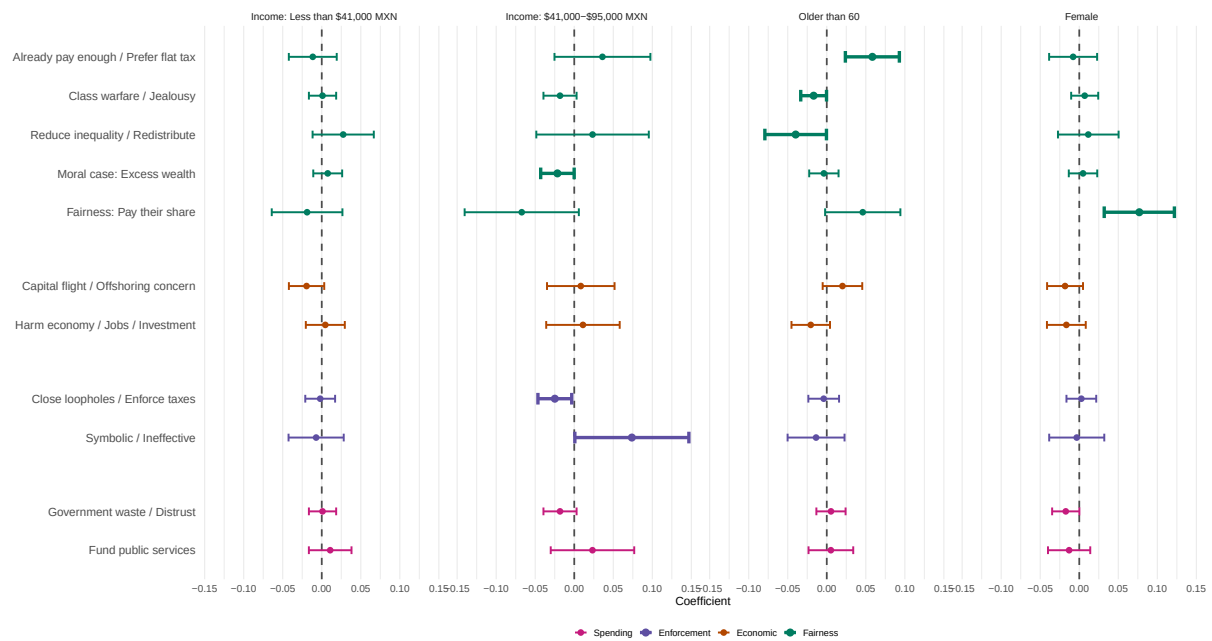


Figure A17: Zero-Shot Themes in Open-Ended Responses: Heterogeneity by Income, Age, and Gender

Note: The figure reports coefficients from separate linear probability models estimated for each covariate (columns) and each zero-shot BERT-classified theme (rows). Themes are grouped into four topical blocks—Spending, Enforcement, Economic, and Fairness—and colors indicate the block assignment. Each point is the coefficient from a bivariate regression of the indicated theme on a single covariate; positive values indicate a higher probability that respondents invoke the corresponding argument. Horizontal bars show 90% confidence intervals, and the vertical dashed line marks zero. Coefficients with 90% confidence intervals that exclude zero are visually emphasized.

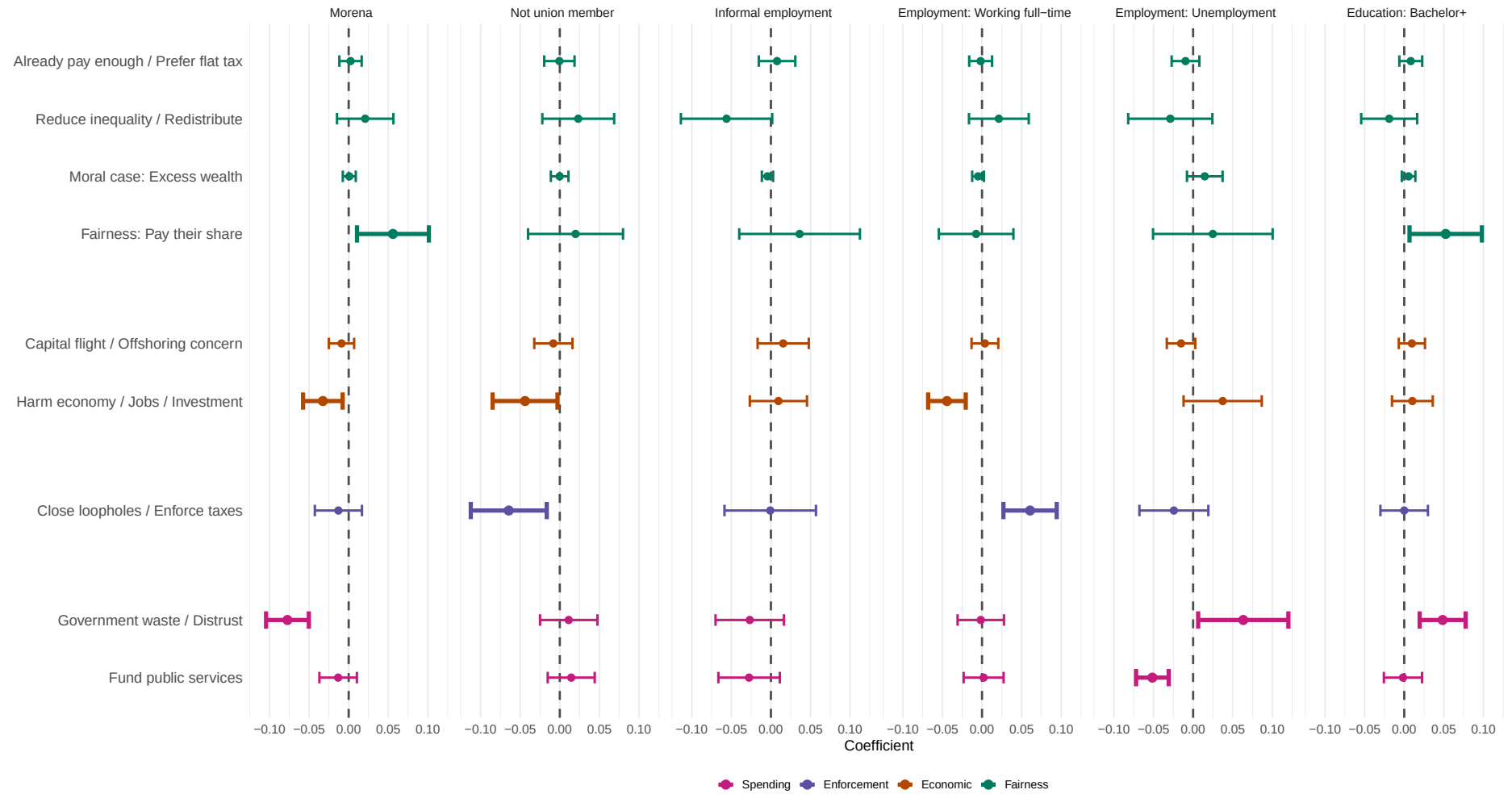


Figure A21: LLM Classification: Open-Ended Responses on Taxing the Super-Rich

Note: The figure reports coefficients from separate linear probability models estimated for each explanatory variable (columns) and each zero-shot BERT-classified theme (rows). Themes are grouped into four topical blocks—Spending, Enforcement, Economic, and Fairness—to highlight conceptual similarities across arguments. Each point represents the coefficient from a bivariate regression of the indicated theme on a single covariate. Positive values indicate a higher probability of expressing the corresponding argument in open-ended responses. Vertical dashed lines mark zero. Colors denote thematic groupings.

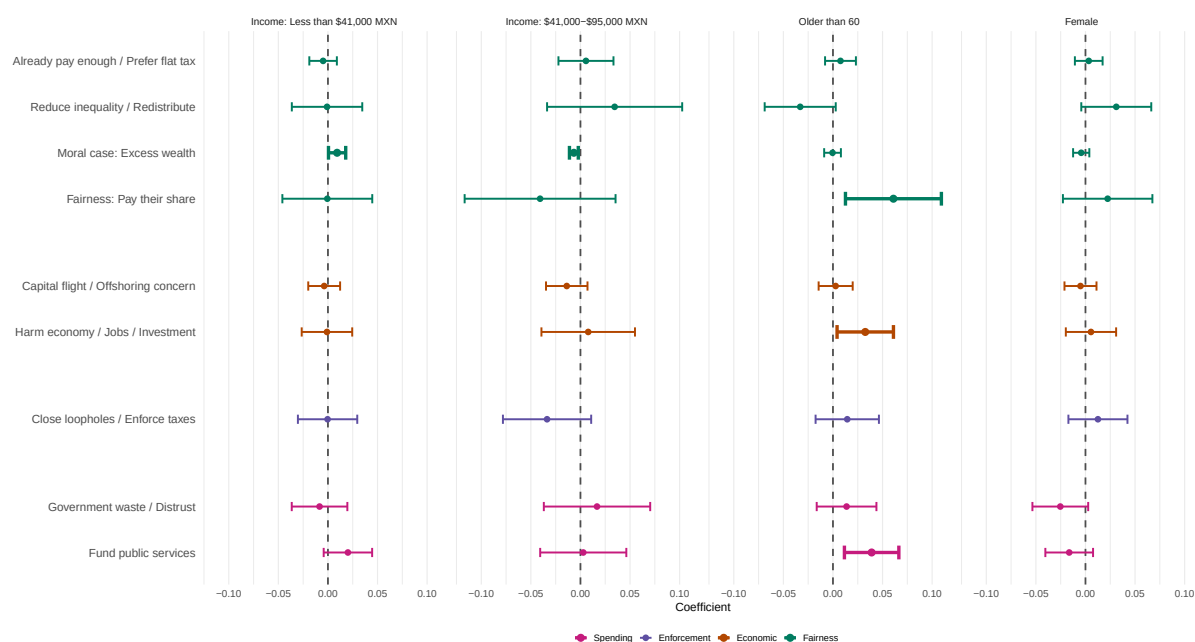


Figure A22: LLM Classification: Open-Ended Responses on Taxing the Super-Rich Heterogeneity by Income, Age, and Gender

Note: The figure reports coefficients from separate linear probability models estimated for each explanatory variable (columns) and each zero-shot BERT-classified theme (rows). Themes are grouped into four topical blocks—Spending, Enforcement, Economic, and Fairness—to highlight conceptual similarities across arguments. Each point represents the coefficient from a bivariate regression of the indicated theme on a single covariate. Positive values indicate a higher probability of expressing the corresponding argument in open-ended responses. Vertical dashed lines mark zero. Colors denote thematic groupings.

A.16 Beyond Latin America

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